6. BUSINESS OVERVIEW

6.1 BACKGROUND AND HISTORY

6.1.1 Our history

The history of the 'Lim Seong Hai' trade name can be traced back to 1966 when the late Lim Seong Hai, who was the father of Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun (collectively, the "**Lim Siblings**"), set up a sole proprietorship under the name of Lim Seong Hai Construction. Lim Seong Hai Construction operated as a Class D contractor registered with the Public Works Department of Malaysia, which enabled it to undertake construction projects which are not more than RM100,000 in value at that time. The business of Lim Seong Hai Construction was later transferred to Lim Seong Hai Construction And Company, a partnership which was set up in 1975 and passed on to the Lim Siblings before the passing of their father. Lim Seong Hai Construction And Company is presently owned by the Lim Siblings.

In 1995, Lim Pak Lian set up LSH Lighting (formerly known as Fablelite Sdn Bhd) to supply lighting and related M&E products as well as provide related M&E services for various construction and property development projects. LSH Lighting then ventured into retailing of lighting products under the 'Fablelite' trade name when it opened its first lighting retail store at Jalan Gombak, Kuala Lumpur in 2000. In preserving their late father's namesake, the Lim Siblings changed the company name to Lim Seong Hai Lighting Sdn Bhd in 2014 and has since operated under its present trade name of 'Lim Seong Hai Lighting'. As at LPD, LSH Lighting's retail operations have expanded to include six (6) physical retail stores across the Klang Valley region. LSH Lighting has also established its online presence vide its own online store and third-party e-commerce platforms such as Lazada and Shopee. Over the years, LSH Lighting was also involved in several major projects through the supply of building materials, lighting and related M&E products as well as provision of related M&E services for the Labuan Financial Park, Universiti Malaysia Sabah's campus, a residential development project in Danga Bay, Johor Bahru, Kluang Prison Complex, Universiti Tun Hussein Onn's campus, DUKE, EkoCheras mixed development project as well as the LSH 33 Project.

Aside from the establishment of LSH Lighting, Lim Keng Hun and Lim Pak Lian also set up Knight Auto in 1999 to venture into the wholesaling of hardware products, as well as rental of machinery and equipment for the construction industry. With the opening of its first retail store in Kajang Perdana, Selangor in 2004, Knight Auto began expanding its range of hardware products, machinery and equipment to also include tools. Over the years, Knight Auto continued to expand its business footprint and, as at LPD, Knight Auto has six (6) physical retail stores across the Klang Valley region and also operates through its own online store and third-party e-commerce platforms such as Lazada and Shopee.

Given the long-established and resilient businesses of LSH Lighting and Knight Auto, the Lim Siblings selected these two (2) entities as the primary anchor for the beginning of our Group's journey towards becoming a public listed company, which successfully took place following our Group's listing on the LEAP Market on 30 July 2021.

Following our listing on the LEAP Market, we continued our business expansion with the acquisition of 100% equity interest in LSHBB on 15 October 2021 from LSH Resources, which resulted in the diversification of our Group's then principal activities to include construction and provision of construction-related services and solutions. We further diversified our Group's principal activities to include property development activities, following the completion of the acquisitions of 100% equity interest in ASSB and LSH Ventures from our Group's related parties on 17 April 2023.

As an integral part of our Group's principal activities, we introduced our BEST Collaboration Framework in end 2021. Our BEST Collaboration Framework functions as a framework for collaboration between our Group and our clients (such as land owners, property developers or contractors) to achieve the shared objective of value-enhancement for construction projects or property development projects undertaken by our clients by leveraging on our extensive experience and expertise in the construction industry. Further details on our BEST Collaboration Framework alongside the construction-related services and solutions which we provide under such framework are elaborated in Section 6.2.1(ii) of this Prospectus.

Over the years, our Group has grown from just a supplier/provider of construction products and M&E services (i.e. building materials, lighting and related M&E products and services, hardware products, tools, construction machinery and equipment) to becoming a full-fledged construction company with capabilities to provide a comprehensive range of construction and engineering works, construction-related services and solutions, construction products as well as being involved in property development.

Looking ahead, our Group plans to establish facility management services as a new business segment which will serve as a source of recurring income for our Group, in line with our organic expansion plans with the aim of diversifying our Group's income stream. As a prelude to the establishment of this new business segment in our Group, we have secured a contract for the provision of facility management services which entails the management of the 'Blue Pool' facility (which features a dancing symphony fountain, blue corridor, fog and lighting effects) under the 'River of Life' transformation project at Kuala Lumpur for a period of three (3) years. In addition, our efforts in exploring new ventures under this segment have thus far culminated in the agreement-in-principle by the Public Private Partnership Unit of the Prime Minister's Department, Malaysia (UKAS) on 7 June 2024 for LSHBB and Service Master (M) Sdn Bhd to jointly manage the operations and maintenance of the Kuala Lumpur Tower ("**KL Tower**"), further details of which are set out in the future plans of our Group under Section 6.8.3 of this Prospectus.

6.1.2 Our key milestones and achievements

The following table highlights the key events of our business:

Year	Key event/achievement
1995	• LSH Lighting was incorporated and commenced its business in supplying lighting and related M&E products as well as providing related M&E services for construction and property development projects
1996	• LSH Lighting secured order to supply lighting and related M&E products for the development of the Labuan Financial Park in Victoria, Labuan
1999	• Knight Auto was incorporated and commenced its business in the wholesale and distribution of hardware products, as well as rental of machinery and equipment to serve the construction industry • LSH Lighting secured order to supply lighting and related M&E products for the construction of Universiti Malaysia Sabah's campus in Kota Kinabalu, Sabah
2000	• LSH Lighting ventured into retailing of lighting products and opened its first retail store at Jalan Gombak, Kuala Lumpur under the 'Fablelite' trade name
2003	• LSH Lighting secured (i) a contract for the supply of landscape lighting fixtures for a residential development project in Danga Bay in Johor Bahru, Johor; and (ii) a contract for the supply of vandal proof light fittings for the construction of the Kluang Prison Complex in Kluang, Johor
2004	• LSH Lighting expanded its retail presence in Klang Valley by opening its second retail store in Kajang Perdana, Selangor • Knight Auto set up its first retail store in Kajang Perdana, Selangor, and expanded its product offerings to include a range of tools
2005	• Knight Auto set up its warehouse and second retail store in Balakong, Selangor

6. BUSINESS OVERVIEW *(Cont'd)*

Year	Key event/achievement
2008	• LSH Lighting opened its third retail store in Setapak, Kuala Lumpur
2009	• LSH Lighting secured a contract for the supply of decorative street lightings and compound light fittings for the construction of Universiti Tun Hussein Onn's campus in Batu Pahat, Johor
2011	• Knight Auto opened its third retail store in Setapak, Kuala Lumpur
2013	• LSH Lighting registered as a G5 contractor with the CIDB • Knight Auto launched its own online store
2014	• LSH Lighting rebranded the 'Fablelite' trade name to 'Lim Seong Hai Lighting' • LSH Lighting secured a contract to supply and install LED street lanterns for the DUKE Phase 2 – Karak link project
2015	• LSH Lighting set up its fourth retail store in Kajang, Selangor
2016	• LSH Lighting secured a contract to supply and install street lighting for the DUKE Phase 2 – Sri Damansara link project
2017	• LSH Lighting secured a contract to supply and install lighting for a mixed development project known as EkoCheras at Jalan Cheras, Kuala Lumpur • LSH Lighting and Knight Auto began to market and sell their lighting products, hardware products and tools on Lazada, a third-party e-commerce retail platform
2018	• LSH Lighting opened its fifth retail store in Kajang Walk 2, Selangor • LSH Lighting and Knight Auto expanded their online presence by selling their lighting products, hardware and tools on Shopee, another third-party e-commerce retail platform • LSH Lighting secured two (2) contracts to supply light fittings for the 'River of Life' transformation project
2020	• LSH Lighting registered as a G7 contractor with the CIDB • LSH Lighting launched its own online store • LSH Lighting and Knight Auto secured orders to supply building materials, lighting and related M&E products, provide related M&E services as well as rental of construction machinery and equipment for the LSH 33 Project
2021	• Our Company was listed on the LEAP Market • Our Company acquired LSHBB and diversified our Group's then principal activities to include construction and construction-related services and solutions • Knight Auto opened its fourth retail store at Wisma Lim Seong Hai, Jalan Gombak, Kuala Lumpur • LSHBB secured a contract for the upgrading of flood retention and structure works in Pendang, Kedah • LSHBB secured a contract for the construction of road works in Jerantut, Pahang • We introduced our BEST Collaboration Framework
2022	• LSHBB entered into seven (7) BEST Collaboration Framework agreements, i.e. three (3) with Besteel Engtech Sdn Bhd, and one (1) each with LSH Holdings, ASES, ASSB and SLP Construction Sdn Bhd, for their respective construction or property development projects • LSHBB entered into a three (3)-year collaboration agreement with Gamuda Industrial Building System Sdn Bhd to jointly promote the utilisation of digital IBS through identification of potential projects for joint operation and strategic ventures • LSHBB was awarded its first rating by the CIDB with a three (3)-star SCORE (out of a maximum of five (5) stars) for good management and technical capabilities, compliance with best practices and good project management • LSHBB secured our Group's first contract under the construction of bridge works in Nibong Tebal, Penang • LSH Lighting secured our Group's first contract under the construction of army family homes at Gemas, Negeri Sembilan

6. BUSINESS OVERVIEW *(Cont'd)*

Year	Key event/achievement
2023	• Our Company acquired ASSB and LSH Ventures to further enhance our construction capabilities and diversify our Group's then principal activities to include property development • Knight Auto set up its fifth retail store in Titiwangsa, Kuala Lumpur • LSHBB entered into two (2) BEST Collaboration Framework agreements with Service Master (M) Sdn Bhd and Arah Jitu Sdn Bhd to identify and tender for construction and engineering projects and any other business opportunities that have been mutually agreed to be suitable • ASSB entered into a BEST Collaboration Framework agreement with KPRJ E&C Sdn Bhd to submit a proposal to jointly undertake the construction for the proposed upgrade of the North-South Expressway • ASES obtained the development order from DBKL for the Lake Side Homes Project
2024	• Our Company entered into a strategic collaboration with Permodalan Negeri Selangor Berhad and IJM Corporation Berhad which is targeted at transforming the road transportation infrastructure in the southern districts of Selangor under the Southern Selangor Integrated Regional Development (IDRISS) initiative outlined by the Selangor State Government in the First Selangor Plan 2021 – 2025 (RS-1), with the aim to harness the economic potential of the Sepang and Kuala Langat districts • LSHBB and Service Master (M) Sdn Bhd received the agreement-in-principle from the Public Private Partnership Unit of the Prime Minister's Department, Malaysia (UKAS) to jointly manage the operations and maintenance of the KL Tower for a period of 20 years • ASSB (as the property developer) and LSHBB (as the main contractor) achieved a Safety and Health Assessment System in Construction ("**SHASSIC**") score of 87.29% and four (4)-star overall SHASSIC rating (out of a maximum of five (5) stars), for our LSH Segar Project. For information, SHASSIC is an independent method used by the CIDB to assess and evaluate the safety and health performance of a contractor in construction works or projects • LSHBB was awarded a four (4)-star SCORE (out of a maximum of five (5) stars) by the CIDB for visionary leadership, efficient management and technical capabilities, compliance with best practices, innovative, very good integrated system and project management • The developer of LSH 33 Project received the CPC and CCC for the said project in June 2024 and September 2024 respectively, marking the completion of our Group's first building construction project as a main contractor • LSH Lighting and Knight Auto opened their respective sixth retail store at Laman Seri Harmoni (LSH 33), Sentul, Kuala Lumpur • LSHBB secured a three (3)-year contract to operate and manage the 'Blue Pool' facility (which features a dancing symphony fountain, blue corridor, fog and lighting effects) at the convergence of the Gombak River and Klang River under the 'River of Life' transformation project at Kuala Lumpur

For information, some of the key events of ASSB and LSHBB prior to our acquisition of these entities are as follows:

Year	Key event
2015	• ASSB secured a contract to construct and complete bridge structure works for the Menjalara Interchange for DUKE Phase 2 – Sri Damansara link project in Sri Damansara, Kuala Lumpur • ASSB secured a contract to construct and complete superstructure works for the EkoCheras mixed development project at Jalan Cheras, Kuala Lumpur

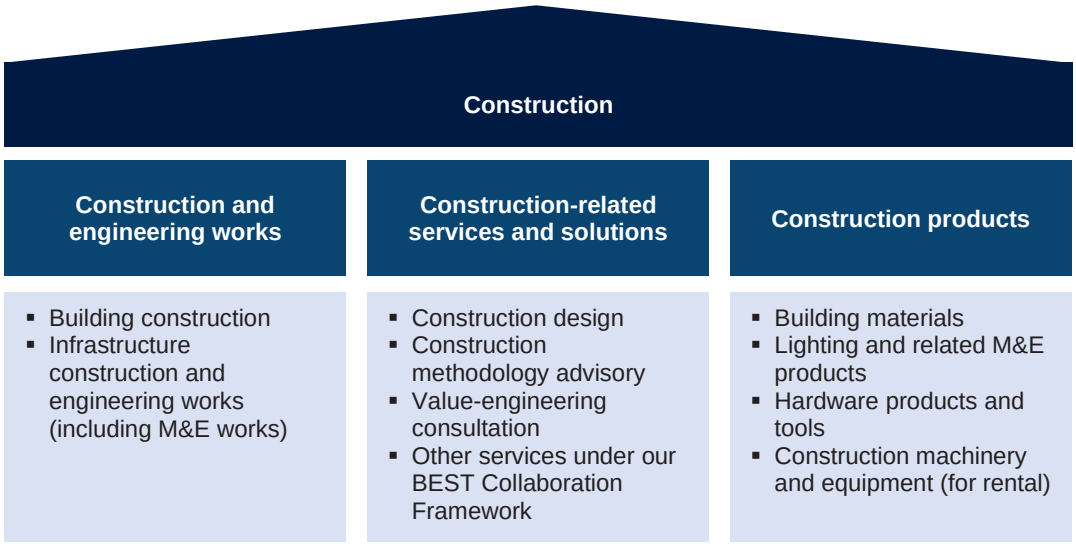
6. BUSINESS OVERVIEW *(Cont'd)*

Year	Key event
2016	• ASSB registered as a G7 contractor with the CIDB • ASSB secured a contract to construct and complete bridge structure works for the toll plaza mainline and toll plaza ramps for DUKE Phase 2 – Sri Damansara link project at Sri Damansara, Kuala Lumpur • ASSB secured a contract to supply, install, test and commission electrical and telephone communication services for EkoCheras mixed development project at Jalan Cheras, Kuala Lumpur
2017	• ASSB secured a contract to design, supply, fabricate and install aluminium glazing and louvre window for EkoCheras mixed development project at Jalan Cheras, Kuala Lumpur
2018	• ASSB secured a contract to construct and complete bridge structure works for the mainline for SPE-DUKE Phase 3 Section 1 – Kerinchi to Salak project in Selangor and Kuala Lumpur
2020	• LSHBB registered as a G6 contractor with the CIDB, and subsequently registered as a G7 contractor in the same year • LSHBB secured a contract to construct the LSH 33 Project • ASSB obtained the development order from DBKL for the LSH Segar Project
2022	• ASSB launched the LSH Segar Project • ASSB secured a contract for the upgrading of road works in Tangkak, Johor
2023	• ASSB secured a contract to construct the Sentul Ria Project • ASSB was awarded its first rating by the CIDB with a three (3)-star SCORE (out of a maximum of five (5) stars) for good management and technical capabilities, compliance with best practices and good project management

6.2 OUR PRINCIPAL ACTIVITIES

We are a full-fledged construction company with capabilities to engage in a broad range of construction and engineering works, provide construction-related services and solutions, as well as supply construction products that are complementary to our construction and engineering works as well as the needs of the wider construction industry.

The three (3) main pillars of our construction segment are summarised in the following diagram:



In addition to our primary focus as a construction company, we are also involved in property development activities which allows our Group to leverage on our strengths and prowess in the construction segment, whilst providing an additional revenue stream for our Group through the sales of property units under our own property development projects.

The following diagram illustrates the broad range of construction and property development activities that we are capable of undertaking:



6.2.1 Construction segment

Through LSH Lighting, ASSB and LSHBB, we are a G7 contractor registered with the CIDB, which allows us to tender and undertake contracts for projects involving construction and engineering works and/or construction-related services and solutions with no limit to contract value. We also supply construction products that are used in our construction and engineering works and for the needs of the wider construction industry through LSH Lighting and Knight Auto.

6. BUSINESS OVERVIEW *(Cont'd)*

The business activities we undertake under our construction segment can be broadly categorised into three (3) sub-segments:

(i) Construction and engineering works

Our Group has the capability to perform and/or supervise subcontractors to perform a wide range of construction and engineering works across all phases of a construction project, including:

- site preparation, earthworks and slope stabilisation – these include preparing the site for construction and engineering works as well as setting up temporary facilities (such as staging areas for machinery, equipment, formwork and scaffoldings), storage areas for construction materials and other facilities (such as site offices and workers' accommodations);

- substructure construction works – these include piling works and construction of support structures that are below ground level such as foundations and basements;

- superstructure construction works – these include constructing columns, beams, walls and slabs as well as roofing, i.e. structures that are above ground level. For information, we employ aluminium or steel formwork system to form cast in-situ concrete structures. This involves the setting up of the aluminium or steel formwork system on-site to serve as a mould for concrete to be poured in and to form the required concrete structures. We also use IBS, which are pre-fabricated concrete products to form structures for buildings and infrastructures;

- architectural-related works – these include installation of building facades, doors, windows, grills, gates and fencing;

- finishing works – these include flooring, tiling, cladding, coating and painting;

- utility works – these include installation of electrical and power supply system (such as electrical cables and connections, transformers, switchgears, switchboards, earthing systems), communication and information technology network system (such as data and voice communication cables including fibre-optic cables and network cables), lighting system, water supply system, drainage and sewerage system, fire protection system as well as other M&E works; and

- landscaping works – these include softscape and hardscape within the project perimeter.

Further details on the execution of the abovementioned construction and engineering works are set out in our process flow as described in Section 6.9.1 of this Prospectus.

In carrying out the abovementioned construction and engineering works, we may either act as a main contractor or subcontractor.

As a main contractor for our construction projects, we are responsible for project planning which encompasses aspects relating to project scheduling and timeline, costing and procurement. For every construction project that we undertake, we will establish an overall project plan which sets out, among others, the timeline and budget of the project and will serve as the blueprint for the overall management and implementation of the project. We are also responsible for procuring all required resources for the project, including procurement of materials, rental of machinery and equipment, sourcing for labour as well as appointment of subcontractors.

In addition, we also act as project manager responsible for the overall management of the construction project throughout the contract period beginning with project planning until the completion and handover of the project, and throughout the DLP. This involves liaising with all relevant project stakeholders, including authorities, consultants, subcontractors and suppliers, as well as reporting to project owners.

Our role as project manager essentially involves ensuring the following objectives are met:

- completing and delivering the project according to the planned timeline and budget;
- completing construction and engineering works according to the design and specifications;
- obtaining all relevant permits required for construction and engineering works;
- complying with all on-site health and safety aspects with the Occupational Safety and Health Act 1994 and its subsequent amendments and subsidiary legislations;
- securing and protecting all machinery, equipment and other assets used to carry out construction and engineering works;
- adequately managing and mitigating risks of unforeseen circumstances, conditions and events; and
- minimising adverse impact of construction and engineering works on the environment as well as neighbouring properties and occupants.

As a subcontractor, we are responsible for carrying out the construction and engineering works in accordance with the scope of work awarded to us by the main contractor for the project.

We generally secure our construction and engineering work projects through tender biddings and submission of proposals and quotation as well as direct referrals through our network of clients and associates in the construction industry, further details of which are set out in Section 6.11.1 of this Prospectus.

The types of construction projects that we undertake can be broadly categorised as follows:

(a) Building construction projects

Our Group has capabilities to undertake construction and engineering works for various types of buildings, including residential such as landed and high-rise residential buildings, as well as non-residential such as industrial and commercial buildings.

Our Group has completed one (1) building construction project, namely the LSH 33 Project following the issuance of CPC on 3 June 2024 and CCC on 12 September 2024. The details of the LSH 33 Project are as follows:

Name of developer	:	Besteel Engtech Sdn Bhd
Location	:	Sentul, Kuala Lumpur

6. BUSINESS OVERVIEW *(Cont'd)*

Project description	:	Construction of three (3) blocks of residential units comprising 300 condominium units, 300 '*Residensi Wilayah*' affordable housing units, 300 PPAM affordable housing units, 32 office shop lots and carpark
Commencement date	:	July 2020
Total contract value	:	RM259.26 million(1)

Note:

(1) In addition to the construction works we carry out as main contractor, we also provide value-engineering services and solutions under our Group's BEST Collaboration Framework for the LSH 33 Project. The total contract value as set out herein only represents the value of the contract awarded to us for the construction works and does not include any fee/profit-sharing derived from the value-engineering services and solutions provided under our BEST Collaboration Framework to this client. For further details on our Group's BEST Collaboration Framework and the additional fees which we charge for this project under the said framework, please refer to Section 6.2.1(ii) of this Prospectus.

Save for this project, there is no other building construction project completed by our Group during the Financial Years Under Review and up to LPD.

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6. BUSINESS OVERVIEW *(Cont'd)*

As at LPD, our Group's ongoing building construction projects are as follows:

No.	Project name / Location	Client	Project description	Total contract value	Outstanding orderbook as at LPD[1]	Construction status as at LPD
				(RM million)	**(RM million)**	
1.	LSH Segar Project Cheras, Kuala Lumpur	ASSB	Construction of two (2) blocks of residential units comprising 435 condominium units, 440 '*Residensi Wilayah*' affordable housing units and carpark	[2]260.57	133.12	Commenced construction works in October 2021, with completion at approximately 48.91% as at LPD and full completion targeted by the third quarter of 2026
2.	Lake Side Homes Project Sungai Besi, Kuala Lumpur	ASES	Construction of five (5) blocks of residential units comprising 1,183 condominium units, 593 '*Residensi Wilayah*' affordable housing units, 593 PPAM affordable housing units and carpark	[2]779.89	775.84	Preliminary construction works first commenced in March 2024 and were put on hold in April 2024 as a result of the interim stay order[3]. Preliminary construction works subsequently resumed in August 2024, with completion at approximately 0.52% as at LPD and full completion expected by the fourth quarter of 2029
3.	Sentul Ria Project Sentul, Kuala Lumpur	LSH Holdings	Construction of a 29-storey and one (1) mezzanine floor single block mixed development building comprising 268 residential suites, recreational facilities, commercial space and carpark	[2]103.89	95.80	Commenced construction works in March 2023, with completion at approximately 7.78% as at LPD and full completion targeted by the first quarter of 2027
4.	Wisma LSH Extension Project Jalan Gombak, Kuala Lumpur	LSH Holdings	Construction of a five (5)-storey annex building for Wisma Lim Seong Hai comprising a sales gallery, commercial and office area, as well as a link bridge and carpark	8.97	8.20	Commenced construction works in April 2024, with completion at approximately 8.55% as at LPD and full completion targeted by fourth quarter of 2025
			Total	**1,153.32**	**1,012.96**	

Notes:

(1) This refers to the remaining contract value which we have not recognised as revenue as at LPD.

(2) *In addition to the construction works we carry out as main contractor, we also provide value-engineering services and solutions under our Group's BEST Collaboration Framework for these projects. The total contract value set out in this table only represents the value of the contract awarded to us for the construction works and does not include any fee/profit-sharing derived and/or to be derived from the value-engineering services and solutions provided under our BEST Collaboration Framework to these clients. For further details on our Group's BEST Collaboration Framework and the additional fees which we charge for these projects under the said framework, please refer to Section 6.2.1(ii) of this Prospectus.*

(3) *Please refer to Section 13.6 of this Prospectus for further information on the interim stay order and the litigation case involving the Lake Side Homes Project.*

(b) Infrastructure construction and engineering work projects

Aside from building construction projects, our Group also has capabilities to undertake various infrastructure construction and engineering works.

Our Group has completed the following material infrastructure construction and engineering work projects during the Financial Years Under Review and up to LPD:

No.	Client	Project description	Total contract value	Commencement date	Completion date
			(RM million)		
1.	Suhati Sdn Bhd	Upkeeping and beautification works of areas along Gombak River and Klang River under Phase 2, Package 1C & 1D of the 'River of Life' transformation project at Dataran Merdeka, Jalan Tun Perak to Jalan Tun Tan Cheng Lock and Masjid India, Kuala Lumpur – supply and delivery of light fittings	11.75	March 2018	April 2021
2.	Suhati Sdn Bhd	Upkeeping and beautification works of areas along Gombak River and Klang River under Phase 2, Package 4A & 4B of the 'River of Life' transformation project at Klang Riverfront from Jalan Kinabalu to Jalan Maarof and Brickfields, Kuala Lumpur – supply and delivery of light fittings	10.56	March 2018	June 2021
3.	Besteel Engtech Sdn Bhd	Proposed direct access from DUKE to Lot 10.5, 3571, 3572, 1032 & 340, Kuala Lumpur at Taman Bamboo, Kuala Lumpur – subcontract for supply, delivery, installation, testing and commissioning of infrastructural, M&E, civil and structural works	12.27	May 2021	March 2023
4.	Besteel Engtech Sdn Bhd	Proposed direct access to SPE through Jalan Kerinchi Kiri at Kampung Kerinchi, Kuala Lumpur – construction and completion of bridge structure	6.09	October 2021	October 2023

As at LPD, our Group's ongoing material infrastructure construction and engineering work projects are as follows:

No.	Client	Project description	Total contract value	Outstanding orderbook as at LPD[1]	Construction status as at LPD
			(RM million)	(RM million)	
1.	Pertama Makmur Sdn Bhd	Upgrading of flood retention and structure works at Pendang, Kedah – flood wall, bund, bridges, syphon, leaf gates and regulator works	78.45	33.88	Commenced construction works in October 2021, with completion at approximately 56.81% as at LPD and full completion targeted by July 2026
2.	Euro Saga Sdn Bhd	Construction of road works at Jerantut, Pahang – geotechnical, earthworks, structures, drainage and pavement works	201.00	175.06	Commenced construction works in November 2021, with completion at approximately 12.91% as at LPD and full completion targeted by July 2026
3.	Ganti Juara Sdn Bhd	Construction of road works at Sembrong, Johor – geotechnical, earthworks, structures, drainage and pavement works	23.10	7.06	Commenced construction works in December 2021, with completion at approximately 69.43% as at LPD and full completion targeted by May 2025
4.	Besteel Engtech Sdn Bhd	Construction of bridge works at Nibong Tebal, Penang – foundation, substructure and superstructure works	[2]112.08	11.85	Commenced construction works in February 2022, with completion at approximately 89.43% as at LPD and full completion targeted by May 2025
5.	SLP Construction Sdn Bhd	Upgrading of road works at Tangkak, Johor – geotechnical, earthworks, structures, drainage and pavement works	[2]128.10	86.37	Commenced construction works in February 2022, with completion at approximately 32.57% as at LPD and full completion targeted by May 2026
6.	Tekad Warisan Sdn Bhd	Upgrading of road works at Kota Belud, Sabah – geotechnical, earthworks, structures, drainage and pavement works	44.44	5.56	Commenced construction works in April 2022, with completion at approximately 87.50% as at LPD and full completion targeted by April 2025
7.	Besteel Engtech Sdn Bhd	Construction of army family homes at Gemas, Negeri Sembilan – supply, delivery, installation, testing and commissioning of cold water and sanitary plumbing services	[2]20.23	12.42	Commenced construction works in October 2022, with completion at approximately 38.57% as at LPD and full completion targeted by May 2026

6. BUSINESS OVERVIEW *(Cont'd)*

No.	Client	Project description	Total contract value	Outstanding orderbook as at LPD[1]	Construction status as at LPD
			(RM million)	(RM million)	
8.	Besteel Engtech Sdn Bhd	Construction of army family homes at Gemas, Negeri Sembilan – supply, delivery, installation, testing and commissioning of electrical and extra low voltage box	[2]38.43	31.31	Commenced construction works in December 2022, with completion at approximately 18.53% as at LPD and full completion targeted by August 2025
9.	Besteel Engtech Sdn Bhd	Construction of army family homes at Gemas, Negeri Sembilan – supply of materials, labour, equipment and tools for construction and completion of reinforced concrete works	[2]40.96	6.61	Commenced construction works in March 2023, with completion at approximately 83.87% as at LPD and full completion targeted by June 2025
10.	Besteel Engtech Sdn Bhd	Construction of bridge works at Nibong Tebal, Penang – earthworks, road pavement works, road furniture works, precast New Jersey barrier, galvanized iron railing and reinforced concrete works	[2]23.16	23.14	Commence construction works in October 2024, with completion at approximately 0.07% as at LPD and full completion targeted by July 2025
11.	Besteel Engtech Sdn Bhd	Construction of army family homes at Gemas, Negeri Sembilan – supply of materials, labour, equipment and tools for construction and completion of architectural works	[2]95.41	87.97	Commenced construction works in June 2024, with completion at approximately 7.80% as at LPD and full completion targeted by March 2026
12.	Besteel Engtech Sdn Bhd	Construction of army family homes at Gemas, Negeri Sembilan – supply of materials, labour, equipment and tools for construction and completion of infrastructure works	[2]24.13	24.13	Construction targeted to commence in March 2025 and full completion targeted by March 2026
		Total	**829.49**	**505.36**	

Notes:

(1) This refers to the remaining contract value which we have not recognised as revenue as at LPD.

(2) In addition to the construction and engineering works we carry out as main contractor or subcontractor, we also provide value-engineering services and solutions under our Group's BEST Collaboration Framework for these projects. The total contract value set out in this table only represents the value of the contract awarded to us for the construction and engineering works and does not include any profit-sharing derived and/or to be derived from the value-engineering services and solutions provided under our BEST Collaboration Framework to these clients. For further details on our Group's BEST Collaboration Framework and the additional fees which we charge for these projects under the said framework, please refer to Section 6.2.1(ii) of this Prospectus.

(ii) Construction-related services and solutions

In addition to the wide range of construction and engineering works that our Group is capable of undertaking as set out in Section 6.2.1(i) of this Prospectus, our Group also offers construction-related services and solutions to our clients through our BEST Collaboration Framework. The BEST Collaboration Framework that was developed in-house, functions as a framework for collaboration between our Group and our clients (such as land owners, property developers or contractors) to achieve the shared objective of value-enhancement for construction projects or property development projects undertaken by our clients by leveraging on our Group's extensive experience and expertise in the construction industry.

Our BEST Collaboration Framework essentially embodies the following core principles:

(i) **Blue Ocean Strategy** – to leverage on our experience and knowledge in assisting our clients to secure and manage tenders for infrastructure, building and property development projects from both the public and private sectors. This strategy introduces a new and unconventional approach to construction that is centred around collaboration with stakeholders in the construction industry and leveraging on our experience and knowledge to achieve the mutual objective of value-enhancement;

(ii) **Enhancement solution for finance** – to formulate financial solutions to our clients, i.e. assisting them in structured financing and cash flow planning in order to meet the financial requirements for the projects and connecting them to financial institutions;

(iii) **Sustainability made affordable** – to formulate sustainable business policies and project management directives for cost optimisation; and

(iv) **Transformation and innovation** – to recommend and/or source cost-effective materials and construction methodology as well as to propose suitable alternative designs with similar fit, function and safety to our clients.

The construction-related services and solutions provided under our BEST Collaboration Framework principally involve value-engineering for construction and property development projects undertaken by our clients. The value-engineering services and solutions which we offer to our clients under our BEST Collaboration Framework include the following:

- recommending optimal and suitable alternative engineering designs and/or layouts to those originally proposed by our clients;

- recommending alternative building materials to be used which are more cost-effective whilst achieving the desired objectives and meeting the required specifications;

6. BUSINESS OVERVIEW *(Cont'd)*

- recommending alternative construction methodology and/or processes which improve construction and operational efficiency as well as mitigate potential risk of overruns in project timelines and budget;

- providing advisory and technical input in terms of construction work programs and pricing for our clients during their contract tendering process; and

- enabling our clients to leverage on our track record and financial position when tendering for new projects through collaboration with us via our BEST Collaboration Framework. Clients, particularly contractors which may not have the necessary track record or financial strength necessary to tender for projects, may have difficulty securing contracts if they were to submit tenders on their own as they may not meet the minimum requirements on financial capability (e.g. cash flow, available financing facilities, credit profile and/or shareholders' equity) as well as submit the requisite performance bonds individually on their own. As such, by jointly tendering as a collaboration partner with our Group, they can leverage on our Group's financial ability and profile to meet the financial requirements for the project. In addition, we will jointly contribute to the requisite sum for the performance bonds, the exact breakdown of which varies on a case-to-case basis according to the terms of collaboration with our partner.

For the avoidance of doubt, our responsibilities under the BEST Collaboration Framework when jointly tender a project with our client, depends on the type of services rendered by us which may include to provide technical input, project management and/or financing solutions. Apart from jointly contributing to the performance bonds as mentioned earlier, there is no other material liabilities to our Group when jointly tender projects with our clients.

Aside from the value-engineering services and solutions stated above, clients under our BEST Collaboration Framework generally benefit from having access to technical expertise and project management support, reduced operational and logistical burdens through centralised coordination, as well as access to our established supplier and subcontractor network.

As part of our commitment to continuously improve the value-engineering services and solutions offered under our BEST Collaboration Framework that we provide to our clients, we have entered into a three (3)-year collaboration agreement with Gamuda Industrial Building System Sdn Bhd on 9 September 2022 to promote the use of digital IBS to boost construction efficiency and support the industry's transition towards Industrial Revolution (IR) 4.0 via digitalisation of work processes and automation of construction works. The digitalisation of work processes is also expected to result in less construction wastage, increased productivity, shorter construction period, as well as reduced reliance on foreign labour as most of the work processes are performed at a manufacturing facility using an automated system as opposed to at the construction site. All of these improvements are in line with the core principles of our BEST Collaboration Framework.

Through this collaboration, our Group will promote the use of digital IBS in construction projects where we provide construction-related services and solutions. Meanwhile, Gamuda Industrial Building System Sdn Bhd will develop conceptual designs, provide technical support and supply digital IBS products at competitive prices to us and our clients.

6. BUSINESS OVERVIEW *(Cont'd)*

For the avoidance of doubt, our construction contracts may be secured from our clients either with or without the value-engineering services and solutions provided under our BEST Collaboration Framework. For construction contracts carried out under our BEST Collaboration Framework, our clients are given the flexibility to select the relevant value-engineering services and solutions which are typically rendered to them during the initial planning stage in order for them to enjoy and maximise the benefit from such value-engineering, which they can then select to include as part of the overall construction contract awarded to us.

Conversely, for construction contracts secured without the value-engineering services and solutions provided under our BEST Collaboration Framework, we will only be involved in carrying out the construction and engineering works strictly according to the specifications and scope of work set out in the contract without any involvement by us at the design stage or enhancements in design, layout, building materials and/or construction methodology.

In return for providing these value-engineering services and solutions, our Group will be entitled to fees which are negotiated based on a portion of the value of our client's construction or property development projects on a case-to-case basis. In addition, aside from our Group being allowed to tender for any scope of work to be awarded or subcontracted by our client for the project, our Group is also allowed to match the lowest accepted tender for any critical or specialised work scope to be awarded by our client for the project, and our client shall use its best efforts to recommend our Group as the nominated supplier for the project with the objective of ensuring consistent supply and quality of building materials and reliability of rented machineries. In addition, our Group shall have the right of first refusal to undertake the construction works for any alternative design proposed by our Group under our BEST Collaboration Framework which are accepted by our client, subject to such pricing and terms to be mutually agreed between the parties.

As at LPD, save for the Wisma LSH Extension Project, all the building construction projects of our Group include value-engineering services and solutions provided under our BEST Collaboration Framework. The details of the fee arrangement for these building construction projects carried out under our BEST Collaboration Framework are as follows:

No.	Project name	Partner	Fee arrangement[(1)]	Fee collected as at LPD[(4)]
				(RM million)
1.	LSH Segar Project	ASSB	75% of the remaining gross profit of the entire project (i.e. after deducting all the relevant operating and administrative expenses attributable to the project) ("**Pre-Tax Project Profit**")	10.38
2.	Lake Side Homes Project	ASES	0.80% of the project's GDV[(2)]	-
3.	LSH 33 Project	Besteel Engtech Sdn Bhd	75% of the Pre-Tax Project Profit[(3)]	12.55 *(completed)*
4.	Sentul Ria Project	LSH Holdings	75% of the Pre-Tax Project Profit[(3)]	-

Notes:

(1) *The total fees payable is billed in parts on a quarterly basis commencing from the first quarter when the project owner recognises progress billings for the project, until full completion of the overall works for the said project.*

(2) For information, prior to our acquisitions of ASSB and LSH Ventures (which include their collective equity interests in ASES of 93.75%) in April 2023, our Promoters, holding 93.75% effective equity interest in ASES, had incurred substantial resources and efforts in obtaining the development order for the Lake Side Homes Project over the past seven (7) years. These include funding of the said land, applying for variation of the land's express condition, and applying for and obtaining the development order for the Lake Side Homes Project (including payment of land premium and all relevant charges thereto). In this regard, this fee arrangement was agreed upon with the other shareholder of ASES who holds the remaining 6.25% equity interest therein, to compensate the resources and efforts made by our Promoters thus far through passing on the benefits to LSHBB vide the BEST Collaboration Framework agreement entered into between ASES and LSHBB on 13 April 2022.

(3) Pursuant to the terms of the BEST Collaboration Framework agreement for the respective projects, upon completion of the said development project, any unsold unit from the said project shall be recognised as the inventory of the project owner and LSHBB shall be entitled to receive 75% of the profits upon the sale of these inventory units, or at its sole discretion, elect to have 75% of the unsold inventory units be transferred to its name. For information purpose, all units under the LSH 33 Project have been fully sold, whilst LSHBB has yet to elect on either approach for the Sentul Ria Project as the construction works for this project is still ongoing.

(4) Fee collected since the date of the respective BEST Collaboration Framework agreements up to LPD. For information, the total fees collected and to be collected for the LSH Segar Project and Lake Side Homes Project subsequent to our Company's acquisition of ASSB and LSH Ventures in April 2023 will not be recognised as revenue to our Group. The total fee collected for LSH 33 Project of approximately RM12.55 million as indicated in the table above is full and final upon completion of the said project.

In addition to the above, as at LPD, our Group's ongoing infrastructure construction and engineering work projects which include the value-engineering services and solutions provided under our BEST Collaboration Framework are as follows:

No.	Project description	Partner/project owner	Fee arrangement[1]	Fee collected as at LPD[2]
				(RM million)
1.	Construction of bridge works at Nibong Tebal, Penang	Besteel Engtech Sdn Bhd	75% of the Pre-Tax Project Profit	4.37
2.	Upgrading of road works at Tangkak, Johor	SLP Construction Sdn Bhd	75% of the Pre-Tax Project Profit	1.49
3.	Construction of army family homes in Gemas, Negeri Sembilan	Besteel Engtech Sdn Bhd	75% of the Pre-Tax Project Profit	5.47

Notes:

(1) The total fees payable is billed in parts on a quarterly basis commencing from the first quarter when the project owner recognises progress billings for the project, until full completion of the overall works for the said project.

(2) Fee collected since the date the respective BEST Collaboration Framework agreements up to LPD.

Our Group has completed one (1) building construction project under our BEST Collaboration Framework, namely the LSH 33 Project, while the remaining building construction projects as well as infrastructure construction and engineering work projects carried out under our BEST Collaboration Framework are in progress as at LPD. We have been recognising fees under the BEST Collaboration Framework agreements progressively on a quarterly basis.

While the abovementioned fee arrangement under our BEST Collaboration Framework is relatively uncommon in the construction industry, our Group has managed to secure seven (7) projects under this fee arrangement as at LPD, i.e. three (3) with Besteel Engtech Sdn Bhd, and one (1) each with LSH Holdings, ASES, ASSB and SLP Construction Sdn Bhd, for their respective construction or property development projects.

(iii) Construction products

Our Group also supplies a wide range of construction products that are complementary to our construction and engineering works as well as the needs of the wider construction industry. Our business activities relating to the supply of construction products can be broadly classified under four (4) main categories as follows:

(a) Distribution of building materials

We distribute a variety of building materials which are used for construction and engineering works undertaken by our Group and to third-party clients comprising mainly contractors and property developers in Malaysia.

Some of the key building materials that we offer include the following:

Key building materials	Description
Ready-mixed concrete	Concrete that has been pre-mixed at our suppliers' factory before it is delivered to the construction site. We offer Ordinary Portland Cement (a common type of cement typically made with limestone and clay, amongst other aggregates), blended cement or specialty cement, which are available either in bags or through bulk purchases.
Steel bar	Steel bars typically used inside reinforced concrete products and masonry structures to strengthen and hold the concrete products and/or structures respectively. We offer standard or cut-to-order mild steel or high tensile steel bars.
Steel wire mesh	A reinforcement material used inside concrete products to increase structural integrity of such concrete products. We offer cold reduced mild steel wire or welded steel fabric mesh.

We secure orders for building materials on a purchase order basis. We may also enter into building materials trade agreement with our clients who are contractors or property developers to lock in the building material prices for a term of one (1) year. Such building materials include ready-mixed concrete, reinforcement bar, fabric reinforcement mesh, plywood and timber which the selling prices are generally derived from cost price plus 10% margin.

The building materials that we offer are transported directly by our suppliers to the construction site. This eliminates the need for us to temporarily store building materials in a warehouse, and enables us to only source for building materials as and when we receive orders from our clients or when we require them for our Group's own construction and engineering works.

6. BUSINESS OVERVIEW *(Cont'd)*

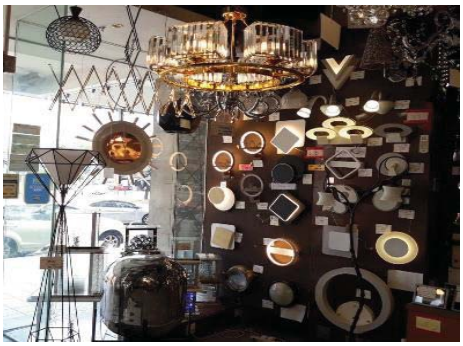
(b) Wholesale and retail of lighting and related M&E products

We offer a variety of lighting and related M&E products to contractors, property developers and retail customers. We secure orders for lighting and related M&E products from our clients who are contractors and property developers on a purchase order basis and do not sign any long-term agreement with them. In addition, we also supply lighting and related M&E products for construction projects which our Group has secured whenever the need arises. As at LPD, we carry 7,079 SKUs of lighting and related M&E products.

As we have access to a network of suppliers for lighting and related M&E products (which typically comprise manufacturers and wholesalers), we are able to source for both standard lighting products as well as custom lighting products which are made to order according to our customers' designs and specifications. These custom-made lighting products will be outsourced to and manufactured by appointed manufacturers located either domestically or overseas.

As at LPD, we operate six (6) physical retail stores across the Klang Valley region under the 'Lim Seong Hai Lighting' trade name. These retail stores enable us to display and engage in retail sales of our lighting products directly with retail customers. By visiting our retail stores, our retail customers are able to physically browse and visualise our lighting products' size, brilliance and colour, thereby enabling them to assess and decide on the suitability of the lighting products based on their needs. In addition, our on-site customer service team at the retail stores are trained to provide advice and recommendation to our retail customers in identifying lighting products that are best suited to their needs and requirements, as well as arrange for delivery and installation if required.





Retail customers can also purchase our lighting and related M&E products through online channels either through our own online store or third-party e-commerce platforms, namely Lazada and Shopee.

Our lighting and related M&E products are all stored at our retail stores and delivered directly from our retail stores to our retail customers, if required, either using our in-house delivery team or through appointed third-party logistic companies.

The lighting products that we offer broadly fall within the following three (3) categories:

Type of lighting products	Description
Indoor lighting	These products illuminate the interior of buildings. Examples include ceiling lights, chandeliers, wall lights, table lamps and stand lamps.
Outdoor lighting	These products illuminate outdoor areas, particularly where the area is unsheltered. These products are also known as exterior lighting. Examples include decorative compound lights, floodlights and underwater lights.
Decorative lighting	These products may be used either indoors or outdoors. They typically have unique shapes, designs, colours or patterns. They are generally custom-made products.

Our retail customers can also opt for installation services which are either carried out by our in-house staffs or outsourced to third-party electricians.

For wholesale orders of our lighting and related M&E products for construction projects, we provide installation services alongside a broader range of M&E works as further detailed in Section 6.2.1(i) of this Prospectus.

(c) Wholesale and retail of hardware products and tools

We offer a wide range of hardware products and tools to contractors and retail customers. We secure orders for hardware products and tools from our clients who are contractors on a purchase order basis and do not sign any long-term agreement with them.

As at LPD, we wholesale and retail 2,986 SKUs of hardware products and tools. Our hardware products and tools are sourced from various suppliers, which are typically wholesalers and distributors of hardware and tools located either domestically or overseas from China.

As at LPD, we operate six (6) physical retail stores across the Klang Valley region under the 'Knight Auto' trade name. These retail stores enable us to display and engage in retail sales of our hardware products and tools directly with retail customers. Our retail store at Balakong, Selangor also functions as a warehouse and distribution centre for our hardware products and tools. In addition, our on-site customer service team at the retail stores are trained to assist customers to locate and test the hardware products and tools, in addition to providing advice and recommendation as well as arranging for delivery, if required.





Retail customers can also purchase our hardware products and tools through online channels either through our own online store or third-party e-commerce platforms, namely Lazada and Shopee.

Our products are delivered directly from our retail stores or warehouse to our retail customers, if required, either using our in-house delivery team or through appointed third-party logistic companies.

The hardware products and tools that we offer broadly fall within the following six (6) categories:

Type of hardware products and tools	Description
Concrete mixer	A machine which homogenously combines cement, aggregate (i.e. gravel, sand or crushed rock) and water to form concrete using a revolving drum.
Generator sets	A portable equipment consisting of an engine and alternator to provide energy to a construction site.
Air compressors	Air compressors convert ordinary air into denser and more pressurised air. It is used to provide power to a variety of machinery and equipment on a construction site.
Agricultural tools and equipment	These products are used in the agricultural industry. Examples include tillers, chainsaws, blowers, lawn mowers and trimmers, and fogging machines.
Garage tools and equipment	These products are used in workshops or garages. Examples include air sandblaster guns, car jacks, coil spring compressors and tyre equipment.
Others	Other hardware products and tools that we offer include power tools, hand tools, water pumps, high pressure cleaners, welding equipment, cleaning appliances and pneumatic tools.

(d) Rental of construction machinery and equipment

We also offer a variety of construction machinery and equipment for rent to our clients. Our clients mainly comprise construction contractors who require the use of these machineries and equipment for their construction works. We typically sign a rental agreement with our clients for the rental of construction machinery and equipment. The rental terms (particularly on rental rates) differ for each client, depending on our client's requirements in terms of, among other factors, specifications and quantity of construction machinery or equipment required, duration of rental tenure, accessibility of site for delivery of construction machinery or equipment required, length of relationship, as well as requirement of machinery operators.

As at LPD, we offer 88 units of construction machinery for rent, all of which are owned by our Group, the breakdown of which are as follows:

Type of construction machinery	**Number of units**
Crane	25
Excavator	30
All-terrain vehicles, water truck and lorry	11
Other construction machineries (such as bulldozer, concrete mixer, concrete placing boom, concrete pump, forklift, sky lift and roller)	22
Total	**88**

In addition, we also offer construction equipment for rent, such as scaffoldings and aluminium or steel formworks.

These construction machineries and equipment are also used for construction and engineering works undertaken by our Group for projects that we have secured.

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6.2.2 Property development segment

In addition to our primary focus as a construction company, we are also involved in property development. As at LPD, our Group has two (2) ongoing property development projects, namely the LSH Segar Project and Lake Side Homes Project.

Further details of our Group's ongoing property development projects are as follows:

(i) LSH Segar Project



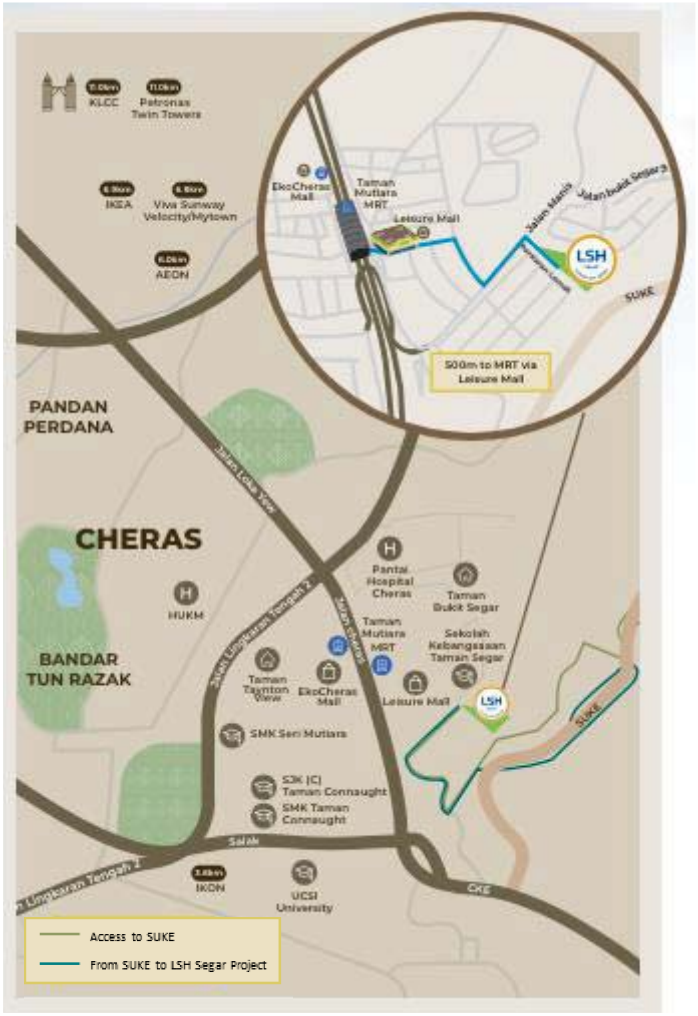
LSH Segar Project is a leasehold residential property development project located at Cheras, Kuala Lumpur comprising 435 condominium units and 440 '*Residensi Wilayah*' affordable housing units as well as 1,670 carpark lots. There are two (2) blocks of residential buildings as follows:

- one (1) 38-storey block of condominium units; and
- one (1) 32-storey block of '*Residensi Wilayah*' affordable housing units.

LSH Segar Project is located along Jalan Cheras and is adjoining to Taman Segar, a housing development in Cheras. LSH Segar Project is easily accessible via the Cheras Highway, Sungai Besi-Ulu Kelang Elevated Expressway (SUKE) and Cheras-Kajang Expressway. It is located nearby to public amenities such as public transportation (i.e. Taman Mutiara Mass Rapid Transit ("**MRT**") station and Taman Connaught MRT station), educational institutions (i.e. Sekolah Kebangsaan Taman Segar, Sekolah Jenis Kebangsaan (C) Taman Connaught, Sri Sempurna International School and UCSI University), healthcare facilities (i.e. Pantai Hospital Cheras, Pusat Perubatan University Kebangsaan Malaysia and Sunway Medical Centre Velocity) as well as shopping malls (i.e. Cheras Leisure Mall, EkoCheras Mall and MyTOWN Shopping Centre).

6. BUSINESS OVERVIEW *(Cont'd)*

The location of LSH Segar Project is illustrated in the map below:



As at LPD, the GDV of LSH Segar Project is estimated to be RM395.86 million. The size of the condominium units range from 1,000 sq ft to 3,000 sq ft, and have a selling price ranging from RM540,000 to RM2.50 million per unit, while the size of the '*Residensi Wilayah*' affordable housing units are all 850 sq ft and have a selling price of RM300,000 per unit, rendering LSH Segar Project accessible by a wide range of purchasers.

The construction of LSH Segar Project commenced in October 2021 and the project was launched in February 2022 with approximately 86.86% of units being sold as at LPD. The construction of LSH Segar Project is expected to be completed by the third quarter of 2026, with construction progress at approximately 48.91% as at LPD.

6. BUSINESS OVERVIEW *(Cont'd)*

The details of LSH Segar Project are summarised as follows:

Name of developer	ASSB
Title identification	Pajakan Negeri 54330, Lot No. 482098, Mukim Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur
Tenure	Leasehold – 99 years (expiring on 8 August 2116)
Total land area	4.14 acres
Type of development	Residential
Total estimated GDV	RM395.86 million
Year launched	February 2022
Total units launched	875 units (435 condominium units and 440 '*Residensi Wilayah*' affordable housing units)
Unit sizes:	
• **Condominium units**	1,000 sq ft to 3,000 sq ft
• **'*Residensi Wilayah*' affordable housing units**	850 sq ft
Price range:	
• **Condominium units**	RM540,000 to RM2.50 million
• **'*Residensi Wilayah*' affordable housing units**	RM300,000
% of units sold as at LPD	86.86%
Construction commencement	October 2021
Estimated completion	Third quarter of 2026

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(ii) Lake Side Homes Project



Lake Side Homes Project is a leasehold residential property development project located at Sungai Besi, Kuala Lumpur comprising 1,183 condominium units, 593 '*Residensi Wilayah*' affordable housing units and 593 PPAM affordable housing units, as well as 3,809 carpark lots. There are five (5) blocks of residential buildings as follows:

- two (2) 51-storey blocks comprising condominium units;
- one (1) 12-storey block comprising condominium units; and
- two (2) 49-storey blocks, each comprising '*Residensi Wilayah*' and PPAM affordable housing units.

Lake Side Homes Project is located near Lake Fields and the Selangor Turf Club. It is easily accessible via the Sungai Besi Expressway and Sungai Besi-Ulu Kelang Elevated Expressway (SUKE). It is located nearby to public amenities such as public transportation (i.e. Sungai Besi MRT station and Serdang Raya Utara MRT station), educational institutions (i.e. Sekolah Kebangsaan Pengkalan Tentera Darat, Universiti Pertahanan Nasional Malaysia, Bukit Jalil Sports School, IMU University and Asia Pacific University of Technology and Innovation), healthcare facilities (i.e. Columbia Asia Hospital – Bukit Jalil and Hospital Canselor Tuanku Muhriz UKM), as well as shopping malls (i.e. The Mines Shopping Mall, South City Plaza and Pavilion Bukit Jalil).

6. BUSINESS OVERVIEW *(Cont'd)*

The location of Lake Side Homes Project is illustrated in the map below:



As at LPD, the GDV of Lake Side Homes Project is estimated to be RM1,153.96 million. The size of the condominium units is expected to range from 956 sq ft to 1,834 sq ft and the selling price is expected to range from RM400,000 to RM2.00 million per unit. The sizes of the '*Residensi Wilayah*' affordable housing units and PPAM affordable housing units are expected to be 869 sq ft and 1,012 sq ft respectively, and both are expected to have a selling price of RM300,000 per unit, rendering Lake Side Homes Project accessible by a wide range of purchasers.

For information, we commenced preliminary construction works for the Lake Side Homes Project in March 2024. However, preliminary construction works were put on hold following the receipt of an interim stay order in April 2024 and were resumed in August 2024 after the said order was uplifted, details of which are set out in Section 13.6 of this Prospectus. The said project is expected to be launched in the second half of 2025, and the construction of the Lake Side Homes Project is estimated to be completed by the fourth quarter of 2029.

The details of Lake Side Homes Project are summarised as follows:

Name of developer	ASES
Title identification	Pajakan Negeri 53100, Lot No. 103675, Mukim Petaling, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur
Tenure	Leasehold – 99 years (expiring on 13 August 2117)
Total land area	11.85 acres
Type of development	Residential
Total estimated GDV	RM1,153.96 million
Estimated launch date	Second half of 2025

Estimated total units	2,369 units (1,183 condominium units, 593 '*Residensi Wilayah*' affordable housing units and 593 PPAM affordable housing units)
Unit sizes:	
• **Condominium units**	956 sq ft to 1,834 sq ft
• **'*Residensi Wilayah*' affordable housing units**	869 sq ft
• **PPAM affordable housing units**	1,012 sq ft
Price range:	
• **Condominium units**	RM400,000 to RM2.00 million
• **'*Residensi Wilayah*' affordable housing units**	RM300,000
• **PPAM affordable housing units**	RM300,000
Construction commencement	Preliminary construction works first commenced in March 2024 and were put on hold in April 2024. The works were resumed in August 2024
Estimated completion	Fourth quarter of 2029

6.3 REVENUE CONTRIBUTION BY BUSINESS SEGMENTS

The table below sets out our Group's revenue by business segments for the Financial Years Under Review:

	Audited							
	FYE 2021		**FYE 2022**		**FYE 2023**		**FYE 2024**	
	(RM'000)	**(%)**	**(RM'000)**	**(%)**	**(RM'000)**	**(%)**	**(RM'000)**	**(%)**
Construction	**67,416**	**100.00**	**165,866**	**100.00**	**343,824**	**96.10**	**288,194**	**79.74**
Construction and engineering works	547	0.81	98,982	59.68	258,485	72.25	204,354	56.54
Construction-related services and solutions	-	-	10,165	6.14	9,921	2.77	6,866	1.90
Construction products	66,869	99.19	56,719	34.18	75,418	21.08	76,974	21.30
- *Building materials*	*37,514*	*55.65*	*28,270*	*17.04*	*42,611*	*11.91*	37,788	10.45
- *Lighting products*	*5,476*	*8.12*	*6,227*	*3.75*	*5,331*	*1.49*	5,259	1.46
- *Hardware products and tools*	*12,755*	*18.92*	*13,061*	*7.87*	*12,655*	*3.54*	15,743	4.36
- *Rental of construction machinery and equipment*	*11,124*	*16.50*	*9,161*	*5.52*	*14,821*	*4.14*	18,184	5.03
Property development	**-**	**-**	**-**	**-**	**13,931**	**3.90**	**72,354**	**20.02**
Other[(1)]	**-**	**-**	**-**	**-**	**-**	**-**	**857**	**0.24**
Total revenue	**67,416**	**100.00**	**165,866**	**100.00**	**357,755**	**100.00**	**361,405**	**100.00**

6. BUSINESS OVERVIEW *(Cont'd)*

Note:

(1) This represents revenue generated from the management of the 'Blue Pool' facility at the convergence of the Gombak River and Klang River under the 'River of Life' transformation project at Kuala Lumpur.

For the FYE 2021, our Group derived all of our revenue from M&E works carried out by LSH Lighting and from our construction products sub-segment (i.e. from LSH Lighting and Knight Auto).

However, following our Group's diversification into construction and construction-related services and solutions after the acquisition of LSHBB in October 2021, our Group's revenue for the FYEs 2022 and 2023 were largely contributed by our construction and engineering works sub-segment, making up approximately 59.68% and 72.25% of our total revenue for the respective FYEs. This was followed by our construction products sub-segment contributing approximately 34.18% and 21.08%, and our construction-related services and solutions sub-segment contributing approximately 6.14% and 2.77% of our total revenue for the FYEs 2022 and 2023, respectively.

Our Group has also diversified our business activities to include property development following the acquisitions of ASSB and LSH Ventures in April 2023, which contributed approximately 3.90% of our total revenue for the FYE 2023.

For the FYE 2024, our Group's revenue was also largely derived from our construction and engineering works sub-segment, making up approximately 56.54% of our total revenue for the said financial year. This was followed by our construction products sub-segment, our property development segment and our construction-related services and solutions sub-segment, which contributed approximately 21.30%, 20.02% and 1.90%, respectively, for the FYE 2024.

6.4 PRINCIPAL MARKETS

We operate entirely in Malaysia where we carry out construction and engineering works, construction-related services and solutions as well as supply of buildings materials for construction projects located in various states in Malaysia. We also engage in the wholesale and retail of lighting and related M&E products as well as hardware products and tools through 12 physical retail stores located across the Klang Valley region, online e-commerce platforms such as Lazada and Shopee, as well as our own online stores. Apart from our wholesale and retail operations, we also provide rental services for machinery and equipment for construction projects based in Malaysia. In addition, the property development projects for which our Group is involved in are all located in the Klang Valley region.

6.5 SEASONALITY

The construction industry and property development industry which our Group is involved in are cyclical in nature and are dependent on the country's general economic conditions and fiscal policies of the Malaysian Government. We have not experienced any material seasonality in our business as the nature of our business operations are not subject to seasonal fluctuations.

6.6 LOCATION OF OPERATIONS

As at LPD, our Group operates from the following premises:

Company	Main function	Approximate built-up area	Location
LSH Capital Group	Head office and retail store for Knight Auto	23,244 sq ft	Wisma Lim Seong Hai, No. 33, Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia
LSH Lighting	Retail store	1,412 sq ft	No. 3, Block A, Diamond Square, Jalan Semarak Api 1, Off Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia
LSH Lighting	Retail store	10,603 sq ft	No. G-1, 1-1, G-2, 1-2, G-3, 1-3 & 1-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia
LSH Lighting	Retail store	5,551 sq ft	No. 1, 1A & 1B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia
LSH Lighting	Retail store	12,526 sq ft	No. 1 & 2, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia
LSH Lighting	Retail store	3,740 sq ft	No. 3A, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia
LSH Lighting	Retail store	15,215 sq ft	Lot G-08, 09 & 10, Lot Level 1-08, 09 & 10, Lot Level 2-08, 09 & 10, Laman Seri Harmoni (LSH 33), No. 3, Jalan Batu Muda Tambahan 3, Sentul, 51100 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia
Knight Auto	Retail store	1,405 sq ft	No. G-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia
Knight Auto	Retail store and warehouse	14,478 sq ft	Lot 1879, Jalan KPB 5, Kawasan Perindustrian Kampung Baru Balakong, 43300 Seri Kembangan, Selangor Darul Ehsan, Malaysia
Knight Auto	Retail store	4,920 sq ft	No. 349, 349A & 349B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia
Knight Auto	Retail store	11,925 sq ft	No. 349A, Wisma Knight Auto, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia
Knight Auto	Retail store	6,191 sq ft	Lot G-16, 17 & 18, Laman Seri Harmoni (LSH 33), No. 3, Jalan Batu Muda Tambahan 3, Sentul, 51100 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia

Details of the abovementioned properties are set out in Annexure C of this Prospectus.

6.7 COMPETITIVE STRENGTHS

6.7.1 We have an integrated business model that is synergistic

As a full-fledged construction company, we have the capability to engage in a broad range of construction and engineering works. In addition to providing construction and engineering works, we are able to provide value-engineering services and solutions for our clients' construction and property development projects under our BEST Collaboration Framework. Our construction and engineering works are further complemented by our construction products sub-segment which supplies building materials, lighting and related M&E products, hardware products and tools as well as construction machinery and equipment required for our construction and engineering works as well as the needs of the wider construction industry.

Meanwhile, our property development business segment also acts as an enabler for our construction segment as it creates new business opportunities for this segment. For information purpose, the total outstanding orderbook for our construction segment stood at approximately RM1.52 billion as at LPD, of which approximately RM908.96 million are derived from our Group's existing property development projects.

On the other hand, our Group's property development business can also achieve cost synergies by leveraging on our construction segment's strengths and prowess in construction and engineering works, as well as provide an additional revenue stream for our Group through the sales of property units.

Integral to our Group's overall business model is our BEST Collaboration Framework, i.e. a framework for collaboration between our Group and our clients (such as land owners, property developers or contractors). The BEST Collaboration Framework essentially allows our clients to tap into our Group's expertise and experience in the construction industry to achieve the shared objective of value-enhancement beyond ordinary construction and engineering works, as further elaborated in Section 6.2.1(ii) of this Prospectus. For construction projects carried out under our BEST Collaboration Framework where we collaborate with project owners or contractors, we are able to jointly combine our resources with our collaboration partners' resources to increase our chances of securing projects. These contractors can also leverage on our track record and financial position when tendering for new projects as well as our extensive experience and expertise in other areas.

In summary, our Group's integrated business model allows us to reap the following benefits:

(i) improve operational efficiency and optimise cost, especially for contracts carried out under our BEST Collaboration Framework, as we can provide value-engineering services and solutions such as recommending alternative engineering designs, layouts, building materials, construction methodology and/or processes to optimise time and cost, minimise risks of workplace incidences, as well as reduce wastages;

(ii) improve build quality and ensure timely completion of projects as we have the capability to carry out key processes such as substructure construction, superstructure construction and engineering works in-house, which allows for a seamless coordination of various workflows; and

(iii) reduce risk of being affected by supply chain disruptions as well as enjoy lower costs through bulk purchases and direct distribution channels, as we are able to supply construction products and provide construction machinery and equipment rental from within our Group.

6.7.2 We have a proven track record in the construction industry

Our Group's footprint in the construction industry first began in 1995 via the construction products sub-segment through LSH Lighting and then in 1999 through Knight Auto, as well as M&E works provided through LSH Lighting. Our Group subsequently widened our presence in the construction industry by growing our track record in construction and engineering works following the acquisition of LSHBB on 15 October 2021, which has since elevated our construction and engineering works sub-segment to become the largest revenue contributor for our Group from the FYE 2022 onwards. Our Promoters subsequently consolidated the construction business under ASSB with that of LSH Capital through the acquisition of ASSB in April 2023. Notwithstanding that these companies were only recently acquired by our Company, LSHBB's and ASSB's track record in the construction industry can be traced back to 2020 and 2015 respectively, when they first commenced their respective construction business in those years. As at LPD, LSH Lighting, LSHBB and ASSB have collectively completed 53 construction and engineering work projects (including those that were completed by LSHBB and ASSB prior to the acquisitions of LSHBB and ASSB by our Company in October 2021 and April 2023 respectively) with a total combined value of approximately RM1.22 billion, of which approximately RM701.42 million were awarded by companies in which our Promoters and/or persons connected with them have interest in. Some of the notable construction and engineering work projects completed by LSH Lighting, LSHBB and ASSB include various scope of work done for the DUKE project, EkoCheras mixed development project and SPE project. The completion of the construction of the LSH 33 Project following the issuance of CPC in June 2024 and CCC in September 2024 also marks the completion of our Group's first building construction project as a main contractor.

Meanwhile, through our construction products sub-segment, we have a long-established track record as we have been supplying lighting and related M&E products since 1995, initially under the 'Fablelite' trade name and subsequently under 'Lim Seong Hai Lighting' after its rebranding in 2014. In addition, our Group's track record in the wholesaling and retailing of hardware products and tools as well as the rental of construction machinery and equipment dates back to Knight Auto's establishment in 1999. To-date, our Group has expanded our footprint in the construction products space to 12 physical retail stores across the Klang Valley region, online e-commerce platforms such as Lazada and Shopee as well as our own online stores.

Our experience, track record and in-depth knowledge of the construction industry that we have developed have thus far contributed to our Group's reputation and recognition within the construction industry, and placed us in a competitive position to tender for larger construction contracts alongside other established peers within the construction industry.

6.7.3 We have a diversified range of construction capabilities across various sub-segments within the construction industry

We have a diversified portfolio of construction projects which we have completed and are presently undertaking for various sub-segments within the construction industry. These include building construction as well as infrastructure construction and engineering work projects. In particular, our present portfolio of ongoing building construction projects includes residential and mixed development projects. On the other hand, our infrastructure construction and engineering work projects include various road and bridge works, flood retention and structural works, as well as M&E works.

The broad range of expertise and vast experience that we have gained enables us to service various construction sub-segments and tender for a wider range of construction contracts, thereby reducing the risk of over-reliance on the performance of any particular construction sub-segment, whilst enabling us to promptly react to changing market conditions. Having a broad range of expertise also allows us to be more selective in undertaking contracts during times when construction contracts are in abundance (i.e. by having greater emphasis on contracts that yield higher profitability).

Furthermore, our Group, through LSH Lighting, ASSB and LSHBB, is a G7 contractor registered with the CIDB, which allows us to tender and undertake contracts for projects involving construction and engineering works and/or construction-related services and solutions with no tender limit. This essentially broadens the range of construction projects that we are able to tender and undertake without any limitation to contract value.

6.7.4 We have a qualified and experienced Board and management team

Our Group is managed by an experienced management team. Our management team is led by our Executive Vice Chairman, DLKG, who has more than 30 years of in-depth commercial experience in property development and construction related activities, such as building and civil engineering works, design and build, turnkey projects as well as trading in building materials, reconditioning and rental of machinery. DLKG is also supported by our Group Managing Director, Lim Pak Lian who oversees the overall management of our Group's financial and administrative activities as well as the implementation of our Group's business plans, strategies and policies approved by our Board. DLKG is further supported by Lim Keng Hun, who manages our Group's construction products sub-segment, in particular the wholesale and retail of hardware and tools, as well as rental of construction machinery and equipment as our Managing Director of Machinery, Hardware and Tools Division. Our Executive Director, Lim Ding Shyong also brings with him almost 13 years of experience in the construction and property development industries. Other technical aspects of our Group's construction and property development activities are also overseen by Ir. Timothy Pang Tze Chin, our Project Director, who is a trained engineer with almost 10 years of experience.

On the other hand, our Non-Executive Chairman, Tan Sri KC Lim, brings with him over 40 years of experience in the field of construction and property development related industries, including but not limited to building and civil engineering works, design and build, turnkey construction works and projects, machinery trading as well as property development. As our Non-Executive Chairman, Tan Sri KC Lim provides valuable advisory and insight in shaping and chartering the strategic direction and expansion plans of our Group. Our Independent Non-Executive Directors also support our Group in their respective fields, whereby Dato' Seri Ir. Hj. Mohd Noor Bin Yaacob brings with him over 35 years of experience in civil engineering works, Lee Swee Kheng brings with her over 35 years of experience in accounting and finance-related activities especially in the property development field, whilst Dato' Wang Sze Yao @ Wang Ming Way brings with him over 30 years of legal expertise. In addition, our Independent Non-Executive Directors who were appointed on 26 November 2024, namely Nurulhuda Hayati Binti Ibrahim and Ar. Alina Binti Abdullah, each brings with them over 30 years of experience in landscape architecture and over 18 years of architectural experience, respectively.

Our Group is thus able to leverage on our Board and management team's broad range of expertise and vast experience to provide our Group with insights on the needs and market conditions of the construction and property development industries, which allow us to better serve our clients. Further, we are also able to leverage on our Board's network and reputation when securing building and infrastructure projects and orders for construction products, as well as their rapport and experience in dealing with the authorities to expand our business.

6.7.5 We have a strong construction orderbook that will sustain us in the near or near-mid term

As at LPD, we have 16 ongoing construction and engineering work projects with a total outstanding orderbook value of approximately RM1.52 billion. Of the 16 ongoing construction and engineering work projects, four (4) are building construction projects while 12 are infrastructure construction and engineering work projects. Please refer to Section 6.2.1(i) of this Prospectus for further information on our ongoing construction and engineering work projects.

The nature of our construction and engineering works is largely project-based and typically non-recurring. Revenue to be generated from our outstanding construction and engineering works orderbook is expected to be recognised progressively over the next six (6) financial years up to the FYE 2030. Notwithstanding this, we will continue to participate in tenders and/or submit proposals for construction and engineering work projects to replenish and further enlarge our Group's construction and engineering works orderbook.

6.8 FUTURE PLANS AND STRATEGIES

6.8.1 We plan to continue building our orderbook for construction and engineering works as well as construction-related services and solutions sub-segments, whilst also exploring potential infrastructure concession ownership opportunities

Our overall business strategy is to continue leveraging on our core strength and competency in providing construction and engineering works and construction-related services and solutions. As at LPD, our total outstanding construction and engineering works orderbook stood at approximately RM1.52 billion, which is expected to be recognised as revenue progressively until the FYE 2030.

We will continue to submit tenders and proposals for construction and engineering work projects with a view to further build resilience for our Group's orderbook. We will also endeavour to secure more construction and engineering work projects through our BEST Collaboration Framework by demonstrating the value created from our construction-related services and solutions that we provide, which allows us to recognise an additional revenue stream over and above progress billings from construction and engineering works that we carry out.

As at LPD, our recent efforts in pursuing new infrastructure construction projects have thus far resulted in a strategic collaboration between Permodalan Negeri Selangor Berhad, IJM Corporation Berhad and our Company, which was announced on 8 March 2024 vide the signing of an intent to collaborate agreement. This strategic collaboration will be over a period of three (3) years and focuses on transforming road transportation infrastructure in the Southern Selangor Integrated Regional Development (IDRISS), which itself aims at harnessing the economic potential of the Sepang and Kuala Langat districts. The intent to collaborate agreement is to record parties' intention and understanding to collaborate with each other to procure, implement and own infrastructure projects in the Southern Selangor region ("**Projects**"). The collaboration leverages on our Group's and IJM Corporation Berhad's reputation and expertise in construction, our Group's BEST Framework solutions which includes assistance in tender submissions, project management and cost-effective solutions as well as Permodalan Negeri Selangor Berhad's reputation, expertise and track record on land development matters as it is owned by the Selangor State Government. The collaboration will also involve studying various viable connectivity routes and plans to introduce key transportation links, with the objective of improving connectivity, reducing travel time and creating new development corridors in these districts. Through the strategic collaboration, the parties will collaborate to prepare proposal and/or bid for such Project to the Malaysian Government. In the event any such Project is awarded, our Group will be able to undertake a portion of the construction works related to such Project.

In addition, we also intend to be a concession owner for infrastructure construction projects such as highways. As a concession owner, we will not only perform the construction and engineering works for the project, but also be responsible for the operations and maintenance of these assets once construction is completed. This will enable us to recognise recurring income from such operations and maintenance activities, thereby providing sustainable earnings for our Group in the future. As such, as part of our Group's business plan, we intend to identify potential new assets and submit proposals to the relevant parties for their consideration. To this end, we intend to leverage on the expertise of some of our Directors and Key Senior Management in construction and construction-related services (especially in highway projects), as well as build our Group's knowledge and resources on operations and maintenance activities through the proposed establishment of facility management services as a new business segment in our Group as further described in Section 6.8.3 below.

As at LPD, our Group have submitted proposal for a few concession projects, which is still under evaluation by the Malaysian Government. In the event that our Group secures any of these concession projects, we may need to hire additional employees to carry out the management and provision of operations and maintenance services. We also plan to fund this new venture through internal funds, bank borrowings, as well as equity and debt financing (such as sukuk).

To ensure the continued progress of our Group's ongoing construction and engineering work projects, we have allocated RM108.86 million of the gross proceeds to be raised from the Public Issue to fund the working capital required for our Group's ongoing and future construction and engineering work projects, of which RM78.86 million, RM20.00 million and RM10.00 million have been earmarked for building construction projects, infrastructure construction and engineering work projects, as well as future construction project(s), respectively. Such working capital includes costs for subcontractor services, purchase of building and/or construction materials, as well as payment of construction workers' salaries and wages.

Overall, we believe the track record, experience and expertise we have gained from our past projects coupled with our integrated business model provide us with the platform to harness business opportunities within the construction industry.

6.8.2 We intend to complete our existing property development projects and continue expanding our portfolio of property development projects

Aside from overseeing the continued construction of our LSH Segar Project, the focus of our Group's property development division for the immediate future will be on the launch of our Lake Side Homes Project which is expected to be in the second half of 2025. Our LSH Segar Project and Lake Side Homes Project carry estimated GDV of approximately RM395.86 million and RM1,153.96 million respectively, which will enable our Group to recognise revenue from property development activities progressively until the FYE 2030. Collectively, these two (2) properties development projects will establish our Group's brand presence in the property development industry, in particular in the Klang Valley region. The construction costs for LSH Segar Project and Lake Side Homes Project are estimated to amount to approximately RM1.04 billion (in total), which will be funded via the gross proceeds to be raised from the Public Issue as well as internal funds derived from, among others, progress claims and/or bank borrowings.

Building on further from our Group's brand presence in the property development industry, we intend to continue expanding our portfolio of property development projects by identifying new landbank and/or development opportunities.

6.8.3 We intend to establish facility management services as a new business segment in our Group

With our experience in construction and engineering works as well as in property development projects, our Group also plans to establish facility management services as a new business segment which will serve as a source of new and recurring income for our Group. Under this segment, we expect to manage the operations of the facility, as well as maintain the facility or asset to ensure its functionality, comfort and safety. We expect the facility management services we offer to include one (1) or more of the following services:

(i) **Operational management** – Budgeting and implementing cost control measures to manage operational expenses;

(ii) **Maintenance services** – Regular inspection, upkeep and repair of all M&E and plumbing systems. This includes heating, ventilation and air-conditioning systems, elevators, escalators and fire protection systems;

(iii) **Housekeeping and cleaning** – Managing cleanliness and sanitation throughout the facility including public areas and restrooms. This may involve daily cleaning routines, waste management and pest control;

(iv) **Security and surveillance monitoring** – Implementing security protocols to safeguard the premises, including manned guarding, surveillance system monitoring, access control systems and emergency response planning;

(v) **Health and safety compliance** – Ensuring that the facility meets all health, safety and environmental regulations. This involves conducting regular inspections, maintaining records and implementing necessary improvements. This also involves developing and implementing emergency response plans for various scenarios such as fire, natural disasters or medical emergencies as well as training personnel on emergency procedures; and

(vi) **Landscaping** – This includes managing outdoor spaces to ensure that it is aesthetically pleasing, safe and environmentally sustainable. This involves mowing lawns, trimming bushes, fertilising, pruning, monitoring irrigation schedules for trees, shrubs and flowers as well as debris cleaning.

In building our Group's capabilities and track record in providing facility management services, we have entered into a BEST Collaboration Framework agreement with Service Master (M) Sdn Bhd, a company that has over 30 years of experience in the maintenance and engineering services industry. This BEST Collaboration Framework entails jointly identifying and tendering construction and engineering projects and any other business opportunities that have been mutually agreed to be suitable such as facilities management.

6. BUSINESS OVERVIEW *(Cont'd)*

Our joint efforts with Service Master (M) Sdn Bhd have thus far resulted in the agreement-in-principle by the Public Private Partnership Unit of the Prime Minister's Department, Malaysia (UKAS) on 7 June 2024 for LSHBB and Service Master (M) Sdn Bhd to jointly manage the operations and maintenance of the Kuala Lumpur Tower ("**KL Tower**"). As at LPD, we have neither obtained site possession of the KL Tower nor commenced the facility management services at the KL Tower as we are in the midst of negotiating the definitive terms of the concession agreement with the Malaysian Government for the operations and maintenance of the KL Tower. Nevertheless, we estimate that the required working capital (comprising staff salaries, consumables and third-party services such as lift maintenance services, security and parking management) to manage the operations and maintenance of the KL Tower will amount to approximately RM10.30 million annually. The working capital will be funded via internal funds and borrowings, whilst any equity injection (as may be required by the Malaysian Government) and/or guarantees to be provided to obtain the borrowings will be shared between our Group and Service Master (M) Sdn Bhd in proportion to the shareholdings held by each party in the joint-venture company.

We also intend to evaluate and explore opportunities to operate and manage the facilities of residential buildings for which we were involved in the construction and/or development in. This will not only provide additional recurring income to our Group following the completion of the construction of building projects, but also allow us to continue extending our brand presence to our purchasers post-handover of vacant possession by continuing to serve them through maintenance of the residential building.

In addition, as our Group continues to broaden our network and capabilities in facility management services, we intend to also evaluate and explore opportunities to unlock further value in the facilities we manage with the respective asset owners, in particular in areas related to construction wherein our Group is capable of offering synergistic value to the asset owners.

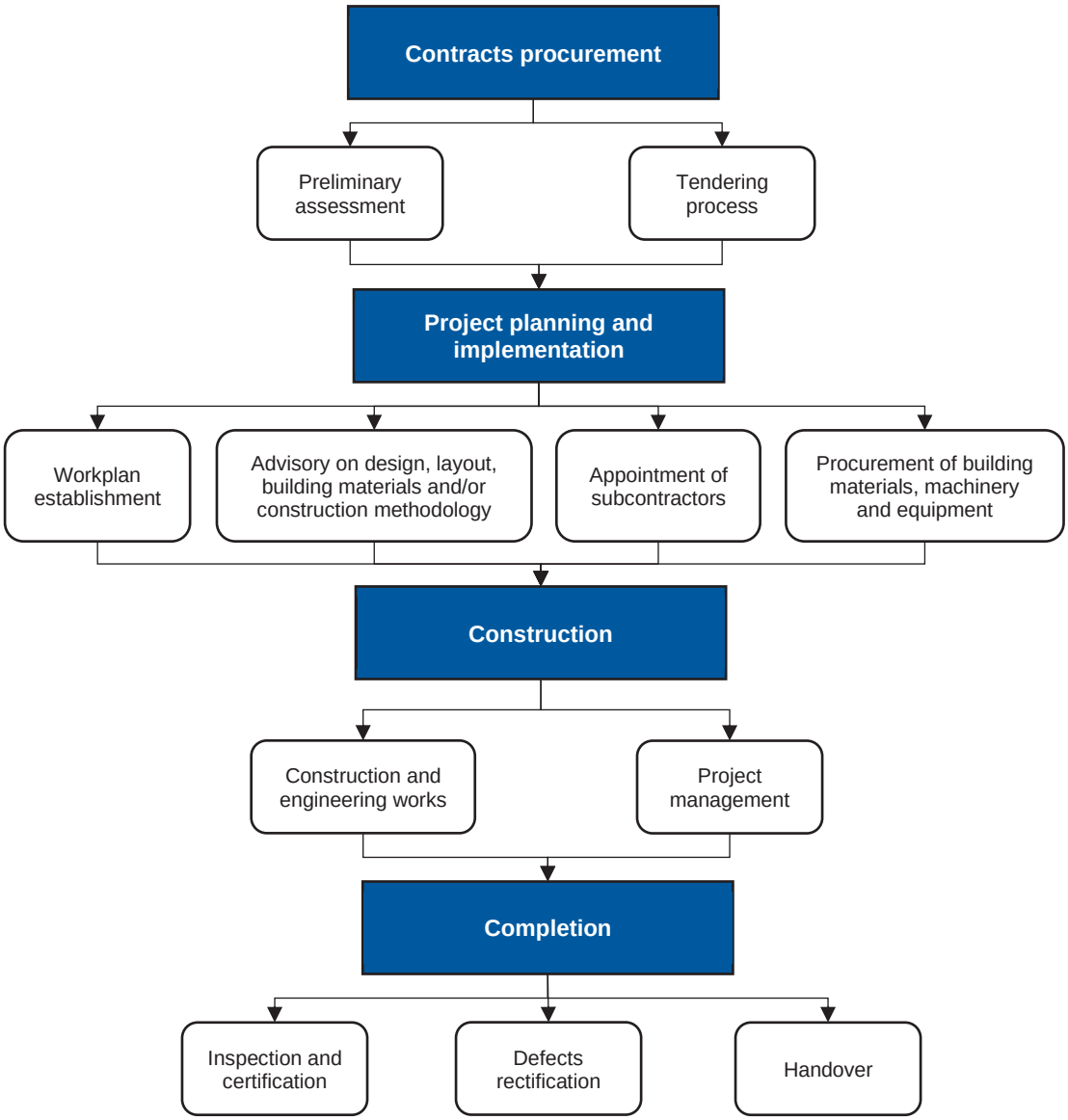
As a prelude to the overall establishment of our facility management services segment in the future, we have secured a contract for the provision of facility management services which entails the management of the 'Blue Pool' facility (which features a dancing symphony fountain, blue corridor, fog and lighting effects) at the convergence of the Gombak River and Klang River under the 'River of Life' transformation project at Kuala Lumpur. This three (3)-year project awarded by Call Times Engineering Sdn Bhd carries total contract value of approximately RM6.51 million, and our Group has generated approximately RM0.86 million of revenue from this facility management services contract during the FYE 2024. Once we have built sufficient capabilities and are able to secure other facility management services contracts with greater value and longer term, we will formally establish facility management services as permanent standalone business segment of our Group. Nevertheless, we do not expect this new segment to contribute substantially to our Group's net profit in the near term.

For information purpose, our future plans and strategies as detailed above do not involve the acquisition of any company.

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6.9 PROCESS FLOWS

6.9.1 Construction segment – construction and engineering works as well as construction-related services and solutions



(i) Contracts procurement

Our Group's construction and engineering work projects typically commence with the procurement of contracts either through tenders, referrals or invitations from existing or prospective clients. Prior to preparing a tender document or providing a quotation, we will conduct a preliminary assessment on the terms given by the prospective client, the creditworthiness of the prospective client, feasibility of the project as well as the scope of work.

Generally, we will assess the site, estimate the costs, perform budgeting, identify statutory and regulatory requirements, evaluate pre-determined designs and specifications as well as plan out the resources required (including manpower and supply of materials, machinery and equipment) and project timeline, before our contracts team commence preparing the tender document or proposal. Some of the key terms stipulated in our tender document or proposal include, among others, contract value, scope of work (including value-engineering services and solutions, if any), expected commencement and completion dates of work, DLP, payment terms and LAD terms. Our procurement team will also provide the estimated cost for sourcing of relevant materials and services to our contracts team for their preparation of tender document or proposal.

Once the tender document or quotation proposal is prepared, we will submit the relevant documents, including information pertaining to our track record and experience to demonstrate our capabilities. Following the submission of the tender, we may be invited to attend a tender interview by the prospective client to review and negotiate the terms of the tender. The tender review process typically takes up to 12 months from our tender submission until the conclusion of the tender exercise.

If we are successful in our tender bidding or our project proposal has been accepted by the client, we will receive a letter of award from the client prior to the signing of contract. We may have further discussions with the client depending on whether there are any changes required to the conditions of the letter of award or the specifications of the project. Once the agreed terms of the contract are finalised, the contracts procurement phase will be concluded with the execution of the contract by the client and us.

(ii) Project planning and implementation

(a) Workplan establishment

Once we have received the letter of award from the client and executed the contract, we will set up a project team comprising personnel from various business functions such as site operations, contracts, procurement, finance and accounts, as well as legal. The project team will then begin establishing a workplan for the project which will involve, among others, the following aspects:

- scheduling in terms of project milestones and timeline;
- detailed project costing and financial resources;
- allocation of resources such as manpower, building materials, machinery and equipment;
- ensuring all the relevant regulatory permits and approvals required for the commencement of the projects have been obtained, such as the construction permit from the local councils for each project site and a valid certificate of fitness for the construction machinery and equipment to be used at the site;
- establishment of worker's health and safety practices and quality assurance programme; and
- other matters such as waste removal and logistics arrangement.

Some of the construction and engineering work projects which our Group is involved in will require our Group to submit performance bonds in the form of an approved bank guarantee or a cash deposit (in-lieu of a performance bond) to the awarding party as security for proper and due performance of works, as set out in the contract. Depending on the terms of the contract, such sum usually amounts up to 5% of the total contract sum. The performance bond typically remains in effect until the issuance of CCC or CPC, or the end of the DLP period (as the case may be).

In most cases, a retention sum equivalent to 5% of the total contract sum will also be retained by the client. Depending on the terms of the contract, the retention sum will usually be released in two (2) tranches wherein the first tranche will be released upon issuance of the CCC or CPC (as the case may be), while the second tranche will be released upon expiration of the DLP.

(b) Advisory on design, layout, building materials and/or construction methodology

For contracts under our BEST Collaboration Framework containing value-engineering services and solutions as part of the overall scope of work, our project team will commence planning and coordinating with the relevant third-party consultants who are appointed by us (such as architects, quantity surveyors and engineers) to develop or recommend optimal and suitable alternative conceptual designs, schematic and detailed designs as well as submit the designs to the authorities according to the purpose of the building or structure. While recommending alternative conceptual designs, wherever suitable, we will also recommend alternative building materials to be used or construction methodology or processes to be undertaken, to improve construction and operational efficiency.

Our responsibilities on the design aspects of the project are mainly planning, coordinating and participating in the early stage of conceptual design up to the detailed design covering various areas including, among others, civil engineering, structure, M&E and other elements of the building and infrastructure.

We will also facilitate the submission of the drawings developed during the design phase for our client to the relevant authorities. Generally, the design drawings for a construction project include the following:

- architectural drawings which include, among others, the site plan, floor plan, cross section drawings, elevation and landscape plan as well as finishing drawings stipulating the specification of construction materials such as paint colour, facade materials and flooring type;

- structural drawings which include, among others, the column and beam layout drawings stipulating the position, design, length and sectional design of columns and beams of the building, as well as engineering layout drawings and foundation plan drawings;

- air conditioning and mechanical ventilation (ACMV) drawings which set out the design and layout of the cooling and ventilation systems within the building;

- electrical (including extra low to high voltage), plumbing and sewerage drawings which set out the layout of electrical and piping systems within the building;

- firefighting drawings which set out the fire protection plan and safety systems such as the placement of fire hoses, points and water outlets within the building; and

- landscape drawings which show the landscape design of the building and the open areas of the project site.

For the avoidance of doubt, for construction and engineering work that is awarded to us outside of our BEST Collaboration Framework (i.e. without any value-engineering services and solutions as part of the overall scope of work), we will execute it based on the design that has been pre-determined by our client. In this regard, authority submissions pertaining to the design are carried out by our client or their appointed professionals, and we will plan our construction and engineering works according to the approved design.

(c) Appointment of subcontractors

If required, we will identify and appoint suitable subcontractors to provide various construction services such as manual labour, installation of materials, or operation of machinery and equipment. This may be done through a separate tender process carried out by us to select suitable subcontractors from our panel of subcontractors.

Once we receive the quotations from the subcontractors, we will review the proposed quotation and conduct a background check on the subcontractors. The appointment of the subcontractors will be based on the evaluation conducted by our contracts department based on criteria such as quality of work, experience, past record on timely completion of work, responsiveness to instruction, efficiency, reliability, their resources including manpower, plant and materials, financial performance, past working experience with them (if any) as well as their QESH compliance.

Our contracts team will prepare a letter of award based on the contract value and terms negotiated and agreed between us and the identified subcontractors. Some of the information stipulated in the letter of award include the contract value, scope of work, design and specifications, timeline for the commencement and completion of the work, and payment terms.

In most cases, a retention sum equivalent to 5% of the total contract sum with the subcontractor will also be retained by us. Depending on the terms of the contract, the retention sum will usually be released in two (2) tranches wherein the first tranche will be released upon issuance of the CCC or CPC (as the case may be), while the second tranche will be released upon expiration of the DLP.

Depending on the project, subcontractors are also liable for the rectification of defects during the DLP, which typically ranges from 12 months up to 24 months, upon receipt of CCC or CPC (as the case may be).

(d) Procurement of building materials, machinery and equipment

Based on the workplan and budget that have been set, our contracts team will identify the building materials, lighting and/or related M&E products required for the project. Thereafter, our procurement team, together with third-party consultants such as engineers and architects, will source and evaluate the products prior to placing orders with the suppliers. Upon receipt of the building materials, lighting and/or related M&E products at the construction site, our site supervisor will perform checks on these products to ensure that the specifications and quantity of materials is as per our purchase order.

With our experience gained through Knight Auto over the years, we will plan and determine the required machinery and equipment to meet the requirements of our project. Thereafter, we will deploy the machinery and equipment from our existing fleet to the construction site in accordance with the work schedule. If we do not have the required machinery and equipment, we will source or rent the said machinery or equipment from our network of suppliers.

(iii) Construction

(a) Construction and engineering works

Once we have obtained the required approvals from local authorities, we will proceed with physical construction and engineering works.

Construction works for our projects begin with site preparation and earthworks. Site preparation mainly involves setting up temporary facilities and utilities such as staging areas for machinery, equipment and materials, scaffolding, site office, workers' accommodation and power and water supply at the construction site. These site preparation works may also include clearing of vegetation, overgrown shrubs and trees, removal of boulders, tree stumps and roots, excavation, backfilling and transportation of soil to and from the site as well as levelling and compacting the earth.

Meanwhile, earthworks involve slope stabilisation to prepare the site for construction as well as foundation works to support the load of the entire building, and retaining walls are built to stabilise the structures to hold back the pressure of the soil and/or water for the basement walls.

We may either undertake these processes in-house or engage subcontractors which will be under our supervision to carry out such works.

Generally, our scope of work for our construction and/or engineering works are as follows:

(aa) Substructure construction

Substructure construction mainly covers construction works below ground level such as underground tunnels and carpark. Substructure construction works can be carried out by our in-house construction team. However, we may also engage subcontractors to carry out certain portions of the substructure works, in which case our role is mainly focused on project management, coordinating workflow, supervision of construction work, quality assurance as well as ensuring workers' health and safety.

(bb) Superstructure construction

Superstructure construction refers to construction works that are above the ground. Superstructure works involve structural works such as erection of columns, beams, walls, slabs and roofing for building and infrastructure construction. We may either employ aluminium or steel formwork system, or procure IBS pre-cast concrete structures for the construction of superstructures.

In some cases, we may also be responsible for the internal fit-out (which include, among others, the installation of tiling, ceiling, partition and/or furnishing) of the buildings where we will engage subcontractors to conduct the works under our supervision.

(cc) Engineering works

During this stage, we or our appointed subcontractor (depending on the nature of work and/or availability of resources) will perform installation of electrical and power supply system, communication and information technology network system, lighting system, water supply system, drainage and sewerage, fire protection system as well as other M&E works, depending on the requirements of the project.

(b) Project management

Throughout the entire construction phase, our site project manager will monitor all the activities at the construction site to ensure that they are being carried out in accordance with the approved design and plan. Additionally, the construction site will also be monitored to ensure compliance with the relevant QESH guidelines and policies.

Our site operations team will monitor the progress of the construction site, ensure the correct methodology and materials are used for construction, monitor and minimise material wastages, as well as ensure health and safety precautions at the site have been implemented based on our Group's quality assurance system and adhered to by subcontractors and workers. In addition, site visits will be regularly conducted to, among others, identify any potential hazards that may affect the workers or construction progress, and that all health and safety precautions at the site have been implemented.

We will submit progressive claims to our clients (for our Group's external construction and engineering work projects) or our internal property development team (for our Group's own property development projects) based on the percentage of works that we have completed. The approval of the progressive claims is subject to approval by our client together with the certification by the consulting architect and engineer, which then allows us to issue invoice to our client for the work we have performed for their construction or engineering work projects.

During the course of the project, our client may vary part of the works that is necessary for the project. Such variation may include additions, cancellations, substitutions, alterations and changes of work scope. A variation order will usually be issued to us from our client describing the detailed variation works and/or enclosing the revised drawings. We will then submit the cost and time required for the variation work to the client for their approval. The principal terms and settlement of the variation orders are generally the same as those specified in the main contract.

(iv) Completion

Upon completion of the construction or engineering works, we will carry out various inspections and checks together with our client or internal property development team and third-party consultants (i.e. consulting architects and engineers), to ensure that the works completed fulfil the scope as stipulated in the contract. The main areas where inspections and checks are carried out are as follows:

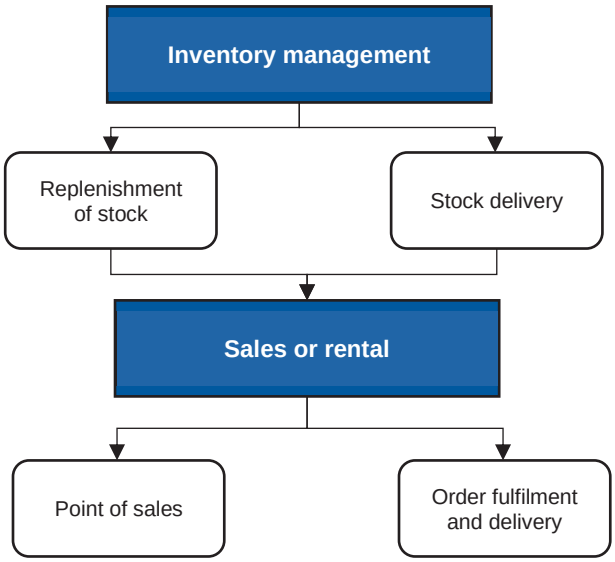
- structural works;
- architecture works;
- M&E works (including testing and commissioning of electrical equipment such as elevators and air conditioning); and
- other relevant works as stipulated in the contract.

Any defects identified during the inspection will be rectified by us or the appointed subcontractor in a prompt manner and the cost of these works will be borne by us or the appointed subcontractor (as the case may be). At the same time, we will progressively demobilise resources and construction materials from the site before handover, and the as-built drawings and required warranty certificates will be prepared by us or the appointed subcontractors and be handed over to our client. Generally, post construction, each project will have a different timeline for handover from the post-construction stage as it is dependent on, among other factors, whether there is any post-construction rectification works to be undertaken. The project is deemed to be completed upon receiving CPC issued by the third-party consultant (i.e. consulting architect or engineer).

Depending on the project, we are liable for the rectification of defects during the DLP, which typically ranges from 12 months up to 24 months, upon receipt of CPC. The rectification works will be carried out by us with the respective subcontractors including nominated subcontractors who are under our supervision, control and management (as the case may be). If there is a defect liability claim that is attributable to the works carried out by subcontractors, the respective subcontractors will perform the repair and rectification works and the cost of these works will be borne by the subcontractors. Similarly, if the defect is attributable to works carried out by us, we will perform the repair and rectification works and the cost of these works will be borne by us.

Upon the expiration of the DLP, we will receive the CMGD for the project where we will be able to claim the final retention sum. For projects where our Group is required to submit a performance bond or cash deposit, the performance bond or cash deposit will be returned to our Group after the expiration of the DLP.

6.9.2 Construction segment – construction products



(i) Inventory management

All building materials that we offer are transported directly by our suppliers to the construction site according to orders and as such, we are not required to maintain any such physical inventory. All of our inventory for lighting and related M&E products are stored at our 'Lim Seong Hai Lighting' retail stores, while our inventory for hardware products and tools are stored at our 'Knight Auto' warehouse and retail stores. We use a real-time inventory management system to track stock levels at the respective retail stores and/or warehouse to enable ease of stock replenishments or stock transfers between the retail stores.

For lighting and related M&E products as well as hardware products and tools, our procurement team will place orders through our network of suppliers, whenever the stocks are low at our retail stores and/or warehouse or if required for our construction and engineering work projects. The lighting and related M&E products, hardware products and tools are delivered from our supplier directly to our retail stores or warehouse. Upon receipt of the products at our premises, our retail team will conduct the necessary inspections to ensure the volume and specifications of the products are as per our purchase order. The products which fail our inspections will be rejected and returned to the respective supplier. Thereafter, we will update our inventory system accordingly. The products will then be sorted and displayed in their relevant aisles at the retail stores for sale to customers.

Our construction machinery and equipment which are available for rental are stored at our construction sites. For purchase of new machineries, our supplier will deliver the machineries to the construction sites. Upon receipt of machinery, our site supervisor or client will inspect the condition of the machinery. We will carry out periodic maintenance for our machineries to ensure that the machineries are able to carry out the required functions.

(ii) Sales or rental

Our clients will typically send us a purchase order with details of the specifications and quantity of building materials they wish to purchase. We will then place an order with our network of suppliers. Thereafter, our suppliers will arrange for delivery of the building materials directly to the construction site.

For information, our Group utilises an e-platform material requisition order system which allows us to efficiently plan our procurement activities, as this system is accessible from the construction site and our Group's head office. Please refer to Section 6.16(vii) of this Prospectus for further details on our e-platform material requisition order system.

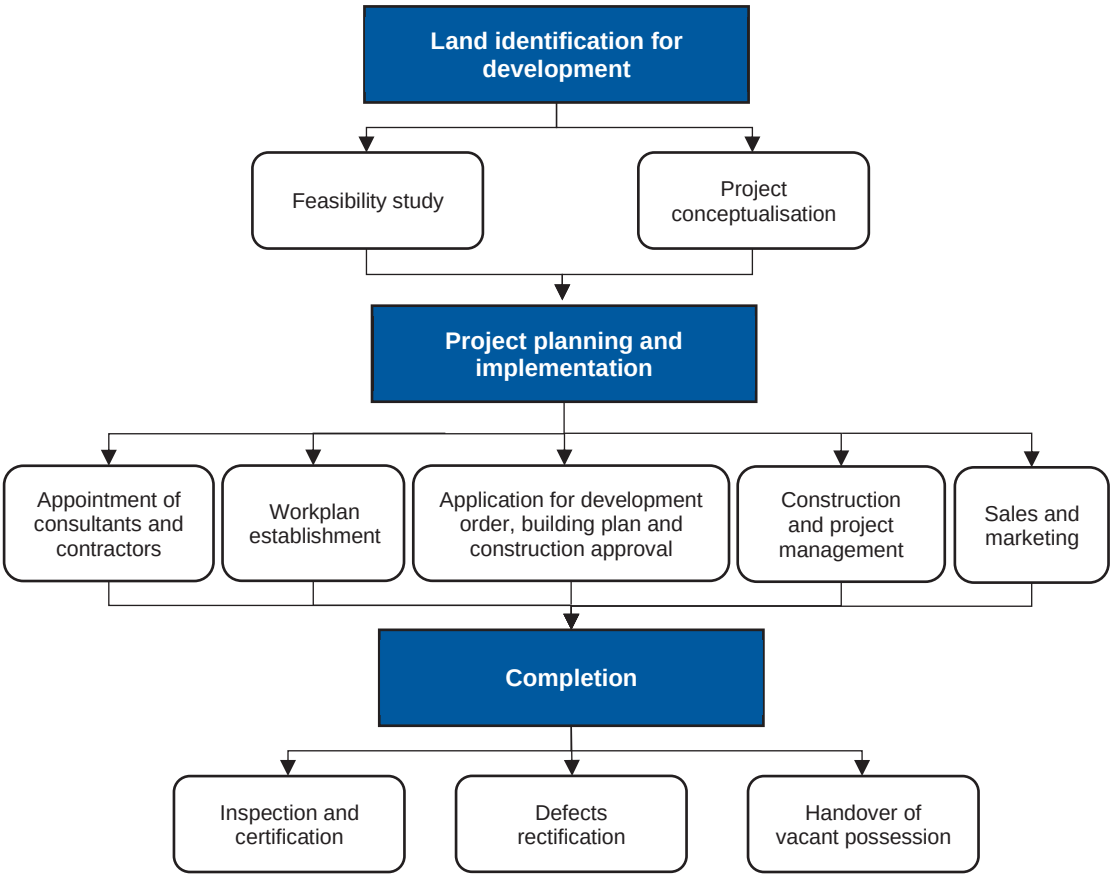
For our lighting and related M&E products, hardware products and tools which are purchased directly at our physical retail stores, customers are able to immediately take the goods with them. We also provide delivery and installation services, depending on the type of products sold and our retail customers' requirements, in which case our retail sales team will liaise with our retail customers to arrange for a suitable delivery and/or installation time and date. Delivery is carried out either by our in-house delivery team or through appointed third-party logistic companies, while installation is carried out either by our in-house lighting product installer (who is part of our retail sales team) or outsourced to third-party electricians.

For customers who purchase products from our online store or through e-commerce platforms, our e-commerce team will contact the customer to arrange for delivery. Depending on the availability of products, the products will either be delivered from our retail stores or warehouse to our retail customers using either our in-house delivery team or through appointed third-party logistic companies. Upon delivery, our retail customer is required to sign the delivery order to confirm receipt of products.

For clients who purchase products as part of a construction project, we will procure the products from our supplier and they will deliver the products and building materials to the construction site. Upon delivery, our client is required to sign the delivery order to confirm receipt of products.

For rental of construction machinery and equipment, our clients will typically send us a request for quotation for the rental of machinery or equipment. We will then prepare a quotation based on the specifications and quantity of machinery or equipment required. Thereafter, we will deploy the rented machinery or equipment to the client's construction site on the agreed date. Once the rental tenure is completed, we will demobilise and remove the machinery or equipment from our client's construction site.

6.9.3 Property development segment



(i) Land identification for development

Our Group's property development project begins with the identification of a suitable plot of land for development. In identifying the potential site and the proposed type of development, our architecture team will carry out the following:

- title and zoning searches to ascertain the land owner and any land encumbrances as well as to ascertain if the land requires re-zoning into a preferred development type (such as residential, commercial, industrial or mixed-use development);
- research or consultation with other experts such as valuers to ascertain the land's market value and suitable development components, as well as geographical and demographic study to identify the potential target market and purchaser profile;
- contour plan study to ensure the suitability of the land's slope profile for development; and/or

- consultation with utilities service providers to ascertain the availability of basic amenities (i.e. water supply, electricity supply and sewerage plant) and carry out surveys on the available infrastructures and other amenities (such as highways and road accessibility, public transportation, healthcare institutions, educational institutions, retail amenities as well as commercial and industrial parks) within close vicinity of the land.

Thereafter, we will develop a conceptual development plan and undertake a project feasibility assessment to forecast the expected returns for developing the identified land. This will entail our architecture team working with necessary consultants such as architects, quantity surveyors and engineers to carry out the following:

- detailed market study by a valuer on the marketability and average selling prices of properties within the vicinity;

- development of the project's concept and ensuring it is differentiated from other property development projects within the vicinity by working with other experts such as architects and engineers, as well as considering inputs from our sales and marketing team;

- detailed feasibility study by a quantity surveyor on the conceptual plan; and/or

- cash flow study on the working capital and cash flow required for the proposed property development project.

(ii) Project planning and implementation

After conducting a conceptual development plan and project feasibility assessment, and a decision is made to proceed with the development, we will appoint the relevant remaining professional consultants (such as architects, engineers, lawyers and registered surveyors, if they have yet to be appointed at this stage). Our project team will also establish a workplan which will involve, among others, scheduling of project milestones and timeline which will serve as a blueprint for the overall management and implementation of the project. Thereafter, we will submit the necessary documents for the application of development orders, building plans and construction approvals.

As we are also a construction company, we will undertake the main contractors' work on our own via LSHBB or ASSB, and/or invite other external contractors with good track record to participate in or carry out certain scope of the construction and engineering works of our development project. The appointment of the subcontractors will be based on the evaluation conducted by our contracts department based on criteria such as quality of work, experience, past record on timely completion of work, responsiveness to instruction, efficiency, reliability, their resources including manpower, plant and materials, financial performance, past working experience with them (if any) as well as their QESH compliance.

Once the necessary approvals are obtained, construction and engineering works will commence, the detailed processes of which are further elaborated in Section 6.9.1 above. Our property development team will also closely monitor the overall progress of the project to ensure that the project's specifications, timeline and budget are adhered to throughout the development process.

Concurrent with the construction processes, our sales and marketing team will work with creative agencies to formulate sales and marketing strategies for the project, including designing the appropriate marketing tools such as brochures and videos. Upon finalising the sales and marketing strategies and obtaining the APDL for the project, we will proceed to launch the project for sales to the public.

We generally commence preliminary construction work and conduct all necessary due diligence such as geotechnical and soil investigation studies to determine the appropriate piling design for the site prior to the launch of our property development projects for sale. This allows us to address geotechnical-related issues during the construction of the building's foundation, which enables us to project the estimated completion and handover dates with greater accuracy, thereby minimising our risk of incurring LAD claims.

Sales and marketing activities will be carried out by our in-house sales and marketing team as well as suitable property agents appointed by us. These property agents must be licensed property agents and are appointed based on their track record and experience in the vicinity and type of development. Our sales and marketing team will also assist the property agents in the loan approval process for potential purchasers.

(iii) Completion

Once the construction works are completed, a joint inspection will be conducted by the appointed professional consultants (namely the architect) and the appointed main contractor and/or subcontractor(s) (as the case may be) together with our management and project development team which include inspections and checks on various aspects of the development to certify that the project works have been completed in accordance with authority approvals and contract requirements. Any defective works identified will be recorded and rectified by the relevant contractors. Upon completion of rectification works and the certification by the relevant professional consultants that the rectification works have been satisfactorily completed, the relevant professional consultants will proceed with the issuance of CCC. Simultaneously, we will also appoint a qualified and licensed building management company to assist in the handover process and management of the common areas of the development project. Upon issuance of CCC, we will then deliver the vacant possession of the properties to our purchasers. We will also be liable for rectification works during the DLP of 24 months upon vacant possession.

6.10 QUALITY ASSURANCE AND QUALITY CONTROL PROCEDURES

Our Group places strong emphasis on maintaining quality assurance and quality control measures to ensure that the quality of our works comply with the relevant regulations as well as meet our clients' requirements.

To ensure the quality of our construction projects, we only select subcontractors and consultants that have the relevant experience and proven track record to work on our projects. For our construction projects, we conduct regular inspections at every stage of the construction to ensure that each stage is constructed according to the specifications and prescribed procedures and methods.

Our quality assessment system for building construction is based on the Quality Assessment System in Construction (QLASSIC), a system introduced by the CIDB to measure and evaluate the workmanship quality of a building construction work based on the Construction Industry Standard (CIS 7:2006). QLASSIC enables the quality of workmanship between construction projects to be objectively compared through a scoring system. As such, with this system in place, we will ensure that our construction projects achieve a desired level of quality that meets industry-recognised standards.

As a testament to our commitment to quality, we have obtained the ISO 9001:2015 certification for the provision of construction and construction-related services and solutions, which certifies that our quality management system complies with international standards, thereby demonstrating our ability to meet the requirements of our clients and regulators. This certification was obtained on 16 October 2023 and will remain valid until 2 August 2026.

In addition, we are also committed to complying with all relevant occupational safety, health and environmental requirements. In this regard, we have also obtained the following two (2) ISO certifications for the provision of construction and construction-related services and solutions, which certifies the following areas:

Standard	Date obtained / expiry date	Description
ISO 14001:2015	16 October 2023 / 2 August 2026	This certifies that our environmental management system complies with international standards, thereby demonstrating our ability to identify and address environmental issues related to our Group's business activities, as well as minimise our environmental footprint in terms of resources and wastages
ISO 45001:2018	16 October 2023 / 2 August 2026	This certifies that our occupational health and safety management system complies with international standards, thereby demonstrating our ability to ensure a safe workplace environment for our employees and workers

Over the course of approximately 0.57 million, 1.34 million, 1.78 million and 1.12 million total annual aggregate man-hours worked for the construction of the LSH 33 Project and LSH Segar Project (being the main construction works carried out by our Group during the past four (4) years) in 2021, 2022, 2023 and 2024 respectively, there were no lost-time incidents that were recorded.

6.11 SALES CHANNEL

6.11.1 Construction segment

(i) Tender biddings and submission of proposals and quotation

We participate in tender biddings to secure construction and engineering work projects. Once we have determined that we have the necessary expertise as well as the required resources to complete the project, we will submit our tender application with a quotation to the potential client. We may also submit proposals relating to construction and engineering work projects alongside our quotation to the relevant project owners, including the Malaysian Government, for consideration. As for the distribution of building materials and rental of construction machinery and equipment, our clients typically request for quotation by reaching out to us directly.

(ii) Direct referrals

With almost 30 years of experience serving various clients in Malaysia who require construction products and related services and through our Directors, we have established a strong network of clients and associates in the construction industry. These clients and associates routinely refer new businesses to us by 'word of mouth' due to their trust in the products and services we provide. As such, we will continue to cultivate and enhance our working relationship with these clients and associates by continuously maintaining our product quality and service excellence.

(iii) Retail stores, online stores and third-party e-commerce marketplaces

As at LPD, we operate 12 physical retail stores across the Klang Valley region, of which six (6) retail stores are operated under the 'Lim Seong Hai Lighting' trade name selling our lighting and related M&E products, while the remaining six (6) retail stores are operated under the 'Knight Auto' trade name selling our hardware products and tools.

To complement our physical retail stores, our lighting and related M&E products, hardware products and tools are also made available for purchase via online channels. We have two (2) online stores that we own and operate internally at www.limseonghailighting.com and www.knightauto.com.my. We also utilise e-commerce marketplace channels such as Shopee and Lazada. These online stores enable us to reach out to a wider audience with fewer geographical restrictions as customers located outside of the Klang Valley region need not travel to our physical retail stores and instead are able to place their orders via our online stores and have the product delivered to any location in Malaysia which they desire.

6.11.2 Property development segment

(i) In-house sales team

Our sales team manages leads generated from potential purchaser's enquiries regarding our property development projects during exhibitions and roadshows. Our sales team will highlight the project's features, architectural designs, interior layouts and amenities. They will also provide the purchaser with the project's brochure for their reference.

Our sales team is also responsible for managing the booking process and assisting potential purchasers to secure loans from financial institutions and liaising with lawyers to prepare the necessary loan as well as sale and purchase documentations.

(ii) Sales office

We previously operated one (1) sales office which was located at EkoCheras for the sales and marketing activities for our property development project, the LSH Segar Project. Our former sales office was previously managed by our internal sales team. We have since discontinued the operations of this sales office due to the termination of the tenancy agreement.

As at LPD, we do not actively operate any sales office as the only launched property development project of our Group is the LSH Segar Project, which has achieved sales rate of 86.86% as at LPD. Notwithstanding this, potential purchasers may still obtain further information on the LSH Segar Project at the sales office operated by LSH Holdings situated at Laman Seri Harmoni (LSH 33), Sentul, Kuala Lumpur. Potential purchasers may also contact our sales team via telephone, email or social media for further information and enquiries regarding our ongoing and upcoming projects. Further, we may set up a new sales office to manage the sales and marketing activities of our Group's future property launches.

(iii) Affordable housing websites

All of our Group's current property development projects have an affordable housing component, i.e. units offered under the '*Residensi Wilayah*' or PPAM programmes. Prospective purchasers who qualify under the criteria of these affordable housing schemes are required to submit their interest at the respective programme's websites. The vetting process to determine the purchaser's eligibility will be conducted either by us or the relevant government agency managing the affordable housing scheme, as the case may be. Upon the purchaser's confirmation to proceed with the purchase of the property, we will assist the purchaser to secure loans from the relevant financial institutions for the loan process and the lawyers for the preparation of loan as well as sales and purchase documentations.

(iv) Property agencies

We also appoint external property agencies to assist us with the sales and marketing activities during property exhibitions and roadshows. These property agencies are tasked to identify and procure new potential purchasers for our property development projects. They will also assist with the purchaser's loan application process and completion of the sales and purchase documentations.

(v) Virtual showroom

Spurred by the growing trend within the property industry, we also utilise virtual reality (VR) software for our potential purchasers to experience our virtual showrooms as part of our marketing activities to showcase our ongoing projects. These virtual showrooms enable prospective purchasers to participate in virtual tours of the rendered virtual show units, where they are able to have a 360-degree visualisation of the show units.

(vi) Property exhibitions and roadshows

We also participate in property exhibitions and roadshows to market our property development projects. These property exhibitions and roadshows are generally held in high-traffic locations such as shopping malls and convention centres. By participating in property exhibitions and roadshows, we are able to enhance our brand visibility, as well as showcase our portfolio of ongoing and upcoming projects. These property exhibitions and roadshows also provide us with wider opportunities to meet new potential purchasers, as well as stay up-to-date with industry trends and demands as well as competitors' pricing.

Some of the property exhibitions that we have participated in the past include the Bumiputera Property Exhibition in Kuala Lumpur in 2023 and 2024, whereby we were invited by DBKL to showcase our properties. We have also participated in roadshows at selected shopping malls, such as the Cheras Leisure Mall, MyTOWN Shopping Centre and Lotus's at Taman Midah, Cheras, Kuala Lumpur, due to its close proximity to the location of our LSH Segar Project.

6.12 MARKETING STRATEGIES

(i) Social media platforms

For the wholesale and retail of our lighting and related M&E products, hardware products and tools, we invest in digital media marketing activities to drive traffic to our online stores and third-party e-commerce platforms. In this regard, we have established social media profiles for 'Lim Seong Hai Lighting' and 'Knight Auto' on Instagram, TikTok and Xiaohongshu to promote our products and marketing activities. We also collaborate with content creators on TikTok and Xiaohongshu which allow us to reach out to a wider audience base to promote our Group's products.

For our property development projects, we have also established either a Facebook, Instagram or TikTok page or website for our LSH Segar Project and Lake Side Homes Project to market our property development units. We also utilise 'Facebook Ads' to display brief advertisements and promotions to Facebook users, which helps to increase traffic flow to our LSH Segar Project's Facebook page.

Our sales and marketing personnel manages the content on these social media platforms and ensures that our social media profiles are active with postings of our products and promotional activities during regular intervals. These regular updates are expected to drive online traffic to our online stores and increase our brand presence, as well as attract new customers and maintain engagement with our retail customers, which may lead to higher volume of enquiries and sales.

(ii) Print media

We advertise in newspapers to promote our lighting products, hardware products and tools as well as property development projects. This includes full-page articles and sale advertisements that announce promotions offered and/or ongoing discounts at our retail and online stores as well as for our projects. Print media advertisements allow us to reach a wider audience, improve brand recognition and draw customers to our retail stores and for our projects. As at LPD, we have advertised in newspapers such as The Edge Malaysia, The Star, Nanyang Siang Pau and Sin Chew Daily.

Additionally, we also distribute brochures and pamphlets to residential and commercial buildings nearby our retail stores and/or project sites. As our retail stores and construction sites are generally located in densely-populated neighbourhoods, these brochures and pamphlets work to reinforce brand recognition and introduce our projects, products and stores to potential customers.

(iii) Sales and promotional campaigns

We regularly carry out sales and promotional activities at our retail stores and online stores for our lighting products, hardware products and tools. The timing of these promotional activities typically aligns with national sales campaigns such as year-end sales, festive seasons such as Chinese New Year, Hari Raya Aidilfitri and Christmas and notable online sales dates such as the annual 9.9 and 11.11 online sales. Generally, we promote these sales and promotional activities through social media advertisements to encourage potential customers to visit our stores. By conducting these sales and promotional activities, we are able to develop our brand awareness as well as encourage sales.

(iv) Search engine optimisation ("SEO")

We use SEO to attract potential customers to our online stores for our lighting products, hardware products and tools, as well as to increase our brand recognition online for other aspects of our Group's businesses. SEO works by boosting the visibility of both our online store and third-party e-commerce marketplaces in relevant key word searches, which increases the potential for prospective customers to contact us directly, visit our physical stores or purchase our products through our online channels.

(v) Corporate website

We have established our own corporate website at www.limseonghai.com which provides information on the products and services offered by our Group. We also have two (2) other websites which serve as our online stores, i.e. www.limseonghailighting.com for our lighting products, and www.knightauto.com.my for our hardware products and tools.

6.13 MATERIAL MACHINERY AND EQUIPMENT

Details of the material machinery used in our business operations as at 30 September 2024 are as follows:

Name	Description of use	No. of units	Average age*	Audited NBV as at 30 September 2024
			(years)	(RM'000)
Crane	A construction vehicle used to lift (i) heavy objects from one place to another by lifting, lowering and moving them horizontally; or (ii) workers to enable them to work at a higher place	25	16	2,865
Excavator	A construction vehicle used to shovel or dig holes and trenches, as well as demolish structures and surfaces	27	15	2,258
Concrete placing boom	A heavy machinery used to discharge concrete mixture	2	1	558
Sky lift	A lifting vehicle that has a mounted-on aerial platform. It is used to elevate persons working on site to high areas	4	16	346
Vibrator roller	A construction vehicle used to compact soil, gravel or concrete	4	13	226
Concrete pump	A machine used to transfer freshly-mixed concrete to a specific location on a site	3	2	205
Water truck	A vehicle used to transport water to remote job sites, or to distribute water	4	17	167
Bulldozer	A construction vehicle used to push piles of rubble, soil, sand and other loose materials	1	28	98
Forklift	A construction vehicle with a power-operated forked platform attached to the front that can be raised and lowered to lift pallets of goods, typically at warehouses or large storage facilities	2	10	54

6. BUSINESS OVERVIEW *(Cont'd)*

Name	Description of use	No. of units	Average age*	Audited NBV as at 30 September 2024
			(years)	(RM'000)
All-terrain vehicle	A vehicle used to transport personnel at the construction site	2	1	12
Lorry	A vehicle used to transport goods	3	<1	136
Concrete mixer	A construction vehicle used to mix ready-mixed concrete	2	<1	8
Road roller	A construction vehicle used to compact soil, gravel, concrete or asphalt to construct road or foundation	2	<1	25
Total				**6,958**

Note:

* *While these material machineries are depreciated over a useful life of 10 years, the actual useful life of these material machineries may be extended to over 20 years if regularly maintained and repaired.*

Our Group also owns the following material construction equipment as at 30 September 2024:

Name	Description of use	Quantity	Audited NBV as at 30 September 2024
			(RM'000)
Scaffolding	A temporary platform used to elevate workers and/or materials to carry out various activities such as construction, repair or cleaning of a structure or machine	89,958 pieces	1,274
Aluminium or steel formwork systems	A construction system for forming cast in place within a concrete structure of a building	14,914 square metres	9,918
Total			**11,192**

6.14 OPERATING CAPACITY AND OUTPUT

Measurements of capacity and utilisation do not apply to our business operations as our business activities are service-based and we carry out most of our work at project sites and at our retail stores.

6. BUSINESS OVERVIEW *(Cont'd)*

6.15 TYPES, SOURCES AND AVAILABILITY OF MATERIALS AND SERVICES

The following are the major types of materials we purchased and services we engaged for our business operations during the Financial Years Under Review:

	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	(RM'000)	**(%)**	**(RM'000)**	**(%)**	**(RM'000)**	**(%)**	**(RM'000)**	**(%)**
Subcontractor costs	465	0.97	31,002	33.80	129,404	53.14	70,260	32.03
- *Building and structural works*	*-*	*-*	*17,544*	*19.13*	*50,573*	*20.77*	*14,930*	*6.81*
- *Infrastructure works*	*-*	*-*	*7,727*	*8.42*	*35,556*	*14.60*	*25,515*	*11.63*
- *M&E works*	*465*	*0.97*	*1,081*	*1.18*	*19,307*	*7.93*	*14,809*	*6.75*
- *Architectural works*	*-*	*-*	*797*	*0.87*	*16,791*	*6.89*	*2,882*	*1.31*
- *Other subcontracted services*	*-*	*-*	*3,853*	*4.20*	*7,177*	*2.95*	*12,124*	*5.53*
Construction material costs	-	-	10,092	11.01	40,289	16.54	35,225	16.06
Costs of construction products	47,638	99.03	40,466	44.12	43,806	17.99	50,026	22.81
- *Building materials*	*34,213*	*71.12*	*25,140*	*27.41*	*30,326*	*12.45*	*31,996*	*14.59*
- *Lighting products*	*3,313*	*6.89*	*4,145*	*4.52*	*3,492*	*1.44*	*3,273*	*1.49*
- *Hardware products and tools*	*9,111*	*18.94*	*9,722*	*10.60*	*9,006*	*3.70*	*11,840*	*5.40*
- *Rental of construction machinery and equipment*	*1,001*	*2.08*	*1,459*	*1.59*	*982*	*0.40*	*2,917*	*1.33*
Overhead and other related costs	-	-	10,156	11.07	19,276	7.91	30,071	13.71
Property development costs	-	-	-	-	10,763	4.42	33,762	15.39
Total purchases	**48,103**	**100.00**	**91,716**	**100.00**	**243,538**	**100.00**	**219,344**	**100.00**

For the Financial Years Under Review, all of our suppliers and service providers for the abovementioned materials and services are local suppliers and service providers, save for two (2) foreign suppliers from China which supplies hardware products and tools.

The major types of materials that we use and services that we engage for our business operations can be broadly categorised as follows:

(i) Subcontractor costs

For our construction projects, we engage various subcontractors mainly for the following:

(a) building and structural works which include reinforced concrete works, flooring, roofing, glazing and finishing works;

(b) infrastructure works which include earthworks for infrastructure construction and engineering work projects, drainage works and bridge works;

(c) M&E works which include supply and installation of M&E systems such as lifts, fire protection system, air conditioning system, as well as water supply and plumbing systems; and

(d) architectural works which include installation of windows, glass panels, doors as well as painting and interior finishes.

We also engage subcontractors for earthworks for building construction projects, site preparation, piling works, landscaping works, installation of amenities and facilities, as well as labour supply to carry out on-site construction works.

(ii) Construction material costs

Construction material costs refer to costs of materials used for our construction and engineering work projects only that are not purchased from or for sale by our construction products sub-segment. The major construction materials used for our construction and engineering projects are, among others, plywood, pile, pipe, steel bar, timber, cement, column mould, cement board, bricks, bolts and nuts. Such construction materials are mainly sourced from local suppliers, which are selected based on their pricing, availability and lead time for delivery.

(iii) Costs of construction products

Costs of construction products refer to purchase costs for construction products offered by our construction products sub-segment and does not overlap with the construction material costs that were used for our construction and engineering work projects as mentioned in item (ii) above. Such costs consist of the following:

(a) purchase of building materials such as ready-mixed concrete, steel bar, steel wire mesh and reinforcing fabric of steel;

(b) purchase of lighting products which can be broadly categorised as indoor lighting products, outdoor lighting products and decorative lighting products;

(c) purchase of hardware products and tools such as concrete mixers, generator sets, air compressors, agricultural tools and equipment, garage tools and equipment and other hardware products; and

(d) expenses incurred for renting of construction machinery and equipment such as repair costs, maintenance costs and parts replacement costs for such machinery and equipment as well as expenses incurred for sub-rent of construction machinery and equipment which we do not own (including rental expenses).

(iv) Overhead and other related costs

Overhead and other related costs include general preliminary and related expenses for construction projects as well as other related costs for our construction products sub-segment, which are miscellaneous in nature. Such overhead and related costs include, among others, hiring of machinery from third parties for our own construction and engineering work projects, professional fees paid to building construction professionals, upkeep expenses, fuel and diesel, insurance, site expenses, levy charges, utilities, freight and customs duties.

(v) Property development costs

Property development costs refer to land and development costs related to our property development projects. The development costs comprise mainly building construction costs, foundation construction costs and infrastructure costs such as road construction.

Prices of certain building materials, particularly steel and concrete materials, are subject to fluctuations based on supply and demand conditions and economic conditions. Please refer to Section 8.1.5 of this Prospectus for further details on the risks relating to fluctuations in prices of construction products.

6.16 TECHNOLOGY USED

We utilise the following systems and applications to carry out our operational activities:

(i) IBS – the IBS method is used for our superstructure construction and engineering works. IBS is a system or method of building construction in which pre-fabricated construction components are produced in a controlled environment (in a factory or at a construction site). We order the IBS components from our suppliers who have IBS fabrication capabilities.

We mainly use two (2) types of IBS:

(a) reusable aluminium or steel formwork; and

(b) pre-cast concrete components.

IBS allows us to enjoy faster completion of construction and engineering works, as we are able to assemble the pre-fabricated construction components at the construction site, instead of having to fabricate the components at the construction site. Thus, it also allows us to reduce material wastages and reduce reliance on foreign labour to carry out the fabrication works;

(ii) Autodesk Revit – this is a third-party building information modelling software with four (4)-dimensional precision design modelling and rendering. This software enables us to carry out complex design work, with detailed documentation process throughout the construction lifecycle. For example, in addition to designing a building, this software also allows us to input the type of materials and M&E works required for the building, thereby easing our workflow planning.

Building information modelling enables us to enjoy early detection of construction problems (such as conflicting materials), more systematic project planning, as well as increase worker safety with the information available;

(iii) AutoCAD and SketchUp – these are third-party software used to design three (3)-dimensional or four (4)-dimensional models and scenes of buildings and infrastructure;

(iv) drones – we use drones to provide us with aerial views of our construction sites. This allows us to enhance our monthly progress reports of our construction sites with aerial images. Drones also enable us to carry out preliminary design work which involves surveying the terrain of the construction site by using light detection and ranging (LiDAR) technology. The use of LiDAR enables us to have accurate data which are collected efficiently (as compared to manual surveyance which is less accurate and lengthier) to carry out design and engineering works for the project. This enables us to complete our construction activities more quickly;

(v) interferometric synthetic-aperture radar system (IfSAR) – a system that uses satellite radar technology to map ground deformation. This system assists us in the design of road alignments for infrastructure projects;

(vi) custom-made real-time inventory management system – a custom-made inventory management system that enables real-time tracking of our inventories as well as the movement of products sold at our 'Lim Seong Hai Lighting' retail stores. This allows us to monitor our stock levels and manage stock replenishment or transfers stocks between the retail stores of LSH Lighting as LSH Lighting does not presently have a warehouse, thereby improving efficiency of our business operations; and

(vii) e-platform material requisition order system – a custom-made material request order system at our head office to digitalise the ordering process for building materials, machinery and equipment. This system enables our Group to efficiently plan our procurement activities, as this system is accessible remotely via the internet from any location, including the construction sites of our projects and our Group's head office. This digitalisation also allows us to address the limitations of handling physical documents such as extended preparation time, increased risk of human error and vulnerability to damage or loss if not properly stored.

6.17 RESEARCH AND DEVELOPMENT

Due to the nature of our Group's business, we do not carry out any research and development activities and we have not recognised any research and development expenditure during the Financial Years Under Review. Nevertheless, we keep abreast of the latest market trends and conditions as well as new development designs, materials and methodology in order to remain competitive across all our business segments.

6.18 MAJOR CUSTOMERS

Our top five (5) customers for the Financial Years Under Review are all based in Malaysia. The table below sets out our top five (5) customers for each of the Financial Years Under Review:

No.	Name	Length of relationship as at LPD	Type of products supplied or services rendered	Revenue contribution	% of total revenue
		(Years)		(RM'000)	(%)
FYE 2021					
1.	ASSB[1]	10	Building materials, hardware products and tools, as well as rental of construction machinery and equipment	27,752	41.17
2.	SLP Construction Sdn Bhd	9	Building materials	12,461	18.48
3.	Concrete Empire Holdings Sdn Bhd	6	Building materials	4,779	7.09
4.	Besteel Engtech Sdn Bhd[2]	9	Building materials, hardware products and tools, as well as rental of construction machinery and equipment	4,538	6.73

6. BUSINESS OVERVIEW *(Cont'd)*

No.	Name	Length of relationship as at LPD	Type of products supplied or services rendered	Revenue contribution	% of total revenue
		(Years)		**(RM'000)**	**(%)**
5.	LSHBB[3]	4	Building materials, hardware products and tools, rental of construction machinery and equipment, as well as M&E works	3,862	5.73
			Total revenue from top five (5) customers	**53,392**	**79.20**
			Total revenue for the FYE 2021	**67,416**	**100.00**
FYE 2022					
1.	Besteel Engtech Sdn Bhd[2]	9	Building materials, lighting and related M&E products and services, hardware products and tools, rental of construction machinery and equipment, construction works and construction-related services and solutions	89,397	53.90
2.	ASSB[1]	10	Building materials, hardware products and tools, rental of construction machinery and equipment, construction works, as well as construction-related services and solutions	57,879	34.90
3.	Pertama Makmur Sdn Bhd	3	Construction works	5,741	3.46
4.	Ganti Juara Sdn Bhd	3	Construction works	3,409	2.06
5.	SLP Construction Sdn Bhd	9	Building materials	2,651	1.60
			Total revenue from top five (5) customers	**159,077**	**95.92**
			Total revenue for the FYE 2022	**165,866**	**100.00**
FYE 2023					
1.	Besteel Engtech Sdn Bhd[2]	9	Building materials, lighting and related M&E products and services, rental of construction machinery and equipment, construction and engineering works, as well as construction-related services and solutions	208,558	58.30
2.	ASSB[1]	10	Building materials, hardware products and tools, as well as rental of construction machinery and equipment	77,077	21.54
3.	Pertama Makmur Sdn Bhd	3	Construction works	14,240	3.98
4.	Lim Seong Hai Property Sdn Bhd[4]	1	Residential condominium units	8,523	2.38

6. BUSINESS OVERVIEW *(Cont'd)*

No.	Name	Length of relationship as at LPD	Type of products supplied or services rendered	Revenue contribution	% of total revenue
		(Years)		**(RM'000)**	**(%)**
5.	Ganti Juara Sdn Bhd	3	Construction works	7,223	2.02
			Total revenue from top five (5) customers	**315,621**	**88.22**
			Total revenue for the FYE 2023	**357,755**	**100.00**
FYE 2024					
1.	Besteel Engtech Sdn Bhd(2)	9	Building materials, lighting and related M&E products and services, rental of construction machinery and equipment, construction and engineering works, as well as construction-related services and solutions	150,257	41.58
2.	SLP Construction Sdn Bhd	9	Building materials, rental of construction machinery and equipment, construction works and construction-related services and solutions	40,002	11.07
3.	Pertama Makmur Sdn Bhd	3	Construction works	18,423	5.10
4.	Euro Saga Sdn Bhd	3	Construction works and rental of construction machinery and equipment	16,670	4.61
5.	Tekad Warisan (M) Sdn Bhd	2	Construction works	16,048	4.44
			Total revenue from top five (5) customers	**241,400**	**66.80**
			Total revenue for the FYE 2024	**361,405**	**100.00**

Notes:

(1) *As our Company's acquisition of ASSB was only completed on 17 April 2023, ASSB was not yet a subsidiary of our Company during the stipulated FYE. For information, ASSB was previously owned by LSH Resources, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong.*

(2) *Besteel Engtech Sdn Bhd is a related party as DLKG, who is our Executive Vice Chairman and major shareholder of our Company, is also a director and major shareholder of Besteel Engtech Sdn Bhd.*

(3) *As our Company's acquisition of LSHBB was only completed on 15 October 2021, LSHBB was not yet a subsidiary of our Company during the stipulated FYE. For information, LSHBB was previously owned by LSH Resources.*

(4) *Lim Seong Hai Property Sdn Bhd ("**LSH Property**") is a related party due to the following:*

(i) *LSH Resources, which is a major shareholder of our Company, is also the holding company of LSH Property; and*

(ii) *Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are major shareholders of LSH Property by virtue of their indirect interest in LSH Resources held through LSH Holdings whilst DLKG, Lim Pak Lian and Lim Keng Hun are directors of LSH Property.*

Notwithstanding that the standalone revenue contribution by SLP Construction Sdn Bhd and Besteel Engtech Sdn Bhd had, in some of the Financial Years Under Review, exceeded 10% of our Group's revenue for the said Financial Years Under Review, we are not materially dependent on any of these customers. This is due to the nature of our business which is mainly involved in the provision of construction and engineering works (including M&E works) as well as construction-related services and solutions on a project basis, of which the projects secured from any given client may contribute to a significant portion to our Group's revenue for any given financial year. As the implementation of our clients' projects can often be executed across several financial years and/or our clients may engage us for multiple construction and engineering work projects, revenue from these clients may contribute to a significant portion to our Group's revenue over several financial years. However, we are exposed to customer concentration risk, details of which are set out in Section 8.1.9 of this Prospectus.

As at LPD, LSH Lighting, LSHBB and ASSB have collectively completed 53 construction and engineering work projects (including those that were completed by LSHBB and ASSB prior to the acquisitions of LSHBB and ASSB by our Company in October 2021 and April 2023 respectively) with a total combined value of approximately RM1.22 billion. These completed projects represent a combined customer base made up of 18 clients. In this regard, we do not regard SLP Construction Sdn Bhd and Besteel Engtech Sdn Bhd as major customers which our Group is dependent on.

For information purpose, during the Financial Years Under Review, aside from the walk-in customers to our 'Lim Seong Hai Lighting' and 'Knight Auto' retail stores, we have a total of 39, 53, 42 and 73 other customers in FYEs 2021, 2022, 2023 and 2024 respectively. These other customers are mainly contractors and property developers.

6.19 MAJOR SUPPLIERS

Our top five (5) suppliers for the Financial Years Under Review are all based in Malaysia. The table below sets out our top five (5) suppliers for each of the Financial Years Under Review:

No.	Name	Length of relationship as at LPD	Type of products purchased or services rendered	Purchase value	% of total purchases
		(Years)		(RM'000)	(%)
FYE 2021					
1.	Engtex Marketing Sdn Bhd	4	Provision of steel bars	9,178	19.08
2.	Megamix Sdn Bhd	8	Provision of ready-mixed concrete	8,082	16.80
3.	Ann Joo Metal Sdn Bhd	8	Provision of steel bars	4,198	8.73
4.	Malaysia Steel Works (KL) Bhd	6	Provision of steel bars	2,964	6.16
5.	C.I. Readymix Sdn Bhd	9	Provision of ready-mixed concrete	2,684	5.58
	Total purchases from top five (5) suppliers			**27,106**	**56.35**
	Total purchases for the FYE 2021			**48,103**	**100.00**

6. BUSINESS OVERVIEW *(Cont'd)*

No.	Name	Length of relationship as at LPD	Type of products purchased or services rendered	Purchase value	% of total purchases
		(Years)		(RM'000)	(%)
FYE 2022					
1.	C.I. Readymix Sdn Bhd	9	Provision of ready-mixed concrete	4,281	4.67
2.	Malaysia Steel Works (KL) Bhd	6	Provision of steel bars	3,882	4.23
3.	Costa Sutra Sdn Bhd[(1)]	9	Provision of lighting products	3,223	3.51
4.	Megamix Sdn Bhd	8	Provision of ready-mixed concrete	3,018	3.29
5.	Ann Joo Metal Sdn Bhd	8	Provision of steel bars	2,636	2.87
	Total purchases from top five (5) suppliers			**17,040**	**18.57**
	Total purchases for the FYE 2022			**91,716**	**100.00**
FYE 2023					
1.	C.I. Readymix Sdn Bhd	9	Provision of ready-mixed concrete	10,243	4.21
2.	Malaysia Steel Works (KL) Bhd	6	Provision of steel bars	8,185	3.36
3.	LW Builders & Traders Sdn Bhd	7	Subcontractor for building construction works	7,516	3.09
4.	Metex Steel Sdn Bhd	2	Provision of steel bars	6,976	2.86
5.	Pembinaan Jemerlang Sdn Bhd	2	Subcontractor for infrastructure construction works	6,799	2.79
	Total purchases from top five (5) suppliers			**39,719**	**16.31**
	Total purchases for the FYE 2023			**243,538**	**100.00**
FYE 2024					
1.	Malaysia Steel Works (KL) Sdn Bhd	6	Provision of steel bars	6,428	2.93
2.	MDC Concrete Marketing Sdn Bhd	1	Provision of ready-mixed concrete	6,132	2.80
3.	Dofort Earthworks Sdn Bhd	1	Subcontractor for infrastructure construction works	5,962	2.72
4.	Perfect Readymix (Melaka) Sdn Bhd	2	Provision of ready-mixed concrete	5,729	2.61
5.	Pembinaan Jemerlang Sdn Bhd	2	Subcontractor for infrastructure construction works	5,497	2.51
	Total purchases from top five (5) suppliers			**29,748**	**13.57**
	Total purchases for the FYE 2024			**219,344**	**100.00**

Note:

*(1) Costa Sutra Sdn Bhd ("**Costa Sutra**") is a related party as:*

(i) DLKG is a director and major shareholder of Costa Sutra, while Tan Sri KC Lim and Lim Keng Hun are major shareholders of Costa Sutra; and

(ii) Lor Siew Hung, the spouse of Lim Pak Lian, is a director and major shareholder of Costa Sutra.

DLKG, Tan Sri KC Lim, Lim Pak Lian and Lim Keng Hun are directors and major shareholders of our Company.

Although our Group's purchases from Engtex Marketing Sdn Bhd and Megamix Sdn Bhd on a standalone basis had exceeded 10% of our Group's total purchases for the FYE 2021, our Group is not dependent on any of these suppliers. For information, our Group was principally involved in the trading of construction products during the FYE 2021. As our Group's construction products sub-segment also involves supplying of construction products to various construction projects, the amount purchased for a particular type of construction product from a supplier in any given financial year will largely be dependent on the type of construction projects supplied to and the stage of construction for such projects in that given financial year. In addition, given that the nature of a trading business is principally centred around competitive pricing between suppliers and customers, our Group had in the past purchased materials from some of our suppliers in bulk to obtain competitive pricing, including Engtex Marketing Sdn Bhd and Megamix Sdn Bhd during the FYE 2021.

Following the diversification of our Group's principal activities to include businesses in construction and provision of construction-related services and solutions after the acquisition of LSHBB on 15 October 2021, our Group's supplier base was further diversified to include service providers for various subcontractor works. This diversification reduced the reliance on any single supplier's contribution to our Group's overall purchases for the subsequent financial years. This is further reduced by our Group's subsequent diversification of its principal activities to include property development activities in April 2023.

In this regard, we were not dependent on any supplier nor service provider and have not experienced any difficulty in obtaining materials and services for the Financial Years Under Review as the materials purchased and services procured are widely available and can be sourced from other suppliers and service providers.

6.20 INTERRUPTIONS TO OUR BUSINESS AND OPERATIONS

We have not experienced any interruption in our business which had a significant adverse impact on our operations for the past 12 months preceding the date of this Prospectus.

6.21 IMPACT OF THE COVID-19 PANDEMIC

The outbreak of the COVID-19 pandemic beginning in December 2019 had caused widespread negative effects to the world, including Malaysia. On 16 March 2020, the Malaysian Government announced the first movement control order ("**MCO**") issued under the Prevention and Control of Infectious Diseases Act 1988 and the Police Act 1967 ("**MCO 1.0**") to curb the spread of COVID-19 in Malaysia. The MCO 1.0 was implemented from 18 March 2020 and was extended into several phases up to 3 May 2020. Under MCO 1.0, economic activities were halted including the closure of all businesses (except those classified under 'essential services' or businesses that have received written approval from the MITI to operate), restrictions on the movement of people within Malaysia and restrictions on international travel to and from Malaysia.

As a result, we were required to temporarily suspend our operations at our head office as well as our 'Lim Seong Hai Lighting' and 'Knight Auto' retail stores during the MCO 1.0 period. Nevertheless, we were still able to sell our lighting products, hardware products and tools through our online stores and third-party e-commerce marketplaces. However, as construction projects were temporarily halted during MCO 1.0, we received less orders from contractors and property developers for building materials, lighting products, hardware products and tools as well as rental of construction machinery and equipment during the period. We subsequently resumed operations at our head office as well as our 'Lim Seong Hai Lighting' and 'Knight Auto' retail stores progressively according to the relevant guidelines issued by the Malaysian Government.

Due to the surge in the number of COVID-19 cases, the Malaysian Government subsequently imposed the full MCO from 1 June 2021 until 28 June 2021 ("**Full MCO**"), where only essential economic and service sectors are allowed to continue operating. Construction and engineering works were limited to works such as repair and maintenance as well as construction of public infrastructures such as tunnels, slopes, bridges and viaducts, highways (those which are at least 80% completed), Mass Rapid Transit, Light Rail Transit, East Coast Rail Link, hospitals and workers' residence at construction sites during the Full MCO period.

In compliance with the Full MCO, we temporarily suspended our operations again at our head office as well as our 'Lim Seong Hai Lighting' and 'Knight Auto' retail stores, but were still able to sell our lighting products, hardware products and tools through our online stores and third-party e-commerce marketplaces. Meanwhile, we continued to fulfil orders from contractors and property developers for building materials, lighting products, hardware products and tools as well as rental of construction machinery and equipment during the period in line with the standard operating procedures of the Full MCO. We subsequently resumed full operations at our head office and retail stores.

Our Group's construction and engineering works, construction-related services and solutions as well as property development were not impacted by the COVID-19 pandemic as our Gorup only began undertaking these business activities following the completion of the acquisitions of LSHBB in October 2021 as well as ASSB and LSH Ventures in April 2023, which was subsequent to the Malaysian Government's announcement of the National Recovery Plan on 15 June 2021.

Impact on our supply chain

Our supply chain was, to a certain extent, affected during the various MCO periods as our suppliers were equally impacted by the temporary suspension of business operations arising from the various lockdowns and containment measures imposed by the relevant authorities. This includes some delays in the supply of construction products as some of our suppliers were unable to operate at full capacity during the various MCO periods. However, our business activities were not materially affected as we had sufficient inventories for our retail stores. Meanwhile, we also coordinated with our suppliers for the supply of building materials in order to minimise material delays, while adhering to the relevant MCO standard operating procedures that were in effect at that point in time.

6.22 MAJOR LICENCES, PERMITS AND APPROVALS

We have obtained all licences, permits and regulatory approvals required to conduct our business activities.

Please refer to Annexure A of this Prospectus for further details on our major licences, permits and approvals for our operations together with the major conditions attached therein and the corresponding status of compliance as at LPD.

6.23 INTELLECTUAL PROPERTIES

As at LPD, save for the trademark registrations and applications with the Intellectual Property Corporation of Malaysia (MyIPO) as set out in Annexure B of this Prospectus, our Group does not have any other intellectual property right registered and/or in the process of registration.

6.24 MATERIAL DEPENDENCY ON CONTRACTS

As at LPD, our Group is not materially dependent on any commercial or financial contracts for our business and profitability.

6.25 EMPLOYEES

As at LPD, we employ a total of 289 employees, of which 229 are local employees while 60 are foreign workers. Our foreign workers are employed to perform general work at our retail stores as well as at construction sites, and are from Bangladesh and India. All of our foreign workers have valid working permits and we have not been and are not in breach of any immigration laws.

The following table sets out the number of employees in our Group according to the different business functions and nationalities as at 30 September 2024 and LPD:

Business functions	**As at 30 September 2024**		**As at LPD**	
	Local	**Foreigners**	**Local**	**Foreigners**
Management team	9	-	9	-
Sales and marketing and business development	12	-	12	-
Procurement and invoicing	8	-	8	-
Retail and e-commerce operations	45	5	49	5
Project and architecture	7	-	7	-
Quantity surveyors and contracts	16	-	16	-
Site operations	73	55	77	55
Engineers	10	-	10	-
Finance and accounts	19	-	21	-
Legal and corporate affairs	5	-	5	-
Human resources and administration	4	-	4	-
Personal assistant, secretary, driver and despatch	10	-	11	-
Total	**218**	**60**	**229**	**60**

As at 30 September 2024 and LPD, 13 of our local employees are employed on a contractual basis, while the rest are permanent employees of our Group. All 60 foreign workers as at 30 September 2024 and LPD are employed on a contractual basis.

As at LPD, none of our employees are members of any union and there has not been any major industrial dispute pertaining to our employees since we commenced operations.

6.26 MATERIAL PROPERTIES

As at LPD, details of the material properties owned and rented by our Group are set out in Annexure C of this Prospectus.

6.27 ENVIRONMENTAL, SOCIAL AND GOVERNANCE PRACTICES

We are committed to act responsibly in our business operations in an effort to achieve good environmental, social and governance practices. In this regard, we have put in place, among others, the following:

(i) Environmental practices

We believe in preserving and caring for the environment and we are committed to conduct our business in ways that will minimise the impact caused by our operations on the environment.

Our environmental management system was accredited with the ISO 14001:2015 certification which certifies that our environmental management system complies with international standards, thereby demonstrating our ability to identify and address environmental issues related to our Group's business activities, as well as minimise our environmental footprint in terms of resources and wastages. This includes environmental monitoring to ensure that the sustainability of the environment surrounding our construction sites is well preserved.

We also aim to manage our resources effectively and efficiently. In this respect, we are committed to optimising our use of building materials without compromising on functionality, quality and safety. In doing so, we use aluminium or steel formwork systems in our projects which benefits us in terms of:

- reduced waste generated at construction site as aluminium or steel formwork systems are reusable, as opposed to conventional timber formwork which are not reusable;

- reduced site labour dependency as conventional timber formwork are not reusable and thus, manpower is required to build timber formwork for each use;

- improvement in productivity as we do not need to incur time spent on building the conventional timber formwork; and

- cleaner environment as there is no timber debris.

In addition, we also monitor the proper disposal of scheduled waste such as contaminated soil and used lubricant oil at our construction sites that contain hazardous elements which may adversely affect public health and the surrounding environment. We arrange for these scheduled wastes to be collected by licensed contractors and be sent to approved facilities for disposal. We also conduct scheduled waste training for our construction workers regularly, focusing on the safety and precautionary measures when handling scheduled waste.

We also put in place measures to control air, water and noise pollution in order to minimise adverse impact of our construction works on the environment as well as neighbouring properties and occupants. Overall, we strive to ensure continued compliance with the relevant provisions governing construction works such as the Environmental Quality (Industrial Effluents) Regulations 2009 and Environmental Quality Act 1974 issued by the Department of Environment of Malaysia and local authorities' requirements in terms of noise level, construction waste management and permitted working hours for all aspects of our business operations.

(ii) Social

We place emphasis on maintaining a safe and healthy workplace for our employees. We ensure the health and safety of our workers at the project site, and that the project site complies with the Occupational Safety and Health Act 1994 and its subsequent amendments and subsidiary legislations. We also have a quality assurance programme in place for workers' health and safety practices including, among others, formalising health and safety compliance checklists as well as regularly educating and conducting briefing for our employees on workplace hazards and emergency response plan. We also utilise a self-climbing platform (an advanced scaffolding system which provides enhanced worker safety and tidier work environment) for our workers to carry out construction and engineering works at the LSH 33 Project and LSH Segar Project, thereby providing our workers with a safer and more secure working space. As a testament to our commitment to occupational health and safety, we have been accredited with the ISO 45001:2018 certification which certifies that our occupational health and safety management system complies with international standards.

We also place emphasis on the wellbeing and development of our employees. This includes providing our foreign construction workers with accommodations which comply with the minimum requirements as set out under the relevant regulations and have been issued with Certificates for Accommodation by the Department of Labour of Peninsular Malaysia.

We also allocate training budget and plan training courses for our employees' development based on their training needs. These programmes include, among others, accounting conference, as well as housing development seminar. We also support and practise equal opportunity, fair treatment, and gender and cultural diversity for our employees at our workplace.

We are also committed to giving back to our community as we believe that we are responsible to improve quality of life and generate positive social impacts to the community. We have donated to educational institutions, namely Chong Hwa KL Foundation, Adni Bangi School and Sekolah Menengah Kebangsaan St Mary, as well as non-profit associations such as *Yayasan Gerbang Bandar Tun Razak*, as well as *Badan Amal Kasih Ibu Wilayah Persekutuan*. We have also made corporate *zakat* payments to *Pusat Pungutan Zakat Majlis Agama Islam Wilayah Persekutuan*.

(iii) Corporate governance

We are committed to conducting our business ethically and upholding high standards of corporate governance. In doing so, we have established the following policies and guidelines within our Group:

(a) Anti-bribery and anti-corruption policy and guidelines in compliance with the Malaysian Anti-Corruption Commission Act 2009 and its amendments

Our Group is dedicated to carrying out our business operations with integrity, clarity and responsibility. To uphold these values, we have implemented an anti-bribery and anti-corruption policy. This policy is in accordance with the Malaysian Anti-Corruption Commission Act 2009 and outlines our Group's stance against all types of bribery and corruption. We maintain a zero-tolerance approach to such practices, not only within our organisation but also in our dealings with external parties such as clients and suppliers.

(b) Whistleblowing policy and guidelines

Our Group is devoted to managing our business operations ethically, transparently and responsibly. In line with this commitment, we have established an internal whistleblowing policy. This policy enables stakeholders, including employees, clients, suppliers and the local community to report any real suspicions or accusations regarding fraud within our Group, or alleged unethical actions or inappropriate business practices conducted by our employees or external parties in business relations with us. This policy is designed to safeguard our Group's integrity and address concerns that may impact us.

(c) Code of conduct and ethics in compliance with the Malaysian Code on Corporate Governance

Maintaining robust corporate governance practices is essential for promoting and upholding integrity and ethical business behaviour. As such, our Group has adopted an internal code of conduct and ethics that applies to all employees and our Board members. In order to foster a Board that effectively instils these corporate governance practices within our Group, five (5) out of our 10 Board members are independent directors, and we have also formed an Audit and Risk Management Committee as well as a Nomination and Remuneration Committee. The composition of these committees is solely made up of independent non-executive Directors. Please refer to Section 4.2.5 of this Prospectus for further details on the roles of these committees.

6.28 GOVERNING LAWS, REGULATIONS, RULES OR REQUIREMENTS

The relevant laws, regulations, rules or requirements governing the conduct of our Group's business and environmental issues which may materially affect our Group's business or operations are summarised below. The following laws and regulations do not purport to be an exhaustive description of all laws and regulations which our Group is subject to and is only intended to provide general information to investors.

(i) *Lembaga Pembangunan Industri Pembinaan Malaysia* Act 1994 ("CIDB Act")

The CIDB Act regulates the establishment of the CIDB and its function relating to the construction industry and for matters connected therewith.

Section 25 of the CIDB Act stipulates that a contractor must register with the CIDB and hold a valid certificate of registration issued by the CIDB under the CIDB Act in order to carry out or complete, undertake to carry out or complete any construction work or hold himself out as a contractor. Any person who fails to register with the CIDB shall be guilty of an offence and shall, on conviction, be liable to a fine of not less than RM10,000 but not more than RM100,000.

As at LPD, our subsidiaries, namely LSH Lighting, ASSB and LSHBB, being the only subsidiaries in our Group which carry out construction and engineering works and/or construction-related services and solutions, hold valid G7 certificates of registration issued by the CIDB which allows them to tender and undertake contracts for projects involving such works with no limit to contract value. Please refer to refer to items (12) to (14) in Annexure A of this Prospectus for further details of these certificates of registration issued to LSH Lighting, ASSB and LSHBB by the CIDB.

In addition, Section 33C of the CIDB Act provides that the CIDB shall, in the manner determined by the CIDB, certify the construction materials used in the construction industry and specified in the Fourth Schedule of the CIDB Act in accordance with the standards specified therein. Section 33D of the CIDB Act further provides that a person shall not deal or undertake to deal, whether directly or indirectly, with the construction materials specified in the Fourth Schedule of the CIDB Act unless the construction materials have been certified by the CIDB. The word "deal" shall mean "to handle, use, manufacture, supply, market, transfer, sell or buy, whether wholesale or retail, import or export". Any person who fails to comply with the above shall be guilty of an offence and shall, on conviction, be liable to a fine of not less than RM10,000 but not more than RM500,000.

In this regard, throughout all business activities undertaken by our Group, we ensure that any construction material being used or dealt with are duly certified by the CIDB. Furthermore, pursuant to Section 34 of the CIDB Act, we are required to declare and submit to the CIDB, in the manner as may be prescribed by the CIDB, any construction contracts which were awarded to us. Additionally, for contracts which were awarded to us as the main contractor with a contract sum of RM500,000 and above, we are also required to pay CIDB a levy at the rate of 0.125% of the contract sum pursuant to *Lembaga Pembangunan Industri Malaysia* (Imposition of Levy) (No.2) Order 2024.

As at LPD, there has been no non-compliance of our Group in relation to the requirements under the CIDB Act that may have a material adverse impact on our business operation.

(ii) Occupational Safety and Health Act 1994 and Occupational Safety and Health (Amendment) Act 2022

The Occupational Safety and Health Act 1994 ("**OSHA 1994**") makes provisions for securing the safety, health and welfare of persons at work, as well as for protecting others against risks to safety or health in connection with the activities of persons at work. For information, the Occupational Safety and Health (Amendment) Act 2022 which brings about substantial amendments to the initial provisions of the OSHA 1994 has been passed as law and came into effect on 1 June 2024, together with the new subsidiary legislations including the Occupational Safety and Health (Plant Requiring Certificate of Fitness) Regulations 2024 and the Occupational Safety and Health (Licensed Person) Order 2024 (collectively, the "**OSHA**").

Duty to ensure safety, health and welfare of persons at work

The OSHA covers all places of work and introduces obligations that applies to a "principal" who is defined as any person who in the course of or for the purposes of his trade, business, profession or undertaking contracts with a contractor for the execution by or under the contractor of the whole or any part of any work undertaken by the principal.

Under the OSHA, it is the duty of every employer and the principal to ensure, so far as is practicable, the safety, health and welfare at work of all his employees and any contractor the principal engages, including any direct subcontractor, indirect subcontractor or employee employed by such contractor or subcontractor at work who act under the direction of the principal (as the case may be). The matters in which the duty extends include, in particular, the following:

(a) the provision and maintenance of plant and systems of work that are, so far as is practicable, safe and without risks to health;

(b) the making of arrangements for ensuring, so far as is practicable, safety and absence of risks to health in connection with construction work activities, use or operation, handling, storage or transport of plant and substances;

(c) the provision of such information, instruction, training and supervision as is necessary to ensure, so far as is practicable, the safety and health of the persons at work;

(d) so far as is practicable, as regards to any place of work under the control of the employer or the principal, the maintenance of the place of work in a condition that is safe and without risks to health, and the provision and maintenance of the means of access to and egress from it that are safe and without such risks;

(e) the provision and maintenance of a working environment for the persons at work that is, so far as is practicable, safe, without risks to health;

(f) the development and implementation of procedures for dealing with emergencies that may arise while the persons are at work; and

(g) the conduct of risk assessment in relation to the safety and health risk posed to any person who may be affected by his undertaking at the place of work, as well as the determination of the risk control.

Any person who contravenes the above shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding RM500,000 or to imprisonment for a term not exceeding two (2) years or to both.

Requirement for certificate of fitness

Prior to 1 June 2024, the requirements for the registration and inspection of machinery and for matters connected therewith are governed by the Factories and Machinery Act 1967 (Revised 1974) ("**FMA 1967**"). However, the FMA 1967 was repealed following the passing of the Factories and Machinery (Repeal) Act 2002 ("**FM Repeal Act**") into law which came into effect on 1 June 2024. As such, any registration made, or order, notice, direction, written authority, approval, certificate of fitness, special scheme of inspection or certificate of competency given or issued, under the FMA 1967 shall now be dealt with under the OSHA and its subsidiary legislations.

Section 27D of the OSHA provides that no person shall operate or cause or permit to be operated any prescribed plant for which a certificate of fitness is required, unless there is a valid certificate of fitness issued and in force in relation to the operation of the plant. In the case of any contravention, the affected machinery may not be operated until such time a valid certificate of fitness is issued. The person who contravenes Section 27D of the OSHA shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding RM100,000 or to imprisonment for a term not exceeding one (1) year or to both.

As at LPD, our Group holds and maintains valid certificates of fitness for the operation of 32 machineries that require certifications under the OSHA. Please refer to items (15) to (46) in Annexure A of this Prospectus for further details of these certificates of fitness.

As at LPD, there has been no non-compliance of our Group in relation to the requirements under the OSHA and its subsidiary legislations that may have a material adverse impact on our business operations.

(iii) Environmental Quality Act 1974 ("EQA")

The EQA governs the prevention, abatement, control of pollution and enhancement of the environment, and for purposes connected therewith.

Among others, pursuant to Section 22(1) of the EQA, no person shall, unless licensed, emit or discharge any environmentally hazardous substances, pollutants or wastes into the atmosphere in contravention of the acceptable conditions specified under Section 21 of the EQA.

Any person who contravenes Section 22(1) of the EQA shall be guilty of an offence and shall, on conviction, be liable to a fine of not less than RM10,000 and not exceeding RM1,000,000 or to imprisonment for a term not exceeding five (5) years or to both and to a further fine not exceeding RM1,000 a day for every day that the offence is continued after a notice by the Director General of Environmental Quality requiring him to cease the act specified therein has been served upon him.

Our Group is required to comply with the provisions of the EQA in carrying out our business operations. As at LPD, there has been no non-compliance of our Group in relation to the requirements under the EQA that may have a material adverse impact on our business operations.

(iv) Housing Development (Control and Licensing) Act 1966 ("HDA") and Housing Development (Control and Licensing) Regulations 1989 ("HDA Regulations")

The HDA is an act to provide for the control and licensing of the business of housing development in Peninsular Malaysia, the protection of the interest of purchasers and for matters connected therewith.

Developer's license

The HDA requires that no housing development shall be engaged in, carried on, undertaken or caused to be undertaken except by a housing developer in possession of a licence issued under the HDA.

Except with the written consent of the Controller of Housing ("**Controller**"), no housing developer other than a licensed housing developer shall assume or use in relation to his business or any part of his business the words "housing developer" or any of its derivatives or any other word or words indicating the carrying on of the business of housing development. A "housing developer" is defined as any person, body of persons, company, firm or society (by whatever name described), who or which engages in or carries on or undertakes or causes to be undertaken a housing development, and in a case where the housing developer is under liquidation, includes a person or body appointed by a court of competent jurisdiction to be the provisional liquidator or liquidator for the housing developer.

Any person who contravenes the above or fails to comply with any of the conditions imposed on the licence granted under the HDA shall be guilty of an offence and shall, on conviction, be liable to a fine which shall not be less than RM250,000 but which shall not exceed RM500,000 or to imprisonment for a term not exceeding five (5) years or to both.

Advertising and sale permit

Pursuant to the HDA Regulations, no advertisement or sale shall be made by any housing developer without an advertising and sale permit having first been obtained from the Controller. Any advertisement and sale shall be in accordance with the advertisement and sale permit as approved by the Controller. Any misleading statement, false representation or description of the particulars or information required pursuant to the advertising and sale permit including the difference in price of property shall be an offence under the HDA Regulations.

Any person who contravenes any of the provisions of the HDA Regulations shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding RM50,000 or to imprisonment for a term not exceeding five (5) years or to both. A breach of any condition in the developer's licence or in any advertising and sale permit shall be deemed to be a contravention of the HDA Regulations.

As at LPD, ASSB holds a valid developer's licence issued under the HDA and has obtained the advertising and sale permit for the LSH Segar Project. Please refer to items (47) and (48) in Annexure A of this Prospectus for further details. However, ASES has yet to obtain the developer's licence for the development of the Lake Side Homes Project as it has not obtained the building plan approval for the development. Similarly, it has yet to obtain the advertising and sale permit for the Lake Side Homes Project as it has not commenced any advertising or sale activities for the Lake Side Homes Project.

6. BUSINESS OVERVIEW *(Cont'd)*

(v) Strata Title Act 1985 ("STA") and Strata Management Act 2013 ("SMA")

The STA provides provision for the subdivision of building or land of shared properties. It includes the procedure for the application of subdivision, registration, issuance of strata titles, management of the strata scheme after the issuance of strata titles and also management of Strata Titles Board. This act is under the jurisdiction of the Department of Land and Mines, which is under the Ministry of Natural Resources and Environment, Malaysia.

The SMA, on the other hand, is enacted to provide for the proper maintenance and management of buildings and common area of a property or building in Peninsular Malaysia and the Federal Territory of Labuan. In this regard, we are subject to, among others, the provisions of the maintenance and management of the building during the developer's management period and before joint management body is established, and to convene the first annual general meeting of the joint management body.

(vi) Personal Data Protection Act 2010 ("PDPA") and the Personal Data Protection (Class of Data Users) Order 2013 ("PDP Order")

Section 15(1) of the PDPA stipulates that a person who belongs to the class of data users as specified in the order made under subsection 14(1) of the PDPA shall submit an application for registration to the Personal Data Protection Commissioner ("**PDP Commissioner**") in the manner and form as determined by the PDP Commissioner.

Pursuant to the PDP Order, a licensed housing developer under the HDA is required to register with the PDP Commissioner and obtain a valid certificate of registration to process any personal data.

A person who belongs to the class of data users as specified in the PDP Order and who processes personal data without a certificate of registration issued under the PDPA commits an offence and shall, on conviction, be liable to a fine not exceeding RM500,000 or to imprisonment for a term not exceeding three (3) years or to both.

As at LPD, ASSB, as a licensed housing developer, holds a valid certificate of registration as data user to process personal data. However, ASES does not presently hold such certificate of registration as it has not processed any personal data as at LPD, pending the commencement of the sale activities for the Lake Side Homes Project. Nevertheless, ASES will apply for the certificate of registration as data user prior to the launch of the Lake Side Homes Project.

(vii) Employees' Minimum Standards of Housing, Accommodations and Amenities Act 1990 ("EMSHAA") and Employees' Minimum Standards of Housing, Accommodations and Amenities (Accommodation and Centralised Accommodation) Regulations 2020 ("EMSHAA Regulations")

The EMSHAA prescribes, among others, the minimum standards for accommodations for employees and centralised accommodations, as well as requires employers to provide health, medical and social amenities to their employees.

The EMSHAA imposes the duty and responsibility on employers or centralised accommodation providers to, among others, ensure that:

(a) every accommodation provided for employee complies with the minimum standards required under the EMSHAA and any regulations issued under the EMSHAA;

(b) no accommodation will be provided to an employee unless such accommodation is certified with a certificate for accommodation;

(c) the accommodation provided for employee has decent and adequate amenities in accordance with the EMSHAA and any regulations issued under the EMSHAA; and

(d) preventive measures are taken to contain the spread of infectious diseases as ordered by the Medical Officer of Health in accordance with the relevant written laws and the employer will, at his own expense, make arrangements as ordered by the Medical Officer of Health so that all or any of the employees be given immunisation against any infectious disease.

An employer who provides accommodation that is not certified with a certificate of accommodation to an employee commits an offence and shall, on conviction, be liable to a fine not exceeding RM50,000.

Further, the EMSHAA Regulations imposes, among others, the minimum requirements for employee accommodations including the size of floor area for bedrooms and sleeping areas, as well as the obligation on employers or centralised accommodation providers to ensure the provision of water and electricity supply as well as basic amenities.

As at LPD, our Group has obtained the certificate of accommodation for all the premises used as accommodation for our employees, which comprise one (1) centralised labour quarter and three (3) units of apartment.

(viii) Local Government Act 1976 ("LGA")

The LGA is enacted to revise and consolidate laws relating to local government in Peninsular Malaysia.

Under the LGA, the relevant local authority may exercise and perform within such area all or any powers and duties conferred on them under the LGA or under any by-laws, rules or regulations passed pursuant to the LGA. The power includes the issuance of licenses and the imposition of any conditions and restrictions (if any) on the licenses as they deem fit.

Our Group's business premises located in Kuala Lumpur are subject to the jurisdiction of DBKL whilst our business premises located in Kajang and Balakong are subject to the jurisdiction of the Kajang Municipal Council *(Majlis Perbandaran Kajang)* ("**MPKj**"). The relevant by-laws governing the conduct of our Group's business operation in these premises are the Licensing of Trades, Businesses and Industries (Federal Territory of Kuala Lumpur) By-Laws 2016 ("**Kuala Lumpur By-Laws**") and the Licensing, Business Trade and Industrial By-Law (MPKj) 2007 ("**Kajang By-Laws**") respectively. In this regard, we are required to obtain and maintain business and advertisement licences to carry out our operations and to produce our business licences and display our signboard at our business premises.

The Kuala Lumpur By-Laws provides that it is an offence for any person who uses any premises for any prescribed business activity listed therein without a valid business premises licence. Similarly, by virtue of the Kajang By-Laws, no person shall operate any activity of trade, business and industry or use any place or premises in the local area of MPKj for any activity of trade, business and industry without a licence issued by the licensing authority of MPKj.

Any person who contravenes any of the provision in these by-laws shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding RM2,000 or a term of imprisonment not exceeding one (1) year or to both and in the case of a continuing offence, a sum not exceeding RM200 for each day during which the offence is continued after the conviction.

As at LPD, all our business premises (including those rented by us) are issued with valid business premises licences and signboard licences. Please refer to items (1) to (9) in Annexure A of this Prospectus for further details.

(ix) Street, Drainage and Building Act 1974 ("SDBA") and Uniform Building By-Laws 1984 ("UBBL")

The SDBA regulates the laws relating to street, drainage and building in local authority areas in Peninsular Malaysia. It provides for the requirement to have a certificate of fitness for occupation to ensure that the building is safe and fit for occupation.

The UBBL, on the other hand, has been put in force pursuant to the exercise of the power conferred by Section 133 of the SDBA. Under the UBBL, a certificate of fitness for occupation in respect of a building shall only be given when:

(a) the qualified persons (i.e. the architect, registered building draughtsman or engineer) during the course of the work have certified in Form E as set out in the Second Schedule to the UBBL that they have supervised the erection of the building, that to the best of their knowledge and belief, the building has been constructed in accordance with the UBBL and any conditions imposed by the local authority have been satisfied and that they accept full responsibility for those portions which they are respectively concerned with and the local authority or an authorised officer has inspected the building; and

(b) all essential services including access roads, landscape, car parks, drains, sanitary, water and electricity installation, fire lifts, fire hydrant and other where required, sewerage and refuse disposal requirements have been provided.

Any person who occupies or permits to be occupied any building or any part thereof without a certificate of fitness for occupation, a partial certificate of fitness for occupation or a temporary certificate of fitness for occupation shall, on conviction, be liable to a fine not exceeding RM250,000 or to imprisonment for a term not exceeding 10 years or to both. Alternatively, the local authority may order for any such building without a certificate of fitness for occupation to be demolished.

As at LPD, save for the Jalan Pahang Owned-Shophouse and Jalan Pahang Rented-Shophouse set out in Section 6.29 of this Prospectus, all of our Group's owned and tenanted properties have been issued with a valid certificate of fitness for occupation. In respect of our residential development projects, our Group will also ensure compliance by obtaining the CCC before handover of vacant possession to our purchasers.

(x) Town and Country Planning Act 1976 ("TCPA") and Federal Territory (Planning) Act 1982 ("FTPA")

The TCPA is enacted for the proper control and regulation of town and country planning in Peninsular Malaysia and for purposes connected therewith or ancillary thereto.

Under Section 18 of the TCPA, no person shall use or be permitted to use any land or building otherwise than in conformity with the local plan. Section 26 of the TCPA states that a person who, whether at his own instance or at the instance of another person uses or permits to be used any land or building in contravention of Section 18 of the TCPA commits an offence and shall, on conviction, be liable to a fine not exceeding RM500,000 or to imprisonment for a term not exceeding two (2) years or to both, and in the case of a continuing offence, to a further fine which may extend to RM5,000 for each day during which the offence continues after the first conviction for the offence.

The FTPA, on the other hand, is an act that makes provisions for the control and regulation of proper planning in the Federal Territory of Kuala Lumpur, for the levying of development charges, and for purposes connected therewith or ancillary thereto.

Section 20 of the FTPA provides that save for certain exceptions, no person other than a local authority, shall commence, undertake or carry out development unless planning permission in respect of the development has been granted to him by the local planning authority.

Section 19(1) of the FTPA further provides that no person shall use or permit to be used any land or building or commence, undertake or carry out any development otherwise than in conformity with the development plan or any planning permission granted under the FTPA in respect of the development.

Any person who commences, undertakes or carries out development in contravention of Section 19(1) of the FTPA or uses or permits to be used any land in contravention of the said section is guilty of an offence and shall, on conviction, be liable to a fine not exceeding RM50,000, and in the case of a continuing offence, to a further fine which may extend to RM500 for every day during which the offence continues after conviction for the first commission of the offence.

Under the TCPA and FTPA, we are required to obtain a development order/planning permission for our property development projects. As at LPD, our Group has obtained the development orders in respect of all our ongoing development projects, namely the LSH Segar Project and Lake Side Homes Project, both of which are located at the Federal Territory of Kuala Lumpur.

(xi) National Land Code ("NLC")

The NLC governs land matters within Peninsular Malaysia, where our material properties are situated. Under the NLC, there are three (3) categories of land use, being "building", "industry" and "agriculture". All alienated lands in Peninsular Malaysia are also subject to implied conditions as more particularly described in the NLC and express conditions imposed by the state authority.

Upon any breach of any condition to which any alienated land is for the time being subjected to, the land shall become liable to forfeiture to the state authority and, except in a case where a fine is imposed or where action for the purpose of causing the breach to be remedied is first required to be taken, the land administrator shall proceed with the enforcement of the forfeiture in accordance to the provisions of the NLC.

As at LPD, our Group has complied with all land use conditions in relation to the properties owned and tenanted by our Group.

(xii) Water Services Industry Act 2006 ("WSIA")

The WSIA provides for and regulates the water supply services and sewerage services and matters incidental thereto in Peninsular Malaysia and the Federal Territories of Putrajaya and Labuan.

Under Section 45 of the WSIA, no person shall construct, alter, modify, disconnect or close up a water supply system, sewerage system, septic tank, individual internal sewerage piping or common internal sewerage piping unless the relevant plans or specifications which require the approval of the National Water Services Commission (*Suruhanjaya Perkhidmatan Air Negara*) ("**SPAN**") have first been approved in writing by SPAN.

Pursuant to Section 46 of the WSIA, a developer of a new development shall be required to construct a water supply system and a sewerage system or part of the systems in its development in accordance with the requirements set out in any plan and specification approved by SPAN according to Section 45 of the WSIA.

A person who fails to comply with the provisions above commits an offence and shall, on conviction, be liable to a fine not exceeding RM500,000 or to imprisonment for a term not exceeding five (5) years or to both.

Further to the above, under Section 50(1) of the WSIA, subject to such exemptions as may be specified by SPAN, no person shall:

(a) carry out any construction, connection, modifications or repairs to water pipes and water fittings which convey or will convey water from the public mains;

(b) carry out any works necessary to connect a private connection pipe to a sewer or sewerage treatment works;

(c) construct, install or modify any part of a water supply system or sewerage system;

(d) carry out maintenance services for a water supply system or a sewerage system but does not involve the operation of such systems; or

(e) undertake, provide or make available sewerage desludging services or any other sewerage services,

without a written permit issued by SPAN.

A person who fails to comply with Section 50(1) of the WSIA commits an offence and shall, on conviction, be liable to a fine not exceeding RM300,000 or to imprisonment for a term not exceeding three (3) years or to both.

As at LPD, our Group has obtained all the relevant approvals and permits from SPAN which are required when carrying out construction works for water supply and sewerage systems. In addition, the water supply system and sewerage system for the LSH Segar Project is currently being constructed in accordance with the requirements set out in the plan approved by SPAN. We will also ensure that the water supply system and sewerage system for the Lake Side Homes Project will be constructed in accordance with the requirements to be set out in the plan to be approved by SPAN in due course.

(xiii) Electricity Supply Act 1990 ("ESA") and Electricity Regulations 1994 ("Electricity Regulations")

The ESA regulates the electricity supply industry, the supply of electricity at reasonable prices, the licensing of any electrical installation, the control of any electrical installation, plant and equipment with respect to matters relating to the safety of persons and the efficient use of electricity and for purposes connected therewith.

Pursuant to Regulation 75 of the Electricity Regulations, no person shall perform or carry out any electrical work unless he holds a valid certificate of registration as an electrical contractor issued under the Electricity Regulations.

A person who contravenes or fails to comply with any provisions of the Electricity Regulations shall be guilty of an offence and shall, on conviction, be liable to a fine not exceeding RM5,000 or to imprisonment for a term not exceeding one (1) year.

Our Group outsources all electrical work which requires a valid certificate of registration of an electrical contractor. Throughout our procurement process, we ensure that the contractor appointed holds a valid certificate of registration as electrical contractor.

(xiv) Sale of Goods Act 1957 ("SOGA")

The SOGA governs the sale of goods in Peninsular Malaysia. Such legislation sets out the terms and conditions relating to the sale of goods, which include, among others, the condition and warranty, sale by description and implied conditions as to quality. A breach of these terms may give rise to an action for damages and consumers can claim damages for a breach of warranty.

Our Group's obligation as a supplier of construction products under the SOGA primarily includes ensuring that the goods we sell are in line with the standards prescribed under the SOGA. This includes, among others, applicable conditions implied under laws for sale such as having the right to sell the goods before selling the same to our customers, making sure that the goods we sell correspond to the description, as well as ensuring the quality or fitness of the goods for particular purposes.

(xv) Trade Descriptions Act 2011 ("TDA")

The TDA is enforced by the Ministry of Domestic Trade and Consumer Affairs, Malaysia which aims to promote good trade practices by prohibiting false trade descriptions and false or misleading statements, conduct and practices in relation to the supply of goods and services and to provide for matters connected therewith or incidental thereto, thereby protecting the interest of consumers.

Pursuant to Section 5 of the TDA, any body corporate who:

(a) applies a false trade description to any goods;

(b) supplies or offers to supply any goods to which a false trade description is applied; or

(c) exposes for supply or has in his possession, custody or control for supply any goods to which a false trade description is applied,

commits an offence and shall, on conviction, be liable to a fine not exceeding RM250,000, and for a second or subsequent offence, to a fine not exceeding RM500,000.

Section 16 of the TDA provides that no person shall make any false representation by any means, whether direct or indirect, that any goods or services supplied by him or any methods adopted by him are of a kind supplied to or approved by any person including any government or government department or agency or any international body or agency whether in Malaysia or abroad.

Our Group is required in the course of carrying out our retail operations, distributing construction products and providing construction services, to ensure that we practice good trade practices and to ensure in particular that trade descriptions of the goods and services supplied by us are not misleading to our customers.

(xvi) Consumer Protection Act 1999 ("CPA")

The CPA provides for the protection of consumers, the establishment of the national consumer advisory council and the tribunal for consumer claims, and for matters connected therewith.

The CPA stipulates, among others, the following:

(a) no person shall engage in conduct that:

(aa) in relation to goods, is misleading or deceptive, or is likely to mislead or deceive, the public as to the nature, manufacturing process, characteristics, suitability for a purpose, availability or quantity, of the goods; or

(bb) in relation to services, is misleading or deceptive, or is likely to mislead or deceive, the public as to the nature, characteristics, suitability for a purpose, availability or quantity, of the services;

(b) no person shall supply, or offer to or advertise for supply, any goods or services which do not comply with the safety standards determined under the CPA; and

(c) the goods supplied to a consumer shall be goods of acceptable quality, fit for any particular purpose, comply with description, and so on.

Any body corporate which contravenes any of the provisions above commits an offence, and shall, on conviction, be liable to a fine not exceeding RM250,000, and for a second or subsequent offence, to a fine not exceeding RM500,000. In the case of a continuing offence, the offender shall, in addition to the penalties mentioned earlier, be liable to a fine not exceeding RM1,000 for each day or part of a day during which the offence continues after conviction.

Our Group is required in the course of carrying out our retail operations to ensure that we comply with the CPA and in particular, to ensure that the goods and services made available by us are not made on the basis of any false or misleading representations to our customers.

In addition to the above and as set out in Section 6.2.1(i)(b) of this Prospectus, our Group undertakes various infrastructure construction and engineering work projects as subcontractor, some of which may have Bumiputera participation requirements to be adhered to by the main contractor. However, to the best of our Group's knowledge, as at LPD, there are no restrictions under Bumiputera policies in Malaysia which prohibit our Group's participation as subcontractor in such projects.

6.29 ADDITIONAL DISCLOSURE

As at LPD, there are two (2) properties used by our Group which do not have CCC/CF in place as follows:

(i) Our end lot three (3)-storey shophouse located at Jalan Pahang, Kuala Lumpur owned by LSH Ventures and currently rented to Knight Auto for use as its retail store ("Jalan Pahang Owned-Shophouse")

When the Jalan Pahang Owned-Shophouse was acquired by LSH Ventures from the vendors in April 2007, the CF was not provided. Over the course of the due diligence exercise for the Transfer of Listing, it was discovered that the CF for our Jalan Pahang Owned-Shophouse could not be located which DBKL has also confirmed that they were unable to locate and furnish LSH Ventures with the same as the relevant construction records were too dated. In this regard, our Group has not been complying with the requirement to have a CCC/CF for our Jalan Pahang Owned-Shophouse under the Street, Drainage and Building Act 1974 ("**SDBA**") and Uniform Building By-Laws 1984 ("**UBBL**") since the commencement of Knight Auto's tenancy and occupancy of this premises in January 2009.

To address the abovementioned non-compliance, we had on 5 September 2023 appointed an architect to handle the application and issuance of the CF (now known as CCC) for our Jalan Pahang Owned-Shophouse. However, the appointed architect has advised us that it is unable to commence the application for the said CCC unless LSH Ventures applies to the land office for the alienation of part of the land measuring approximately 425.71 sq ft ("**Affected Land Area**") that is adjacent to our Jalan Pahang Owned-Shophouse in favour of LSH Ventures ("**Alienation Application**").

The Alienation Application is necessary because the staircase of our Jalan Pahang Owned-Shophouse is situated on the Affected Land Area. The staircase is a remnant of the previous shophouses that once stood on both the Affected Land Area and the land where our Jalan Pahang Owned-Shophouse is erected on but were demolished due to the land acquisition by the Malaysian Government for the construction of DUKE. The retention of this staircase is crucial for maintaining the structural integrity of our Jalan Pahang Owned-Shophouse.

The appointed consultant surveyor has submitted the Alienation Application to the land office on 25 April 2024. At this juncture, the approval of the Alienation Application is still pending and we are unable to provide the exact timeframe to obtain the CCC for our Jalan Pahang Owned-Shophouse given that the timing of the land office's approval is beyond our control. Nevertheless, we will endeavour our best efforts to obtain the CCC for our Jalan Pahang Owned-Shophouse by December 2026, considering the Alienation Application may require a lengthier approval process internally within the land office. Our Group, through our consultant surveyor appointed, will continue to engage closely with the land office to expedite the approval process for the Alienation Application and subsequently, the issuance of the CCC for this premises.

However, if LSH Ventures is ultimately unable to obtain the said CCC and if we are required by the local authorities to cease occupying our Jalan Pahang Owned-Shophouse, we will relocate this retail store to another property with CCC, or consolidate the operations of this retail store with our other Knight Auto's retail store located at No. 349A, Wisma Knight Auto, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur ("**Wisma Knight Auto Retail Store**") which is adjacent to our Jalan Pahang Owned-Shophouse.

While we expect to incur some fees and charges to obtain the CCC for our Jalan Pahang Owned-Shophouse such as land premium based on value to be determined by Jabatan Penilaian dan Perkhidmatan Harta (JPPH), architect and consultants fees, DBKL plan processing fees, DBKL penalty (if any), and minor construction cost to comply with any condition that may be imposed by the local authorities in granting the approval for the planning permission and building plan, we are unable to quantify the exact amount of such costs at this juncture. In any event, we do not anticipate such fees or charges to exceed RM2.00 million and such fees or charges will be funded using our internal funds.

Furthermore, the relocation cost is expected to be minimal given that Knight Auto has the necessary in-house resources (including crew and lorries) to carry out the relocation on our own. While the downtime from relocating and setting up a new retail store is estimated to range between three (3) to six (6) months, our Group does not anticipate any material adverse impact on our business operations and financial performance considering Knight Auto has several other retail stores located across the Klang Valley region, including the Wisma Knight Auto Retail Store which is adjacent to our Jalan Pahang Owned-Shophouse.

Nevertheless, if the local authority orders us to demolish our Jalan Pahang Owned-Shophouse, we will have to fully impair/write off the NBV of our Jalan Pahang Owned-Shophouse in our statements of profit or loss and other comprehensive income, which amounts to approximately RM0.50 million as at 30 September 2024, representing approximately 1.57% of the total NBV of our property, plant and equipment as at 30 September 2024.

(ii) A corner lot three (3)-storey shophouse located at Jalan Pahang, Kuala Lumpur rented by LSH Lighting from LSH Holdings as its retail store ("Jalan Pahang Rented-Shophouse")

When we requested LSH Holdings, being the landlord of the Jalan Pahang Rented-Shophouse, to provide the CF for the Jalan Pahang Rented-Shophouse during the due diligence exercise for the Proposed Transfer of Listing, we were informed that the CF was not provided to LSH Holdings when it acquired the Jalan Pahang Rented-Shophouse from the vendor in April 2007. Despite efforts by LSH Holdings to retrieve the CF by reaching out to the relevant authority, DBKL has confirmed that they were also unable to locate and furnish LSH Holdings with the CF for the Jalan Pahang Rented-Shophouse as the relevant construction records were too dated. In this regard, our Group has not been complying with the requirement to have a CCC/CF for the Jalan Pahang Rented-Shophouse under the SDBA and UBBL since the commencement of LSH Lighting's tenancy and occupancy of this premises in June 2008.

6. BUSINESS OVERVIEW *(Cont'd)*

To address the abovementioned non-compliance, LSH Holdings had on 5 September 2023 appointed an architect to handle the application and issuance of the CCC for the Jalan Pahang Rented-Shophouse. The submissions of the planning permission and building plan approval to facilitate the issuance of the said CCC have been made on 9 January 2024, and LSH Holdings had on 31 January 2024 received a conditional approval for the planning permission and building plan from DBKL. The conditions imposed by DBKL include, among others, the removal of the awning and staircase which extends beyond the boundary set out in the building plan ("**Rectification Works**").

On 23 December 2024, LSH Holdings, through the appointed architect, submitted the revised building plan to DBKL based on the conditions imposed by DBKL.The approved planning permission and revised building plan were subsequently endorsed by DBKL on 7 January 2025, subject to the Rectification Works being carried out in compliance with the applicable provisions under the SDBA. In this regard, we expect the remaining processes (including the Rectification Works) until the issuance of the CCC for the Jalan Pahang Rented-Shophouse to take up to six (6) months from the said endorsement date (i.e. by the end of June 2025) to complete.

We do not expect to incur any cost for the rectification as all such costs and expenses incurred will be borne by LSH Holdings as the landlord of the Jalan Pahang Rented-Shophouse.

However, if LSH Holdings is ultimately unable to obtain the CCC for the Jalan Pahang Rented-Shophouse and if we are required by the local authorities to cease occupying the Jalan Pahang Rented-Shophouse, we will relocate this retail store to another property with CCC, or consolidate the operations of this retail store with our other existing 'Lim Seong Hai Lighting' retail stores.

The relocation cost is also expected to be minimal given that LSH Lighting has the necessary in-house resources (including crew and lorries) to carry out the relocation on our own. While the downtime from relocating and setting up a new retail store is estimated to range between three (3) to six (6) months, our Group does not anticipate any material adverse impact on our business operations and financial performance considering LSH Lighting has several other retail stores located across the Klang Valley region.

For information, under Section 70(27) of the SDBA, the maximum penalty that may be imposed by the local authority upon conviction on any occupier of a building without CCC is RM250,000 or imprisonment for a term not exceeding 10 years or both.

However, as at LPD, our Group has not received any fines or penalties imposed by the relevant authorities in respect of these non-compliances.

Furthermore, in the worst-case scenario where enforcement actions lead to forced closures or cessation of our retail operations at our Jalan Pahang Owned-Shophouse and Jalan Pahang Rented-Shophouse, we do not expect any material adverse impact to our financial condition as the revenue generated by these retail stores is not material. For information, the total revenue generated by these two (2) retail stores accounted for less than 1.45% of our Group's total revenue for the FYEs 2023 and 2024.

6. BUSINESS OVERVIEW *(Cont'd)*

Notwithstanding this, our Group undertakes to procure the necessary and continue making the necessary applications and/or engage with the relevant authorities to resolve any outstanding matter in respect of the CCC for our Jalan Pahang Owned-Shophouse. Our management is actively monitoring and liaising with the relevant authorities to address any queries and requirements raised by the relevant authorities throughout the application and deliberation process until a resolution is achieved in respect of the CCC for our Jalan Pahang Owned-Shophouse. We are also closely monitoring the status of the CCC application for the Jalan Pahang Rented-Shophouse with LSH Holdings.

Further updates on the status of our efforts to remedy or resolve the non-compliance incidents at our Jalan Pahang Owned-Shophouse and Jalan Pahang Rented-Shophouse will be set out in our quarterly report to be issued.

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7. INDUSTRY OVERVIEW

PROVIDENCE STRATEGIC PARTNERS SDN BHD
(1238910-A)
67-1, Block D, Jaya One, Jalan Prof Diraja Ungku Aziz
46200 Petaling Jaya, Selangor, Malaysia.
T: +603 7625 1769

Date: 12 February 2025

The Board of Directors
Lim Seong Hai Capital Berhad
Wisma Lim Seong Hai
33 Jalan Gombak
53000 Kuala Lumpur

Dear Sirs/Madam,

Independent market research ("IMR") report on the construction and property development industries in Malaysia in conjunction with the transfer of listing and quotation of the entire issued share capital of Lim Seong Hai Capital Berhad ("LSH Capital") from the LEAP Market of Bursa Malaysia Securities Berhad ("Bursa Securities") to the ACE Market of Bursa Securities

PROVIDENCE STRATEGIC PARTNERS SDN BHD ("**PROVIDENCE**") has prepared this IMR report on the overview of the construction and property development industries in Malaysia for inclusion in the Prospectus of LSH Capital in relation to its Transfer of Listing.

PROVIDENCE has taken prudent measures to ensure reporting accuracy and completeness by adopting an independent and objective view of these industries within the confines of secondary statistics, primary research and evolving industry dynamics.

No part of this publication may be copied, reproduced, published, distributed, transmitted or passed, in whole or in part, without prior express written consent from PROVIDENCE.

For and on behalf of PROVIDENCE:



MELISSA LIM
EXECUTIVE DIRECTOR

About PROVIDENCE STRATEGIC PARTNERS SDN BHD:

PROVIDENCE is an independent research and consulting firm based in Petaling Jaya, Selangor, Malaysia. Since our inception in 2017, PROVIDENCE has been involved in the preparation of independent market research reports for capital market exercises. Our reports aim to provide an independent assessment of industry dynamics, encompassing aspects such as industry performance, demand and supply conditions and competitive landscape.

About MELISSA LIM:

Melissa Lim is the Executive Director of PROVIDENCE. She has approximately 15 years of experience in market research for capital market exercises. Melissa Lim holds a Bachelor of Commerce (Double major in Marketing and Management) from Murdoch University, Australia.

LSH Capital and its subsidiaries (collectively referred to as "**LSH Capital Group**" or the "**Group**") are a full-fledged construction company with capabilities to engage in a broad range of construction and engineering works, provide construction-related services and solutions, as well as supply construction products that are complementary to the Group's construction and engineering works as well as the needs of the wider construction industry. In addition, LSH Capital Group is also involved in property development.

1 THE CONSTRUCTION AND PROPERTY DEVELOPMENT INDUSTRIES IN MALAYSIA

DEFINITION AND SEGMENTATION

The construction and property development industries are interrelated industries.

Property development involves identifying land for development, undertaking feasibility studies, obtaining planning and development approvals, as well as sales and marketing of properties. There are generally 2 key types of property development projects, namely:

(i) residential buildings, which are used for dwelling purposes such as landed residential properties (i.e. terrace, semi-detached and detached houses), as well as low-rise and high-rise residential properties (i.e. apartments and condominiums); and

(ii) non-residential buildings, which are used for commercial purposes such as office buildings, hotels, retail outlets, convention centres and resorts (including theme parks) as well as for industrial purposes for manufacturing, assembly and warehousing activities. It also includes mixed-use buildings, which contain a combination of residential and non-residential components in the building, and can be used for either purpose (e.g. Small Office Home Office (SOHOs)).

Meanwhile, construction is critical for the erection of buildings for property development projects, as well as infrastructure. This includes:

- Residential building construction works;
- Non-residential building construction works;
- Civil engineering works, which refer to the construction of infrastructure for public use such as railways, road, jetties, utilities, bridges, drainage, sewerage and disaster prevention systems, amongst others; and
- Specialised trade activities, which refer to various auxiliary construction works including but not limited to site preparation, demolition and building service works.

These works can be performed for public or private construction projects. Public construction projects are construction projects that are owned and funded by the federal, state or local government, while private construction projects refer to projects that are owned and funded by companies.

There are various services and products related to the construction of buildings and infrastructure, including:

- **Construction and engineering works:** refer to, but not limited to, residential and non-residential building construction works, civil engineering works, and specialised trade activities;
- **Construction-related services and solutions:** refer to value-engineering services. This involves recommending alternative designs or building materials, or suggesting construction methodologies that are more cost-effective; and
- **Construction products:** refer to products used in the construction of buildings and/or infrastructure such as building materials, lighting products, hardware products and tools, plumbing products as well as construction machinery and equipment.

INDUSTRY PERFORMANCE, SIZE AND GROWTH – CONSTRUCTION INDUSTRY

Overview

Gross domestic product ("**GDP**") is a key economic indicator that reflects the economic performance of a country without the effects of inflation or deflation. Malaysia's annual GDP grew from RM1.4 trillion in 2019 to RM1.6 trillion in 2023, at a compound annual growth rate ("**CAGR**") of 2.4%. In the first three (3) quarters of 2024, Malaysia recorded total GDP of RM1,217.4 billion, compared to RM1,157.7 billion over the same period in 2023. The GDP in Malaysia is forecast to grow within the range of 4.0-5.0% between 2023 and 2024.[1]

Meanwhile, the GDP of the construction industry declined from RM66.5 billion in 2019 to RM53.6 billion in 2020 and then to RM50.8 billion in 2021 as the industry was impacted by the Coronavirus Disease 2019 ("**COVID-19**") pandemic. The movement control orders ("**MCOs**") that were implemented to curb the spread of COVID-19 led to foreign labour shortages, delays in execution of existing projects and exerted cash flow pressures on construction companies. Nevertheless, the GDP of the construction industry in Malaysia recovered after the relaxation of the MCOs in the country, as depicted by the growth in GDP of the construction industry in 2022 and the following years. GDP of the construction industry grew from RM53.4 billion in 2022 to RM56.7 billion in 2023. In the first three (3) quarters of 2024, the construction industry in Malaysia recorded RM49.2 billion GDP, compared to RM42.3 billion over the same period in 2023.

GDP in Malaysia

	2019	2020	2021	2022	2023	Q1-Q3 2023	Q1-Q3 2024
Malaysia's GDP (RM billion)	1,424.0	1,346.2	1,390.9	1,514.1	1,568.0	1,157.7	1,217.4
Malaysia's GDP growth rate (%)	-	(5.5)	3.3	8.9	3.6	-	5.2
Construction GDP (RM billion)	66.5	53.6	50.8	53.4	56.7	42.3	49.2
Construction GDP growth rate (%)	-	(19.4)	(5.2)	5.1	6.2	-	16.3

Source: Department of Statistics Malaysia

Construction and engineering works, and construction-related services and solutions

The value of construction works completed indicates the performance of the construction industry. Civil engineering projects accounted for 39.4% of the total value of construction works completed in 2023, while the remaining 60.6% of the value of construction works completed was mainly from the non-residential and residential sub-sectors in the year.

The construction industry in Kuala Lumpur and Selangor constituted a large proportion of the overall construction industry in Malaysia, i.e. 36.6% of the total value of construction works completed in 2023. The construction industry in Malaysia largely comprised private construction projects, wherein private construction projects constituted 60.4% of total value of construction projects in the country in 2023.

Value of construction works completed by sub-sector in Malaysia (1)

	2019	2020	2021	2022	2023	Q1-Q3 2023	Q1-Q3 2024
	(RM billion)					(RM billion)	
Malaysia	**146.4**	**117.9**	**112.0**	**121.9**	**132.2**	**98.0**	**116.8**
- Civil engineering	65.6	49.8	43.8	45.0	52.1	37.8	45.5
- Non-residential	37.6	31.1	31.4	37.3	38.4	29.0	32.6
- Residential	35.8	29.6	26.8	27.8	28.8	21.7	25.9

Value of construction works completed by location in Malaysia

	2019	2020	2021	2022	2023	Q1-Q3 2023	Q1-Q3 2024
	(RM billion)					(RM billion)	
Malaysia	**146.4**	**117.9**	**112.0**	**121.9**	**132.2**	**98.0**	**116.8**
• Kuala Lumpur and Selangor	70.5	58.3	45.8	49.3	48.4	35.8	39.6
• Other states	75.9	59.6	66.2	72.6	83.8	62.2	77.2

[1] Source: Ministry of Finance, Economic Outlook 2024

Value of construction works completed by project owner in Malaysia

	2019	2020	2021	2022	2023	Q1-Q3 2023	Q1-Q3 2024
	(RM billion)					(RM billion)	
Malaysia	**146.4**	**117.9**	**112.0**	**121.9**	**132.2**	**98.0**	**116.8**
• Private	81.1	65.1	62.4	73.3	80.1	59.8	71.5
• Public	65.3	52.8	49.6	48.6	52.1	38.2	45.3

Note:

(1) The total value of construction works completed includes specialised trade activities which are not presented in this table.

Source: Department of Statistics Malaysia

The construction industry declined by 19.5% and 5.0% in 2020 and 2021 respectively, in terms of value of construction works completed, from RM146.4 billion in 2019 to RM117.9 billion in 2020 and RM112.0 billion in 2021, as a result of the COVID-19 pandemic. Although the construction industry was deemed an essential service and was allowed to operate throughout the MCOs that were implemented during these years, the pandemic caused economic uncertainties, which led to foreign labour shortages, delays in execution of existing projects and exerted cash flow pressures on construction companies.

Nevertheless, the construction industry recovered in 2022 with a growth of 8.8% between 2021 and 2022, which was largely due to a growth of 17.5% in value of construction works completed for private projects. This growth was mainly due to:

- the re-opening of businesses after the relaxation of the MCOs, following the implementation of the National COVID-19 Immunisation Programme; and
- the announcements of various initiatives under Budget 2021 and various economic stimulus packages such as Prihatin Rakyat Economic Stimulus Package (PRIHATIN) and Short-Term Economic Recovery Plan (PENJANA).

The construction industry in Malaysia continued to grow by 8.4% in 2023. Much of this growth was due to a growth in value of civil engineering works completed in the year as there were several major infrastructure projects that were completed in 2023 such as Phase 2 of the MRT Putrajaya Line project, section 6 of the West Coast Expressway project, and tunnelling works for the East Coast Rail Link project.

In the first three (3) quarters of 2024, the value of construction works completed in Malaysia registered a growth of 19.2% compared to the first three (3) quarters of 2023. This growth is driven by a growth in value of civil engineering works completed such as certain portions of Pan Borneo Highway Phase 1, certain portions of the East Coast Rail Link project and certain portions of the Rapid Transit Link project, as well as construction works for residential projects such as Agile Bukit Bintang (Towers B and C) and Setia Sky Seputeh.

Moving forward, the construction industry in Malaysia is estimated to grow at a CAGR of 7.8%, from RM143.6 billion in 2024 to reach RM166.8 billion in 2026.

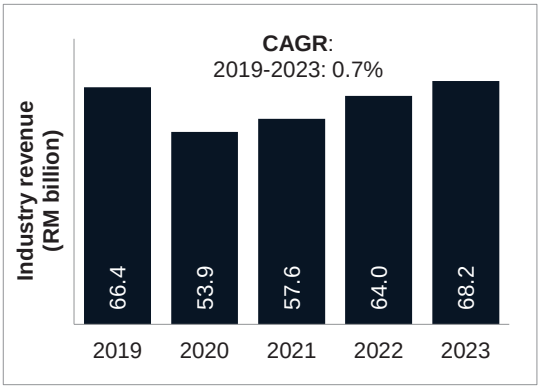
Construction products

The building materials industry in Malaysia declined by 18.8% from RM66.4 billion in 2019 to RM53.9 billion in 2020 due to slower construction activities during the MCOs that were implemented in the year. The industry recovered in 2021 by 6.9% to RM57.6 billion, and continued to grow to reach RM68.2 billion in 2023. In the first three (3) quarters of 2024, the building materials industry in Malaysia registered a growth of 8.3%, growing to RM66.9 billion from RM61.8 billion in the first three (3) quarters of 2023. Moving forward, the building materials industry in Malaysia is forecast to grow at a CAGR of 6.5%, from RM72.7 billion in 2024 to reach RM82.5 billion in 2026.

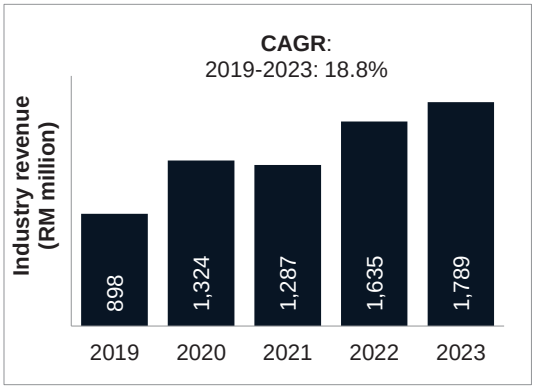
Meanwhile, the lighting and mechanical and electrical ("**M&E**") products as well as the hardware, tools and machinery industries were less affected by the MCOs in 2020. This is attributed to consumers purchasing construction products to carry out home improvement and do-it-yourself (DIY) projects as they spend more time at home. The lighting and M&E product industry in Malaysia grew by 47.4% from RM0.9 billion in 2019 to RM1.3 billion in 2020, while the hardware, tools and machinery industry in Malaysia grew by 11.8% from RM7.6 billion in 2019 to RM8.5 billion in 2020. Both the lighting and M&E product as well as hardware, tools and machinery industries in Malaysia continued to grow to reach RM1.8 billion and RM10.7 billion in 2023, respectively. In the first three (3) quarters of 2024, the lighting and M&E products industry in Malaysia stood at RM2.0 billion, growing from RM1.6 billion over the same period in 2023, registering a growth of 25.0%. Meanwhile, the hardware, tools and machinery industry in Malaysia grew by 12.5% from RM9.6 billion in the first three (3) quarters of 2023 to RM10.8 billion over the same period in 2024. Moving forward, the lighting and M&E product as well as hardware, tools and

machinery industries in Malaysia are forecast to grow at CAGRs of 11.3% and 8.4%, from RM2.1 billion and RM11.4 billion respectively in 2024 to reach RM2.6 billion and RM13.4 billion, respectively in 2026.

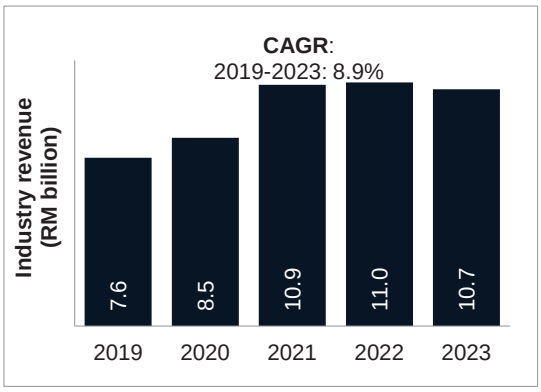
Building materials industry in Malaysia (1)



Lighting and M&E products industry in Malaysia



Hardware, tools and machinery industry in Malaysia



Note:

(1) Building materials consist of refractory mortars and concretes; non-refractory ceramic; precast concrete, cement or artificial stone articles for use in construction; prefabricated structural components for building or civil; cement, concrete or artificial stone; other articles of concrete, cement and plaster; ready-mix and dry-mix concrete and mortars; pig iron and spiegeleisen in pigs, blocks or other primary forms; bars and rods of stainless steel or other alloy steel; seamless tubes, by hot rolling, hot extrusion or hot drawing, or by cold drawing or cold rolling; other basic iron and steel; and veneer sheets and plywood.

Source: Department of Statistics Malaysia

INDUSTRY PERFORMANCE, SIZE AND GROWTH – PROPERTY DEVELOPMENT INDUSTRY

Performance of the residential property development industry

Residential property holds the largest share of the property development industry, contributing RM100.9 billion (or 51.3%) to the total property transaction value in Malaysia in 2023, while the remaining 48.7% are made up of non-residential and mixed-use properties.[2] Between 2019 and 2023, the residential property development industry in Malaysia has seen growth at a CAGR of 4.6% in terms of number of transactions, and a CAGR of 8.7% in terms of value of transactions.

Residential property transactions by location in Malaysia

	2019	2020	2021	2022	2023	Q1-Q3 2023	Q1-Q3 2024
Volume (units)							
Malaysia	**209,295**	**191,354**	**198,812**	**243,190**	**250,586**	**183,525**	**192,484**
Kuala Lumpur	11,100	10,606	11,129	13,182	13,752	9,938	10,291
Selangor	51,981	44,034	48,755	56,514	55,035	40,235	42,076
Value (RM billion)							
Malaysia	**72.4**	**65.9**	**76.9**	**94.3**	**100.9**	**73.2**	**78.1**
Kuala Lumpur	8.3	8.2	9.7	11.8	11.4	8.3	8.8
Selangor	25.4	21.7	26.5	30.6	30.3	21.9	23.5

Source: National Property Information Centre ("**NAPIC**")

[2] Source: NAPIC

In particular, residential property industry in Kuala Lumpur grew, in terms of the volume of residential property transactions, at a higher CAGR of 5.5% than the overall residential property transactions in Malaysia between 2019 and 2023. Meanwhile, the volume of residential property transactions in Selangor recorded a lower CAGR of 1.4% over the same period. In terms of value of property transactions, Kuala Lumpur and Selangor recorded CAGRs of 8.3% and 4.5%, respectively, between 2019 and 2023.

The overall property development industry was adversely affected by the COVID-19 pandemic in 2020, resulting in a decline in residential property transaction volumes and values in the year.

To aid the recovery of the industry, the Government of Malaysia introduced several initiatives to stimulate the property development industry and provided financial relief to homebuyers and homeowners. This included the Home Ownership Campaign 2020-2021, which allowed homebuyers to enjoy stamp duty exemptions on the instruments of transfer and loan agreements for the residential properties priced between RM0.3 million and RM2.5 million, subject to a discount of at least 10.0% from the developer. Additionally, homeowners looking to sell their properties were exempted from paying Real Property Gains Tax (RPGT) on the disposal of up to three (3) residential properties per individual between 1 June 2020 and 31 December 2021. Furthermore, the existing 70.0% financing limit on a third housing loan for a residential property valued at RM600,000 and above was lifted during the period.

As a result of these initiatives, the volume and value of residential property transactions rebounded in 2021 by 3.9% and 16.7% between 2020 and 2021, respectively. The residential property development industry continued to grow to reach 250,586 units in terms of volume of residential property transactions, and RM100.9 billion in value of residential property transactions by 2023.

In the first three (3) quarters of 2024, the volume and value of residential property transactions grew by 4.9% and 6.7% compared to the same period in 2023, respectively.

Moving forward, the volume and value and residential property transactions are estimated to grow at CAGRs of 3.4% and 9.4% between 2024 and 2026, from 258,855 and RM105.1 billion in 2024 respectively to reach 277,024 and RM125.7 billion in 2026, respectively.

Overhang properties in Malaysia

Overhang properties refer to properties that have been completed yet remained unsold for more than 9 months after they were launched. A high level of overhang properties is an indicator for lower number of development projects launched in the property development industry as property developers may be discouraged from developing new properties until the overhang situation improves.

In Malaysia, the number and value of overhang residential properties have reduced between 2021 and 2023. The volume of overhang residential properties fell from 36,863 units in 2021 to 25,816 units in 2023. Meanwhile, the value of overhang residential properties also fell from RM22.8 billion in 2021 to RM17.7 billion in 2023. In the first three (3) quarters of 2024, both the volume and value of overhang residential properties continued to decline, reaching 21,968 units and RM13.8 billion.

Overhang residential properties by location in Malaysia

	2019	2020	2021	2022	2023	Q1-Q3 2023	Q1-Q3 2024
Volume (units)							
Malaysia	**30,664**	**29,565**	**36,863**	**27,746**	**25,816**	**25,311**	**21,968**
Kuala Lumpur	2,605	3,023	3,908	3,429	3,535	3,111	3,273
Selangor	4,687	4,889	6,095	3,698	3,405	3,296	2,304
Value (RM million)							
Malaysia	**18,819.4**	**18,918.6**	**22,789.7**	**18,414.3**	**17,680.4**	**17,400.3**	**13,846.9**
Kuala Lumpur	2,600.3	2,915.0	3,166.1	3,149.2	3,632.5	3,318.8	3,118.3
Selangor	3,750.7	4,287.9	5,281.2	3,358.9	3,632.3	3,480.7	1,815.5

Source: NAPIC

DEMAND DRIVERS

Long-term economic and population growth signify growth opportunities for the residential property development industry, which in turn would create demand for the construction industry

Between 2019 and 2023, the GDP per capita in Malaysia grew from RM46,513 to RM54,612, registering a CAGR of 4.1%.[3] The rise in GDP per capita indicates a growing economy which signifies growing disposable income and improving standard of living of the population, leading to a more affluent

[3] Source: Department of Statistics Malaysia

population with greater spending power. Thus, the increasing disposable income of Malaysia's population correlates with the demand for residential properties, and would also result in a higher demand for higher-value residential properties.

In addition, the residential property development industry can also be driven by a growing population as more properties need to be constructed to support the needs of the population. The population of Malaysia grew from 32.5 million to an estimated of 34.1 million between 2019 and 2024.[3]

The growth in demand for residential properties will lead to a higher number of residential properties being developed, thus creating demand for the construction industry in the country.

Availability of loans and stable interest rates can encourage construction activities and demand for residential properties

The growth of the construction industry depends on the availability of loans and the interest rates charged to companies to fund their working capital for construction works. The availability of loans and interest rates charged will also impact the population's ability to purchase residential properties. Meanwhile, the availability of loans and interest rates charged depend on factors such as liquidity in the market, financial institutions' internal lending policies, and the Malaysian Government and Bank Negara Malaysia's policies and guidelines.

Between 2019 and 2024, loans for construction activities grew at a CAGR of 18.2%. Loans for construction activities increased by 26.6% between 2023 and 2024. Meanwhile, the Bank Negara Malaysia has kept the Overnight Policy Rate (OPR) unchanged at 3.0% since 3 May 2023.[4]

This indicates that loans have been available in the market, and stable interest rates were charged for loans. As such, this would ease the ability for construction companies and property buyers to source for financing, which would in turn enable them to carry out construction works or purchase properties.

Various Malaysian Government projects, measures, initiatives and plans will contribute to boosting the growth of the construction industry and property development industry

The Malaysian Government has announced various projects, measures, initiatives and plans which will contribute to the growth of the construction industry and property development industry. These include:

(i) The ongoing development of large-scale construction projects within the country is expected to continue to drive demand for construction services and products. Among the ongoing and upcoming major development projects in Malaysia include the Pan-Borneo Highway, Central Spine Road, Sarawak-Sabah Link Road Phase 2 and Penang Light Rapid Transit (LRT);

(ii) **Budget 2023** – Under Budget 2023, the Malaysian Government had declared full stamp duty exemption for first homes valued up to RM500,000, effective until the end of 2025;

(iii) **Budget 2024 –** Under Budget 2024, the Malaysian Government has allocated funds for infrastructure and residential projects, such as:

  (a) RM10.0 billion allocation under the Housing Credit Guarantee Scheme, a scheme established to help individuals without a steady income to attain home ownership;
  (b) RM2.8 billion allocation for maintenance of federal roads and bridges;
  (c) RM2.4 billion to build, maintain and repair quarters for civil servants, teachers, hospitals, police, armed forces and firefighters; and
  (d) RM2.5 billion for the implementation of people's housing projects (including reviving abandoned projects, continuing the implementation of '*Program Perumahan Rakyat*' and '*Rumah Mesra Rakyat*', as well as providing aid for the renovation and construction of low-cost houses) in 2024.

(iv) **Budget 2025** – Under Budget 2025, the Malaysian Government has allocated funds for residential and infrastructure projects, such as:

  (a) RM900.0 million allocation for the implementation of 48 new '*Program Perumahan Rakyat*' projects and 14 new '*Rumah Mesra Rakyat*' projects;
  (b) RM12.8 billion Malaysian Government guarantees has been approved for over 57,000 first-time home buyers;
  (c) RM200.0 million for the maintenance of low-cost and medium-cost public housing;
  (d) Approximately RM100.0 million for upgrading 48 MADANI Public Parks;
  (e) RM84.0 million for upgrading of basic and social amenities in Kampung Baru Cina;

[4] Source: Bank Negara Malaysia

(f) Up to RM7,000 of individual income tax relief on housing loan interest payment to first home owners, for 3 consecutive years of assessments on sale and purchase agreements completed between 1 January 2025 and 31 December 2027;

(g) RM1.8 million allocation for the construction and repair of village roads such as in Kota Belud in Sabah, Pasir Puteh in Kelantan and Kuala Lipis in Pahang;

(h) RM2.8 billion allocation for maintenance of federal roads; and

(i) RM5.5 billion of Malaysia Road Records Information System (MARRIS) funds 2025 allocation for improvement of state roads.

(v) **'*Rumah Selangorku*'** – Introduced by the Selangor State Government, the '*Rumah Selangorku*' scheme aims to provide low-cost, low-medium and medium-cost housing for the people. In January 2014, the '*Pekeliling Dasar Rumah Selangorku Bil 1 Tahun 2013*' took effect and thereafter, all developments of affordable homes in Selangor have been included under the '*Rumah Selangorku*' scheme. The scheme benefits citizens with low-to middle incomes within the state of Selangor, offering homes priced between RM42,000 and RM250,000. Applicants are restricted to 1 purchase, and the scheme supports households with a maximum income of RM10,000, facilitating their first home purchases and fostering the development of affordable housing in Selangor;

(vi) **'*Residensi Wilayah*' (previously known as '*Rumah Mampu Milik Wilayah Persekutuan*' (RUMAWIP))** – Initiated by the Ministry of Federal Territories in 2019, the '*Residensi Wilayah*' scheme aims to offer affordable housing to the middle-income groups in Kuala Lumpur, Putrajaya and Labuan. It also serves to educate people about property ownership. The scheme plans to construct 80,000 houses over ten years (2019-2028), with a maximum price cap of RM300,000 per unit. Eligibility is open to applicants born, residing or working in the federal territories, with single applicants earning less than RM10,000 per month and married applicants earning a combined income below RM15,000. Each household can submit only 1 application for any project under the '*Residensi Wilayah*' initiative;

(vii) **Mesra Rakyat Housing programme** – The housing programme, initiated in 2002 to aid the lower income group in homeownership, has seen adjustments by the Malaysian Government. The monthly household income eligibility has been raised from RM3,000 to RM5,000, and the monthly instalment period extended from 16 to 25 years with a fixed rate of RM300. These changes are intended to benefit a broader segment of the population. Additionally, the Malaysian Government has allocated RM358 million in 2024 to construct 3,500 units under this programme; and

(viii) **Twelfth Malaysia Plan ("12MP")** – Several strategies will be undertaken to increase the supply of quality affordable housing for the population, especially to the low-income group. This includes improving access to affordable housing through the provision of financing facilities for first-time home buyers, managing housing construction costs by developing a cost-sharing mechanism between the Government of Malaysia and private developers, and building a total of 500,000 affordable houses at strategic locations.

The abovementioned projects, measures, initiatives and plans will not only drive demand for properties, but also lead to growth in construction works in Malaysia which are beneficial to companies such as LSH Capital Group. For example, homeowner incentives (such as the stamp duty exemption for first homes as well as affordable housing schemes (such as Residensi Wilayah and the Mesra Rakyat Housing programme) are expected to increase demand for properties. The increased demand for properties would benefit property developers such as LSH Capital Group, which has featured the '*Residensi Wilayah*' affordable housing units in its LSH Segar and Lake Side Homes residential development projects. This would also encourage property developers to develop and launch new property development projects, thereby increasing demand for construction and engineering works, construction-related services and solutions and construction products, all of which are principal activities of LSH Capital Group.

New technologies and trends will benefit the construction industry

The advent of new technologies brought about by the fourth industrial revolution (IR4.0) will drive change and new developments in the construction industry. The Construction Industry Development Board ("**CIDB**") is responsible for promoting various technologies within the construction industry, such as the Industrialised Building System ("**IBS**"), which involves the pre-fabrication or production of components in a factory, after which they are transported and installed at the construction site. The benefits of IBS include reduced use of workers on site, quicker installation process, better safety, reduced construction material waste, time-saving and cost-effectiveness. CIDB has an IBS Component Gallery which showcases the information, benefits and samples of IBS components.

Sustainability is also an on-going trend in the construction industry, whereby there has been a shift towards more sustainable and green practices in the industry. The 12MP mentions the implementation of green construction practices such as green building design; the use of sustainable, durable, biodegradable and recycled construction materials; application of various technologies including IBS and building information modeling; as well as adoption of sustainable certification and performance tools including the Sustainable Infrastructure Rating Tool, Green Building Index and GreenRE.

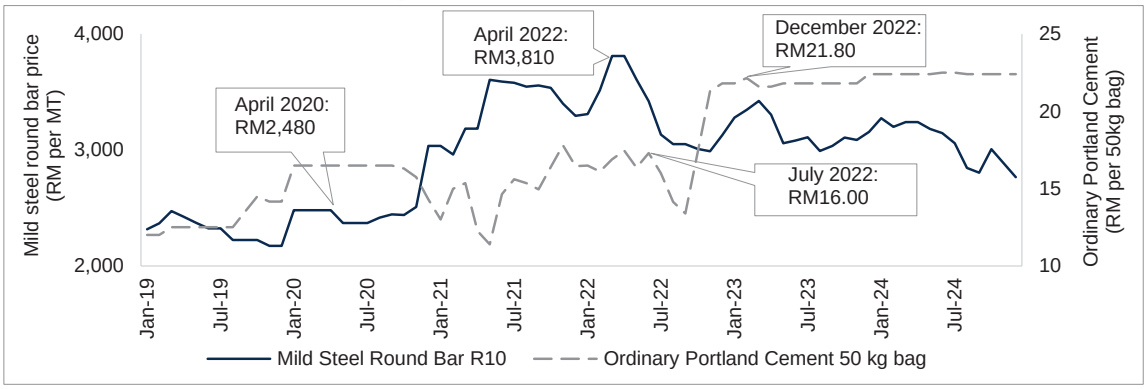
The adoption of these new technologies will improve the efficiency and productivity of the construction process, thus benefiting the construction industry.

SUPPLY CONDITIONS

Cost and supply of construction products

Construction products are critical components in the construction industry and property development industry. These construction products include building materials, lighting products, hardware products and tools and construction machinery and equipment. The cost of these products may be subject to global price fluctuations and supply disruptions. In 2022, the average price of building materials, particularly steel, increased due to the uncertainties caused by the Russia-Ukraine war. Meanwhile, the average price of cement also rose in end of 2022 due to rising coal prices (raw material for cement) and shipping costs.

Average prices of selected building materials (1)



Note:

(1) Prices in Selangor

Source: CIDB

Availability of human resources

The construction industry is labour-intensive and relies on both local and foreign workers to perform construction works. As such, the construction industry may be adversely impacted should there be a shortage of workers. The number of persons employed in the construction industry has remained between 1.2 and 1.3 million persons between 2019 and 2023. Further, any changes in labour and immigration policies would affect the ability of industry players to apply for or renew visas for foreign workers. For example, the Malaysian Government's intention to increase the minimum wage in Malaysia to RM2,000 by 2025 would also impact construction costs, thus impacting costs of property development. In 2024, the Malaysian Government introduced the Progressive Wage Policy pilot which has set the minimum wage at RM1,800.

COMPETITIVE OVERVIEW

The competitive landscape of the construction industry in Malaysia is fragmented, with various industry players competing. There were over 137,000 contractors registered with the CIDB as at 31 January 2025, of which about 10,000 were registered as G7 construction contractors with no tender limit[5], which is similar to LSH Capital Group.

We have identified the following industry players that meet the following criteria as competitors to LSH Capital Group (1)(2):

(i) The company, or its subsidiary(ies), is principally involved in the provision of main construction services for residential, commercial and/or infrastructure projects in Malaysia;

[5] Based on data extracted as at 31 January 2025

(ii) The company has a profit after tax ("**PAT**") of RM5.0 million and above for the latest audited financial year ended ("**FYE**");
(iii) The company has a revenue of RM200.0 million and above for the latest audited FYE;
(iv) The company, or its subsidiary(ies), holds a G7 registration grade from CIDB; and
(v) The company is listed on the construction sector of the ACE Market or Main Market of Bursa Securities.

Company name	Involved in businesses other than providing construction services [3]					Latest audited FYE	Revenue (RM'000)	Gross profit ("GP") (RM'000)	GP margin (%)	Profit after tax ("PAT") (RM'000)	PAT margin [4] (%)
	Building materials	Lighting and M&E products	Hardware products and tools	Machinery sale or rental	Property development						
YTL Corporation Berhad	✓	-	-	-	✓	30 June 2024	30,490,671	9,133,528	30.0	3,884,731	12.7
Gamuda Berhad	✓	-	-	-	✓	31 July 2024	13,346,712	*	*	943,016	7.1
IJM Corporation Berhad	✓	-	-	-	✓	31 March 2024	5,918,814	1,550,238	26.2	665,192	11.2
Sunway Construction Group Berhad	✓	-	-	✓	-	31 December 2023	2,671,225	434,182	16.3	145,847	5.5
Malaysian Resources Corporation Berhad	✓	-	-	-	✓	31 December 2023	2,537,490	330,542	13.0	101,086	4.0
Chin Hin Group Berhad	✓	-	-	-	✓	31 December 2023	2,057,210	188,422	9.2	162,702	7.9
Kerjaya Prospek Group Berhad	-	✓	-	-	✓	31 December 2023	1,472,781	197,663	13.4	131,696	8.9
Protasco Berhad	✓	-	-	✓	✓	31 December 2023	1,131,559	135,383	12.0	21,073	1.9
MGB Berhad	✓	-	-	-	✓	31 December 2023	971,828	148,560	15.3	50,462	5.2
Kimlun Corporation Berhad	✓	-	-	-	✓	31 December 2023	852,569	61,582	7.2	6,878	0.8
Kumpulan Kitacon Berhad	-	-	-	-	-	31 December 2023	780,875	93,952	12.0	36,369	4.7
AME Elite Consortium Berhad	✓	-	-	-	✓	31 March 2024	716,876	172,150	24.0	126,013	17.6
TRC Synergy Berhad	-	-	-	-	✓	31 December 2023	679,457	46,076	6.8	25,603	3.8
Inta Bina Group Berhad	-	-	-	-	-	31 December 2023	650,107	52,723	8.1	22,886	3.5
Pesona Metro Holdings Berhad	✓	-	-	-	-	31 December 2023	515,414	39,728	7.7	12,389	2.4
Binastra Corporation Berhad	-	-	-	-	-	31 January 2024	425,202	60,576	14.2	40,773	9.6
LSH Capital Group	✓	✓	✓	✓	✓	**30 September 2024**	**361,405**	**128,187**	**35.5**	**74,283**	**20.6**
Vestland Berhad	-	-	-	-	-	31 December 2023	349,242	51,327	14.7	27,765	8.0
Crescendo Corporation Berhad	✓	-	-	-	✓	31 January 2024	341,345	116,904	34.2	57,026	16.7
Gabungan AQRS Berhad	✓	-	-	-	✓	30 June 2024 [6]	426,280	63,052	14.8	18,500	0.4
GDB Holdings Berhad	-	-	-	-	-	31 December 2023	319,649	13,423	4.2	8,334	2.6
Gagasan Nadi Cergas Berhad	✓	-	-	-	✓	31 December 2023	318,349	33,821	10.6	5,582	1.8
Naim Holdings Berhad	✓	-	-	-	✓	31 December 2023	316,952	35,624	11.2	35,313	11.1
Mitrajaya Holdings Berhad	-	-	-	-	✓	31 December 2023	294,777	48,850	16.6	13,401	4.5
Azam Jaya Berhad	✓	-	-	-	✓	31 December 2023	280,766	77,578	27.6	25,983	9.3

Notes:
(1) Information in the table above is based on publicly available information as at 31 January 2025, and is not an exhaustive list.
(2) The table above has been sorted based on revenue, in descending order.

(3) Businesses may be performed by the company, its subsidiary(ies), associated company(ies) and/or joint venture company(ies).
(4) PAT margin was computed based on PAT and revenue.
(5) * Not available as Gamuda Berhad's GP is not published in its annual report. Instead, Gamuda Berhad publishes its profit from operations, which amounted to approximately RM945.88 million for its latest audited FYE 31 July 2024, representing a margin of approximately 7.1%.
(6) Gabungan AQRS Berhad's has changed its financial year end from 31 December 2023 to 30 June 2024. Accordingly, the current audited financial period covers a period of 18 months from 1 January 2023 to June 2024.

Source: PROVIDENCE analysis, various company websites, Companies Commission of Malaysia

The barriers of entry to the construction industry, particularly amongst industry players that hold a G7 registration grade from CIDB, include having adequate funding for the working capital requirements throughout the construction phase of the projects, as well as having an established track record and the requisite credit profile and financial position to secure financing, especially for large-scale construction projects. For the property development industry, the barriers of entry include having access to suitable land, adequate capital for land acquisition, as well as adequate funding for the working capital requirements throughout the development phase of the property development project.

MARKET SHARE

The market share for LSH Capital Group are as follows:

	Construction and engineering works		
	Market size [(1)] (RM billion)	LSH Capital Group's revenue [(2)] (RM million)	LSH Capital Group's market share [(3)] (%)
2022	121.9	99.0	0.08
2023	132.2	258.5	0.20

	Construction products		
	Market size [(1)] (RM billion)	LSH Capital Group's revenue [(2)] (RM million)	LSH Capital Group's market share [(3)] (%)
2022	76.6	56.7	0.07
2023	80.7	75.4	0.09

	Property development		
	Market size [(1)] (RM billion)	LSH Capital Group's revenue [(2)] (RM million)	LSH Capital Group's market share [(3)] (%)
2022	94.3	-	-
2023	100.9	[(4)]13.9	0.01

Notes:
(1) Based on calendar year.
(2) Based on LSH Capital's FYE 30 September 2022 and 2023.
(3) LSH Capital Group's revenue for the respective business segment during the respective FYE, divided by market size.
(4) LSH Capital only started recognising revenue from its property development segment following the completion of the acquisitions of Astana Setia Sdn Bhd and Lim Seong Hai Ventures Sdn Bhd on 17 April 2023.

Source: LSH Capital Group, Department of Statistics Malaysia and NAPIC

2 PROSPECTS AND OUTLOOK

As LSH Capital Group's primary focus is in the construction industry where it provides construction and engineering works, construction-related services and solutions and construction products, the Group stands to benefit from the positive outlook of the construction industry in Malaysia. The growing value of civil engineering and residential works completed in the country in the first three (3) quarters of 2024 compared to the first three (3) quarters of 2023 is also an indicator that the construction segments in which LSH Capital Group has built their track record are growing. This will bode well for LSH Capital Group, particularly in their efforts to grow their orderbook for their construction and engineering works, and construction-related services and solutions sub-segments.

Further, the Group's property development segment also stands to benefit from the growing property development industry in Malaysia. In particular, the residential property development industry segment, which is where LSH Capital Group operates, has been growing and is expected to continue growing in the future. Thus, this indicates potential demand for LSH Capital Group's existing and future property development projects.

8. RISK FACTORS

YOU SHOULD EVALUATE AND CAREFULLY CONSIDER THE FOLLOWING RISKS ALONG WITH OTHER INFORMATION IN THIS PROSPECTUS BEFORE INVESTING IN OUR COMPANY.

8.1 RISKS RELATING TO OUR BUSINESS AND OPERATIONS

8.1.1 Our business and financial performance are largely dependent on our ability to secure new projects to replenish our orderbook

We undertake construction works for various types of buildings and infrastructure, as well as engineering works. We also supply construction products that are required for our construction and engineering works, as well as the needs of the wider construction industry. In addition to our primary focus as a construction company, we are also involved in property development activities which allow our Group to leverage on our strengths and prowess in construction activities, whilst providing an additional revenue stream for our Group through the sales of property units.

For the FYEs 2022, 2023 and 2024, our Group's revenue was mainly contributed from our construction and engineering works as well as construction-related services and solutions sub-segments, which collectively accounted for approximately 65.82% (RM109.15 million), 75.02% (RM268.41 million) and 58.44% (RM211.22 million) of our Group's total revenue respectively, while the remaining revenue of our Group was contributed from our construction products sub-segment (i.e. FYE 2022: 34.18% (RM56.72 million); FYE 2023: 21.08% (RM75.42 million); and FYE 2024: 21.30% (RM76.97 million)) and property development segment (i.e. FYE 2022: nil; FYE 2023: 3.90% (RM13.93 million); and FYE 2024: 20.02% (RM72.35 million)).

As a construction company, the nature of our construction business is largely project-based. As such, our revenue, profit and operating cash flow in any given financial year may fluctuate depending on the number, value, progress and stage of completion of the projects we undertake. For information, the duration to complete a construction project typically range between three (3) to five (5) years depending on our clients' requirements and scope of works to be performed.

In this regard, our business and financial performance are largely dependent on our ability to continually secure new projects to replenish our orderbook. As it is common for construction and engineering work projects to be awarded based on tender exercises, we have to continue submitting competitive tenders and proposals for every contract which we wish to undertake. As at LPD, we have 16 ongoing construction and engineering work projects ranging from building construction to infrastructure construction and engineering works with a total outstanding orderbook of approximately RM1.52 billion, the details of which are set out in Section 6.2.1(i) of this Prospectus. Although we have an orderbook which will be recognised progressively over the next six (6) financial years, there is no assurance that we will be able to continue to secure new projects in the future. In the event we are unable to secure any new projects on a continuous basis, our orderbook will decline over time and consequently result in adverse effects on our financial performance in the future.

Our orderbook is also subject to variations in the scope of works which may occur during the construction period. Should there be any variation in the scope of work for the projects secured which result in reduction in the contract value, the total value of our orderbook and revenue to be generated from the project may reduce, which in turn may also adversely affect our financial performance. As such, there can be no assurance that our current orderbook can be continually maintained at a healthy level in the future.

8. RISK FACTORS *(Cont'd)*

8.1.2 We are exposed to credit and liquidity risks as a result of delays in collection, non-recoverability and/or settlement of trade receivables and/or retention sums through contra payment via payment-in-kind

We are exposed to delays in collection and/or non-recoverability of trade receivables and/or retention sums from our clients. At present, the credit terms granted to our clients ranges from 30 to 90 days from the date of our invoice or progress billings depending on the terms of the contract, whilst the retention sums are generally expected to be released by our clients in two (2) tranches where the first tranche will be released upon issuance of the CCC or CPC (as the case may be), while the second tranche will be released upon expiration of the contracted DLP and upon issuance of CMGD, depending on the terms of the contract.

For information, our Group's total trade receivables as at 30 September 2024 which exceeded the credit period (excluding retention sums and unbilled receivables) and remain outstanding as at LPD stood at approximately RM0.46 million, whilst our retention sums which remain unclaimed as at LPD stood at approximately RM21.76 million and are due for release between 12 to 18 months. We did not have bad debts written off during the Financial Years Under Review save for the FYE 2022 in which the amount is about RM1,000.

In addition, we may face circumstances where our clients are unable to settle amounts owing to us in cash, and instead request for such amounts to be settled through contra payment via payment-in-kind. In such circumstances, this may reduce our Group's cash flow available to fund our business operations. While it is common for contractors in the construction industry to enter into contra payment arrangements, our Group will only consider such arrangements when other conventional debt recovery methods have been exhausted or if the Group sees opportunities in ownership of the asset offered, beyond for contra payments. Notwithstanding this, we will also give consideration to the quality of the contra asset offered in lieu of cash before entering into and effecting any contra payment arrangement. This includes assessing the contra asset's marketability, potential for appreciation, ease of disposal, and/or financial impact if such debt is not settled at all. While our Group has not experienced this risk in the past, we have on one (1) occasion accepted a contra payment proposal, wherein ASSB had agreed with one of its clients on 15 April 2024 to accept three (3) residential apartment units and a three (3)-storey shop in exchange for the settlement of a total amount of RM5.09 million due to ASSB in relation to the progress claims and retention sums for two (2) projects which were completed prior to our Company's acquisition of ASSB on 17 April 2023 purely for expediency purpose. Further details of the contra payment are set out in Sections 11.8(i) and 13.5(ix) of this Prospectus, whilst details of the said properties used as contra payment are set out in items (7) to (10) in Annexure C.1 of this Prospectus.

Although our cash flow or liquidity positions have not been materially affected by the delays in collection and/or non-recoverability of trade receivables and/or retention sums and/or contra payment via payment-in-kind in the past, there is no assurance that we will not face potential cash flow and working capital constraints should there be any delay and/or non-collection of any trade receivables and/or retention sums and/or contra payment via payment-in-kind in the future. Should this occur, this may result in a material adverse impact on our financial condition, our ability to pay our subcontractors and/or suppliers, and/or the progress and completion of our projects.

8.1.3 Our success depends on our leadership team

The success of our Group is, to a large extent, dependent on the experience, industry knowledge and network, as well as skills of our leadership team which comprises our Directors and our Key Senior Management. All of them play vital roles in our daily business operations, overall strategic direction, as well as the development and implementation of our business strategies.

Our Executive Vice Chairman, DLKG, our Group Managing Director, Lim Pak Lian and our Managing Director of Machinery, Hardware and Tools Division, Lim Keng Hun, each has over

30 years of experience in the field of construction and property development industries, while our Executive Director, Lim Ding Shyong, who is the youngest Director in our Company, has almost 13 years of experience in the same industries. Our Executive Directors are further supported by our Non-Executive Chairman, Tan Sri KC Lim, who has over 40 years of experience in the same industries, as well as our Key Senior Management who possesses a broad spectrum of expertise including engineering, procurement, sales and marketing, corporate, legal, finance and accounting. Further details on the experience of our Directors and Key Senior Management are set out in Sections 4.2.2 and 4.4.2 of this Prospectus respectively.

Our success and future growth also depend on our ability to identify, hire, train and retain employees who are capable, skilled and qualified in performing their roles and responsibilities. As such, we recognise that if we are unable to find suitable and timely replacement for the departure of any of our Key Senior Management and other key employees in the future, our business, financial condition, results of operations and prospects may be adversely affected.

8.1.4 Our business and financial performance may be affected if there is any delay or cancellation of our projects

Our construction and engineering work projects as well as property development projects are required to be completed within the timeframe specified in the contracts awarded by our clients and SPAs entered into with the purchasers respectively. Although we closely monitor the progress and adhere to the project execution schedule for our projects, there remains a risk that we may not be able to complete our projects within the specified timeframe. Aside from potential cost overruns as detailed in Section 8.1.5 of this Prospectus, we may also be liable for LAD claims and/or penalties from our clients or purchasers as a result of any delay in the completion of our construction and engineering work projects or property development projects (as the case may be). Consequently, this may adversely affect our reputation, profitability and financial performance.

Delay in project completion may occur from time to time due to various unforeseen factors including delay in obtaining permits or approvals from regulatory authorities, delay caused by the subcontractors appointed by us in delivering their work, disputes with subcontractors, shortages of construction materials, equipment or labour, adverse weather conditions such as flood or haze, economic downturn, changes in government policies such as those relating to foreign labour, as well as legal proceedings affecting our property development projects. In the event we experience any unforeseen circumstances which may lead to a delay in the completion of our construction or engineering work project, we will seek an extension of time from our client. As an extension of time is still subject to the approval of our client, there is no assurance that we will not experience any claim for LAD and/or penalties as a result of delays in the completion of our construction or engineering work projects.

For information purpose, notwithstanding that our Group is presently involved in a legal proceeding involving the parcel of land owned by ASES for which the Lake Side Homes Project is to be constructed on and an interim stay order was granted by the High Court of Kuala Lumpur which halted the construction works of the said project from 17 April 2024 to 21 August 2024, as the construction works for the said project are still at a preliminary stage and we have not launched the said project for sales to the public, we have not experienced any delay in project completion resulting in LAD claims and/or penalties during the Financial Years Under Review as well as up to LPD. For further details on this legal proceeding, please refer to Section 13.6 of this Prospectus.

In addition, our business and financial performance may also be affected if our construction or engineering work projects are cancelled or terminated by our clients (including as a result of the termination of their own projects by the relevant project owners). For instance, main contractors whom we acquire subcontract works from may be bound by certain specific requirements and/or policies, such as Bumiputera participation requirements for certain projects in compliance with the Malaysian Government's Bumiputera policies, where applicable. Any non-compliance by the main contractor with such requirements and/or policies may lead to the suspension or revocation of such projects by the relevant project owners, which in turn may require us to suspend our works as subcontractor. In such event, there is no assurance that our clients will pay our outstanding progress claims in full for work done until the cancellation or termination of the said project, or return any outstanding retention sums in full. However, our Group has not experienced any cancellation or termination of our construction or engineering work projects during the Financial Years Under Review as well as up to LPD.

Notwithstanding the above, there is no assurance that we will not experience any delay in our ongoing and future construction, engineering works or property development projects resulting in LAD claims and/or penalties, or cancellation or termination of construction or engineering work projects in the future, which may materially and adversely impact our business and financial performance.

8.1.5 We face the risk of cost overruns for our construction and engineering work projects

In preparation for the submission of tenders or proposals, we will conduct a preliminary assessment on the terms given by the prospective client, the creditworthiness of the prospective client, feasibility of the project as well as the scope of work. We will also perform cost and budget estimations based on quotations from our suppliers and subcontractors, as well as our own cost estimations. However, our construction and engineering work projects' profitability and eventually our Group's financial performance is susceptible to any unforeseen cost increases which may arise after the tender or proposal submission until the completion of the construction or engineering work projects, which may take up to five (5) years to complete. Any unfavourable fluctuations in prices of construction materials, subcontractor costs and/or labour costs during this period may result in cost overruns which may adversely affect our construction and engineering work projects' profitability and financial performance if we are unable to pass any of these cost increases to our clients. In addition, any prolonged delay in project execution will not only increase the period for which we may be exposed to further price fluctuations, but also require us to extend the contract period with our labour workers, subcontractors and/or rental of construction machinery and equipment, which may result in further cost overruns and adversely affect our construction and engineering work projects' profitability and financial performance.

For the last three (3) FYEs 2022, 2023 and 2024, the cost of construction materials accounted for approximately 10.26%, 15.84% and 15.10% of our Group's total cost of sales respectively. During these FYEs, ready-mixed concrete and steel bars constitute one of the two (2) main construction materials purchased by our Group and they are subject to price fluctuations. The average unit purchase price of ready-mixed concrete increased by approximately 9.98% from the FYE 2022 to FYE 2023, and approximately 14.98% from the FYE 2023 to FYE 2024. On the other hand, the average unit purchase price of steel bar decreased by approximately 6.82% from the FYE 2022 to FYE 2023, but increased by approximately 9.78% from the FYE 2023 to FYE 2024. Although our Group has experienced price fluctuations in construction materials during these FYEs, such price fluctuations have not adversely affected our financial performance, as we have anticipated these price fluctuations and have priced in the risk when tendering for construction and engineering work projects.

Other than construction materials, our Group's total cost of sales are also made up of subcontractor costs and labour costs. For the last three (3) FYEs 2022, 2023 and 2024, subcontractor costs accounted for approximately 31.53%, 50.89% and 30.13% of our Group's total cost of sales respectively, while direct labour costs accounted for approximately 5.79%, 3.31% and 4.75% of our Group's total cost of sales respectively. As these costs are also significant components to our Group's total cost of sales, any increase in cost of subcontracted services and labour cost due to, among others, shortage of workers, will also adversely affect our financial performance.

While we have experience in estimating the project costs (including price fluctuations of construction materials) for the submission of tenders and proposals, there is no assurance that we will not face any unanticipated cost increase that are beyond our prediction or control which may adversely affect our profitability and financial performance.

8.1.6 Our actual sales value may be lower than the estimated GDVs of our property development projects

The GDVs of our Group's ongoing property development projects are estimated based on our market study including the average selling price of similar properties in the surrounding areas and other assumptions which may ultimately prove to be inaccurate. The actual sales value may be different due to changes over time which are subjected to, among others, factors affecting the demand and supply for such properties, ease of obtaining financing, economic growth rate of the country and interest rates.

As such, there is no assurance that the estimated GDVs will reflect the actual sales value achieved by our property development projects as the estimated GDVs are subject to the various assumptions as mentioned above as well as the timing of the launch of our property development projects. Any unfavourable change in prevailing conditions of the property market as well as market sentiment may result in our Group's property development projects achieving lower than anticipated selling prices and/or take-up rates, which will result in our Group not being able to realise our projected GDVs. This, in turn, may adversely affect our Group's business and financial performance.

8.1.7 We may not be able to renew or obtain licenses and permits required to carry out our business operations

Our business is subject to various laws, rules and regulations. In particular, we are required to obtain and hold a valid certificate of registration as contractor with the CIDB for our construction activities. The registration with the CIDB as a contractor is classified into seven (7) grades with each grade having a different tendering capacity. In this respect, a registered contractor is not permitted to tender for any construction project that exceeds the value of the construction works specified in the respective registration grade.

Our subsidiaries, LSH Lighting, LSHBB and ASSB, are registered with the CIDB as G7 contractors which allow us to tender and undertake construction projects with no limit to contract value. In order to retain our registration, we are required to comply with the restrictions and conditions imposed by the CIDB under the *Lembaga Pembangunan Industri Pembinaan Malaysia* Act 1994 (CIDB Act) and/or any other relevant government authorities. Should we fail to comply with such restrictions and conditions, our registration with the CIDB may be suspended or revoked. Furthermore, the certificate of registration issued by the CIDB are valid for a specified period of time and subject to periodic review and renewal by the CIDB. As such, there is also a risk of delay or refusal for the renewal of our certificates of registration upon its expiry.

In addition to the certificate of registration as a contractor with the CIDB, we are also required to obtain certain licences and permits to operate our construction products sub-segment and undertake property development activities. These licences and permits may also be subject to periodic reviews and renewals by the relevant authorities or agencies. Please refer to Annexure A of this Prospectus for details of the major licences, permits and approvals obtained by our Group which we are dependent on for our business operations as at LPD.

Furthermore, new laws, regulations or changes on the standards of compliance or conditions may be introduced by the CIDB or any other relevant authorities or agencies from time to time. In such event, there is no assurance that we will be able to adapt ourselves to such new or revised laws, regulations, standards or conditions with respect to our business operations and consequently, this may result in the delay of the completion of our projects which may have a material adverse effect on our business operations and financial performance and/or affect our profitability.

As at LPD, our Group's occupancy of an end lot three (3)-storey shophouse and a corner lot three (3)-storey shophouse as the retail store of Knight Auto and LSH Lighting respectively, both of which are located at Jalan Pahang, Kuala Lumpur, do not meet the requirement of having CCC under the Street, Drainage and Building Act 1974 and Uniform Build By-Laws 1984, further details of which are set out in Section 6.29 of this Prospectus. In addition, our Group had other past non-compliances, such as late renewal of some of our subsidiaries' business and advertisement licences, which have then been rectified. Although our Group has not experienced any penalties or enforcement action from the relevant authorities in respect of such non-compliances, there is no assurance that we will not be subject to any enforcement action, including fines and penalties from these authorities. There can also be no assurance that our certificates of registration and other licences and permits will not be suspended or revoked in the future. Any suspension, revocation or non-renewal of our certificates of registration or any of our major licences and permits may, in the future, have a material impact on our ability to continue our business operations which may materially and adversely affect our business activity, reputation and prospect.

8.1.8 We are exposed to the risk of defect liability claims from our clients and purchasers

Depending on the terms of the construction or engineering work project, we are liable for rectification of defects during the DLP, which typically ranges from 12 to 24 months from the issuance of the CPC. For our property development projects, we are also liable for rectification works during the DLP of 24 months upon handover of vacant possession to the purchasers.

During the DLP, we are obliged to repair, rectify and make good of any defects at our own cost. If there is a defect liability claim that is attributable to the works carried out by our subcontractor, the relevant subcontractor will perform the repair and rectification works and the cost of such works will be borne by such subcontractor.

However, there is no assurance that any claim towards such subcontractor or supplier for rectification works, damages and/or compensation that should rightfully be borne by them can be asserted, nor is there any certainty that we can successfully seek recourse from such subcontractor or supplier. Under such circumstance, we will ultimately be liable for the repair costs and damages which will result in an increase of our overall construction costs for the project, and if such defects are material, our business operations and financial performance will be adversely affected.

8. RISK FACTORS *(Cont'd)*

For the Financial Years Under Review as well as up to LPD, we have not experienced any material defect liability claim or any claim for compensation and retention sum asserted by our clients against us for our construction and engineering work projects that has materially affected our business operations and financial performance. As we have yet to complete any of our property development projects during the Financial Years Under Review as well as up to LPD, we have yet to undergo any DLP for our property development projects. Nevertheless, there can be no guarantee that we will not be subject to any material defect liability claims in the future which may have an adverse impact on our business operations and financial performance.

8.1.9 Our business is concentrated on a few major customers, some of which are related parties

Some of our major customers, including those which are related parties, had contributed substantially to our Group's revenue during the Financial Years Under Review as follows:

	% of total revenue of our Group			
Name	**FYE 2021**	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(%)	**(%)**	**(%)**	**(%)**
Related parties:				
ASSB[(1)]	41.17	34.89	21.54	N/A
Besteel Engtech Sdn Bhd[(2)]	6.73	53.90	58.30	41.58
LSHBB[(3)]	5.73	N/A	N/A	N/A
Lim Seong Hai Property Sdn Bhd[(4)]	*	*	2.38	*
Subtotal	**53.63**	**88.79**	**82.22**	**41.58**
Non-related parties:				
SLP Construction Sdn Bhd	18.48	1.60	*	11.07
Concrete Empire Holdings Sdn Bhd	7.09	*	*	*
Pertama Makmur Sdn Bhd	*	3.46	3.98	5.10
Ganti Juara Sdn Bhd	*	2.06	2.02	*
Euro Saga Sdn Bhd	*	*	*	4.61
Tekad Warisan (M) Sdn Bhd	*	*	*	4.44
Subtotal	**25.57**	**7.12**	**6.00**	**25.22**
Total % from top five (5) customers	**79.20**	**95.91**	**88.22**	**66.80**

Notes:

* *Denotes major customers which are not within the top five (5) for the relevant Financial Years Under Review.*

(1) *As our Company's acquisition of ASSB was only completed on 17 April 2023, ASSB was not yet a subsidiary of our Company during the stipulated FYE. For information, ASSB was previously owned by LSH Resources, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong and hence, was formerly a related party prior to becoming a subsidiary of our Company.*

(2) *Besteel Engtech Sdn Bhd is a related party as DLKG, who is our Executive Vice Chairman and major shareholder of our Company, is also a director and major shareholder of Besteel Engtech Sdn Bhd.*

(3) *As our Company's acquisition of LSHBB was only completed on 15 October 2021, LSHBB was not yet a subsidiary of our Company during the stipulated FYE. For information, LSHBB was previously owned by LSH Resources and hence, was formerly a related party prior to becoming a subsidiary of our Company.*

(4) *Lim Seong Hai Property Sdn Bhd ("**LSH Property**") is a related party due to the following:*

(a) *LSH Resources, which is a major shareholder of our Company, is also the holding company of LSH Property; and*

(b) *Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are major shareholders of LSH Property by virtue of their indirect interest in LSH Resources held through LSH Holdings whilst DLKG, Lim Pak Lian and Lim Keng Hun are directors of LSH Property.*

8. RISK FACTORS *(Cont'd)*

Moving forward, these major customers are expected to collectively contribute approximately 33.27% of our total outstanding orderbook as at LPD as follows:

Name	Project description	Expected completion date	% of outstanding orderbook as at LPD
			(%)
Besteel Engtech Sdn Bhd	Construction of bridge works at Nibong Tebal, Penang – foundation, substructure and superstructure works	May 2025	0.78
	Construction of bridge works at Nibong Tebal, Penang – earthworks, road pavement works, road furniture works, precast New Jersey barrier, galvanized iron railing and reinforced concrete works	July 2025	1.52
	Construction of army family homes at Gemas, Negeri Sembilan – supply of materials, labour, equipment and tools for construction and completion of reinforced concrete works	June 2025	0.43
	Construction of army family homes at Gemas, Negeri Sembilan – supply, delivery, installation, testing and commissioning of cold water and sanitary plumbing services	May 2026	0.82
	Construction of army family homes at Gemas, Negeri Sembilan – supply, delivery, installation, testing and commissioning of electrical and extra low voltage box	August 2025	2.06
	Construction of army family homes at Gemas, Negeri Sembilan – supply of materials, labour, equipment and tools for construction and completion of architectural works	March 2026	5.79
	Construction of army family homes at Gemas, Negeri Sembilan – supply of materials, labour, equipment and tools for construction and completion of infrastructure works	March 2026	1.59
		Subtotal	**12.99**
SLP Construction Sdn Bhd	Upgrading of road works at Tangkak, Johor – geotechnical, earthworks, structures, drainage and pavement works	May 2026	5.69
Pertama Makmur Sdn Bhd	Upgrading of flood retention and structure works at Pendang, Kedah – flood wall, bund, bridges, syphon, leaf gates and regulator works	July 2026	2.23
Ganti Juara Sdn Bhd	Construction of road works at Sembrong, Johor – geotechnical, earthworks, structures, drainage and pavement works	May 2025	0.46
Euro Saga Sdn Bhd	Construction of road works at Jerantut, Pahang – geotechnical, earthworks, structures, drainage and pavement works	July 2026	11.53
Tekad Warisan Sdn Bhd	Upgrading of road works at Kota Belud, Sabah – geotechnical, earthworks, structures, drainage and pavement works	April 2025	0.37
		Total	**33.27**

Notwithstanding that the standalone revenue contribution by SLP Construction Sdn Bhd and Besteel Engtech Sdn Bhd had, in some of the Financial Years Under Review, exceeded 10% of our Group's revenue for the said Financial Years Under Review, we are not materially dependent on any of these customers. This is due to the nature of our business which is mainly involved in the provision of construction and engineering works (including M&E works) as well as construction-related services and solutions on a project basis, of which the projects secured from any given client may contribute to a significant portion to our Group's revenue for any given financial year. As the implementation of our clients' projects can often be executed across several financial years and/or our clients may engage us for multiple construction and engineering work projects, revenue from these clients may contribute to a significant portion to our Group's revenue over several financial years. In this regard, our Group is exposed to customer concentration risk from time to time depending on the quantum of the projects secured and the tenure of contracts.

As such, our financial performance may be materially and adversely affected if we were to lose one (1) or more of our major customers (including any substantial reduction in the amount of products supplied and services provided to them) and/or are unable to replace them with new customers in a timely manner, encounter difficulty in collecting payments from these major customers, or if there is any substantial delay or termination of the projects undertaken with these major customers.

Although we have not encountered difficulty in securing new customers, there is no assurance that we are able to continue to secure contracts with new customers with equivalent or higher value to replace existing contracts that have been completed, deferred or terminated.

8.1.10 We are exposed to workplace hazards and potential workmen's compensation claims as well as loss and damage of our machinery and equipment

We are exposed to certain health and safety risks and our employees, workers as well as subcontractors (including their workers) are exposed to potential hazards such as bodily injuries and loss of life due to accidents at the project sites as well as contagious diseases. We are also exposed to risk of loss and physical damage to our machinery and equipment arising from theft, improper usage or fire.

Any injuries or fatal accidents at the project sites or general deterioration in the health and safety standards could put our employees, workers, subcontractors (including their workers) and/or the general public at risk, which may result in claims or legal proceedings initiated against us and/or may damage our reputation. We may also be subject to fines and penalties, investigation by the Department of Occupational Safety and Health, Malaysia ("**DOSH**") or any other relevant authorities or prohibition notices and/or stop-work orders issued by the relevant authorities which may result in suspension and/or delay in the completion of our projects.

Over the course of approximately 0.57 million, 1.34 million, 1.78 million and 1.12 million total annual aggregate man-hours worked for the construction of the LSH 33 Project and LSH Segar Project (being the main construction works carried out by our Group during the past four (4) years) in 2021, 2022, 2023 and 2024 respectively, there were no lost-time incidents that were recorded. In addition, we have also received a score of 87.29% and rating of four (4)-star out of a maximum of five (5) stars for our LSH Segar Project as assessed by the CIDB under the Safety and Health Assessment System in Construction ("**SHASSIC**") on 13 May 2024. For information, SHASSIC is an independent method used by the CIDB to assess and evaluate the safety and health performance of a contractor in construction works or projects.

During the Financial Years Under Review as well as up to LPD, there was also no material occurrence of accident arising from workplace hazards, workmen's compensation claims as well as loss and damage of our machinery and equipment, save for a damaged tower crane in FYE 2023 which we were compensated with RM267,000 by our insurance coverage for repair costs incurred.

Although we have put in place safety measures and procedures in performing our work, there is no assurance that our workers and subcontractors (including their workers) will ultimately adhere strictly to the safety measures and procedures that we have put in place, nor are we able to prevent accidents from occurring. In the event there are any claims by the workers, fines and penalties issued, investigation by DOSH or any other relevant authorities in relation to accidents at the project sites or prohibition notices and/or stop-work orders issued by the relevant authorities, our business operations and financial performance may be adversely affected.

8.1.11 There is no assurance that our insurance coverage would be adequate

Other than the risk of accidents at project sites as well as loss and physical damage to our machinery and equipment as mentioned in Section 8.1.10 of this Prospectus, we are also exposed to other risks such as pilferage, robbery and energy supply disruption at our physical retail stores, fire or flood as well as public liability.

As part of our operational practices for construction and engineering works, we have maintained certain insurance policies including but not limited to contractors' all risks insurance (which covers us against damages and losses incurred to our contract works or property, third-party liability in the event of accidental bodily injury and accidental loss of or damage to property belonging to a third-party), workmen's compensation insurance for each of our construction and engineering work projects based on contract requirements, as well as coverage for our machinery and equipment. For our retail operations, we maintain insurance policies for coverage against fire and burglary risk for each of our retail stores, as well as personal accident insurance for all despatch personnel and lighting products installer employed by our Group. We also have other insurance policies in place including money insurance policy, plate glass insurance policy, all risk insurance policy and public liabilities insurance policy, where necessary to meet the risks associated with our retail stores. However, we do not have insurance policies covering losses from certain types of events such as wars, riots, acts of terrorism and acts of God because they are either not economically insurable or uninsurable.

For the Financial Years Under Review as well as up to LPD, we have made two (2) minor insurance claims under our insurance policies and have been compensated with approximately RM11,000 for burglary and RM267,000 for repair cost of a damaged tower crane respectively. Whilst we have taken the necessary steps to ensure that our insurance coverage is adequate for our operations and assets, it may not be adequate to fully compensate for the loss that we may suffer in the future. If we suffer losses that exceed the coverage provided by the insurance policies, it may have an adverse impact on our business, financial condition and results of operations.

8.1.12 We may be involved in legal and other proceedings as well as subjected to negative publicity from time to time

We may from time to time be involved in disputes with various parties such as main contractors, subcontractors, professional consultants, clients, directors, employees and/or other parties involved in the construction and property development value chain. These disputes may lead to legal and/or other proceedings and may cause us to incur additional costs and potential delays in completing our construction and engineering work projects as well as property development projects. Such disputes, if they arise, may also occupy a significant amount of our management's time and attention. In addition, our Group may, from time to time, be required to deal with issues or disputes in connection with regulatory bodies over the course of our operations which may result in our Group being subject to legal or administrative proceedings and unfavourable orders, directives or decrees that may result in financial losses and delay the progress of our projects. Any negative publicity arising from such claims such as negative media reports against us, may also affect our reputation.

As at LPD, our Group is involved in a legal proceeding involving the parcel of land owned by ASES for which the Lake Side Homes Project is to be constructed on. If the final outcome of the legal proceeding is not in favour of ASES after all parties have exhausted all avenues for appeal, we may ultimately not be able to realise the full GDV of the Lake Side Homes Project based on the existing development order, which is estimated to be approximately RM1,153.96 million. For further details on this legal proceeding, please refer to Section 13.6 of this Prospectus.

There is no assurance that these disputes will be settled or settled on terms which are favourable or reasonable to our Group. If such disputes are not settled or are not settled on terms which are favourable or reasonable to our Group, the business, financial condition, results of operations and prospects of our Group may be adversely affected.

8.1.13 We are dependent on the services and quality of our subcontractors to perform certain works for our projects

We outsource some of our construction and engineering works to third-party subcontractors to perform certain specialised works such as building and structural works, infrastructure works, M&E works as well as architectural works. Subcontractor costs accounted for approximately 0.93% (RM0.47 million), 31.53% (RM31.00 million), 50.89% (RM129.40 million) and 30.13% (RM70.26 million) of our Group's total cost of sales for the last four (4) FYEs 2021, 2022, 2023 and 2024, respectively.

Once we receive the quotations from the subcontractors, we will review the proposed quotation and conduct a background check on the subcontractors. The appointment of the subcontractors will be based on evaluation conducted by our contracts department based on criteria such as quality of work, experience, past record on timely completion of work, responsiveness to instruction, efficiency, reliability, their resources including manpower, plant and materials, financial performance, past working experience with them (if any) as well as their QESH compliance.

We rely on our subcontractors to ensure that their works are completed in accordance with the specified timeline and quality required. In this regard, there is a risk that these third-party subcontractors may experience financial or other difficulties over the course of their operations, which may affect their ability to carry out or complete the works which we have subcontracted to them. In addition, there is a risk associated with the health and safety practices performed by our contractors and their workers which may either result in suspension of works or fines from the authorities. As mentioned in Section 8.1.4 of this Prospectus, any delay in completing our project will expose us to claim for LAD and/or penalties, which may in turn adversely affect our results of operations and financial performance. Furthermore, if our subcontractors' performance is not up to the expectations of our clients or purchasers, our reputation may also be adversely affected.

We have not experienced any delays in completing our construction and engineering work projects that have materially and adversely impacted our financial performance or received complaints from our clients relating to the work completed by our subcontractors for the Financial Years Under Review as well as up to LPD. As we have yet to complete any of our property development project during the same Financial Years Under Review as well as up to LPD, we have also not experienced any claim or complaint from purchasers relating to the work completed by our subcontractors for our property development projects. Nevertheless, there is no assurance that we will not experience any claims or complaints from our clients or purchasers relating to unsatisfactory, late or non-performance of our subcontractors in the future.

8.1.14 We are dependent on labour supply

The construction industry in Malaysia is labour intensive and requires both local and foreign workers to perform the relevant construction activities. As such, our construction activities are dependent on an adequate supply of labour, either by us or our subcontractors, to meet our project requirements.

Labour supply is subject to potential disruption or scarcity which may be caused by changes in regulations, conditions or policies set by the Malaysian Government. If there is shortage of workers, our projects may be affected as we may not be able to find suitable or timely replacement for labour. This may then cause our construction and engineering work projects as well as our property development projects to be delayed, which may then subject us to the risk of LAD claims from our clients and/or purchasers.

In particular, the timely completion of our construction and engineering work projects as well as our property development projects are subject to the availability of foreign workers in the construction industry. Although majority of the foreign workers may not be directly employed by us but by our subcontractors, shortages in the supply of foreign labour in the construction industry may impact our ability to complete our projects within the given timeframe. This could consequently subject us to the risk of LAD claims from our clients for our construction projects and purchasers for our property development projects.

8.2 RISKS RELATING TO OUR INDUSTRY

8.2.1 We are vulnerable to risks inherent in the construction and property development industries

We are involved in the construction of buildings and infrastructure as well as engineering works for both the private and public sectors. In addition, we are also involved in the supply of construction products that are complementary to our construction and engineering works as well as the needs of the wider construction industry. We are also involved in the property development activities. As such, our business is subject to risks inherent in the construction and property development industries which include, among others, the performance of property market in Malaysia including property overhang in the residential and commercial sectors, changes in Malaysian Government's initiatives and budget allocation for infrastructure development, changes in Malaysian Government's policies such as affordable housing schemes, changes in lending policies and practices by financial institutions as well as general economic conditions.

While we seek to minimise these risks through prudent management of our business, any unfavourable changes in conditions that govern or affect the construction and property development industries may adversely affect our business operations and financial performance.

8.2.2 We operate in a competitive environment

The construction industry in Malaysia is highly competitive and fragmented. It comprises various construction companies ranging from small independent proprietorships or partnerships to large public listed companies. Based on the IMR Report, there were over 137,000 contractors registered with the CIDB as at LPD, of which about 10,000 were registered as G7 contractor with no tender limit, which is similar to us.

We compete in a highly competitive industry. Despite the competitive strengths of our Group as set out in Section 6.7 of this Prospectus, we compete with our competitors in terms of range of products, services and solutions, pricing, availability of financial and manpower resources, technical expertise, quality of workmanship and timeliness of delivery, among others. Some of our competitors may have longer operating track record, more resources in terms of capital, machinery and equipment, as well as manpower and/or wider range of products and/or services to offer as compared to us. If we are unsuccessful in tendering new projects, or if there is intense price competition, our prospects and financial performance may be adversely affected.

For our property development segment, we also face competition from other property developers in respect of factors such as location, facilities and supporting infrastructure, services and pricing. Competition between property developers may result in increased costs for land acquisition, more competitive bidding for property projects via tenders, oversupply of new properties, lower selling prices as well as a slowdown in the approval process for new property development projects by the relevant authorities. Therefore, stiff competition with other property developers may also adversely affect our business operations and financial performance.

Although we strive to remain competitive in the construction and property development industries, there can be no assurance that we will be able to compete effectively with other players in these industries in the future.

8.2.3 We are subject to risks related to political, social, economic and regulatory conditions as well as the outbreak of diseases in Malaysia

Our operations are solely in Malaysia. As such, any adverse developments or uncertainties in the political, social, economic and regulatory conditions in Malaysia such as changes in political leadership, risks of war or civil unrest, changes in import tariffs and related duties as well as regulatory structures, could adversely affect our business operations and financial performance. Similarly, any regional or global economic downturn would also affect overall business and consumer confidence, sentiments as well as investments, which will subsequently affect the demand for our products and services.

Our business is also susceptible to the risks of any outbreak of diseases that could result in localised or global epidemics or pandemics causing interruptions in our business operations while adversely affecting our financial performance. Although we experienced slower payments from our customers in the FYE 2021 due to cashflow constraints experienced during the movement control order (MCO) period implemented by the Malaysian Government, our financial performance and cash flow position were not materially affected by the COVID-19 pandemic. Nevertheless, there can be no assurance that any other outbreak of diseases in the future which are beyond our control will not materially affect our business and financial performance.

8.3 RISKS RELATING TO INVESTMENT IN OUR SHARES AND OUR TRANSFER OF LISTING

8.3.1 No prior established market for our Shares and there is no certainty for an active liquid market to be established for our Shares after the Transfer of Listing

The trading of our Shares on the LEAP Market is restricted to sophisticated investors as specified under Part I of Schedules 6 and 7 of the CMSA. Upon completion of the Transfer of Listing, our Shares will be traded on the ACE Market which is accessible by a significantly wider pool of investors. However, this does not guarantee that an active market for our Shares will develop after completion of the Transfer of Listing, or if developed, that such market can be sustained.

Furthermore, as we are seeking a transfer of listing to the ACE Market which is an alternative market designed primarily for emerging corporations that may carry higher investment risk when compared with larger or more established corporations listed on the Main Market of Bursa Securities, there is also no assurance for any of the following to be achieved after completion of the Transfer of Listing:

(i) a liquid market being developed for our Shares; or

(ii) ability for our shareholders to sell our Shares at prices which they desire or at all.

8.3.2 The trading price and trading volume of our Shares may be volatile following the Transfer of Listing as a result of market vagaries

The performance of our Shares on the ACE Market is very much dependent on external factors such as the performance of regional and global stock exchanges and the inflow or outflow of foreign funds. Sentiment is also largely driven by internal factors such as economic and political conditions of the country as well as the growth potential of the various sectors of the economy. These factors invariably contribute to the volatility of trading volume on Bursa Securities, thus adding risks to the market price of our Shares once they are traded on the ACE Market.

In addition, the market price of our Shares may fluctuate significantly and rapidly in response to, among others, the following factors:

(i) general operational and business risks of our Group;

(ii) variations in our financial results and operations;

(iii) success or failure of our Key Senior Management in implementing our business and growth strategies;

(iv) additions or departures of our Key Senior Management;

(v) changes in securities analysts' recommendations, perceptions or estimates of our financial performance;

(vi) changes in market valuations of listed shares in general or shares of companies comparable to ours;

(vii) changes in conditions affecting the industry, the general economic conditions or stock market sentiments or other related events or factors;

(viii) fluctuation in stock market prices and volume;

(ix) involvement in claims, litigation, arbitration or other form of dispute resolution; and/or

(x) changes in government policy, legislation or regulation.

Furthermore, the price fluctuation of our Shares may be exacerbated as it tends to be more volatile when trading volume is low. Accordingly, there is no assurance that the market price of our Shares will not be subject to volatility or trade at prices below the Offering Price after completion of the Public Offering and Transfer of Listing. Should our Shares trade at prices below the Offering Price after completion of the Transfer of Listing, successful applicants for the Offering Shares under the Public Offering will experience an immediate unrealised loss to the value of the Shares subscribed by them.

8.3.3 We may not be able to pay or may pay lower dividends to our shareholders

Notwithstanding that our Company has established a dividend policy with a target dividend payout ratio of 30% of our annual audited consolidated profit attributable to the owners of our Company, the payment of dividends is not guaranteed, and our Board may decide, in its sole and absolute discretion, at any time and for any reason, not to pay dividends at all or at a lower payout ratio if it is not in the best interest of our Company. The absence of dividends or any dividend payment which is at a level lower than that anticipated by investors may negatively affect the market price of our Shares.

It should be highlighted that we are a holding company. Accordingly, our Company's income, and therefore our ability to pay dividends, is dependent on the dividends and other distributions that we receive from our subsidiaries. Some of our subsidiaries have entered or may in the future enter into facility agreements which contain negative and financial covenants and hence, may affect our ability to pay dividends.

Further, our payment of dividends may adversely affect our ability to fund unexpected capital expenditures or future projects as well as our ability to make interest and principal repayments on any outstanding borrowing that we may have at the time. As a result, we may be required to borrow additional funds or raise capital by issuing equity securities, which may not be on favourable terms or feasible to undertake at all. Further, if we incur new borrowings in future, we may be subject to additional covenants restricting our ability to pay dividends.

For further details on our dividend policy, please refer to Section 11.12 of this Prospectus.

8.3.4 There may be a delay in or termination of our Transfer of Listing

Our Transfer of Listing could be delayed or terminated due to the possible occurrences of certain events, which include any of the following:

(i) our Sole Underwriter exercises its rights under the Retail Underwriting Agreement to discharge itself from its obligations thereunder;

(ii) we are unable to meet the public shareholding spread requirement under Rule 3.10(1) of the ACE LR of having at least 25% of the total number of Shares for which our ACE Listing is sought to be held by a minimum of 200 public shareholders, each holding not less than 100 Shares at the point of our ACE Listing; and

(iii) revocation of the approvals from the relevant authorities for our Transfer of Listing for any reason whatsoever.

If any of these events occur, investors will not receive any of the Offering Shares and we will return in full without interest, all monies paid in respect of the Applications within 14 days, failing which our Company and the Selling Shareholders (including the officers of our Company and the Selling Shareholders, where relevant) shall then be jointly and severally liable to return such monies with interest at the rate of 10% per annum or such other rate as may be specified by the SC from the expiration of that 14-day period.

If our Transfer of Listing is aborted and/or terminated subsequent to the issuance and allotment of the Offering Shares, a return of monies to the investors could only be achieved by way of cancellation of share capital as provided under the Act and its related rules. Such cancellation can be implemented by the sanction of our shareholders by way of special resolution in a general meeting and supported by either:

(a) consent of our creditors (unless dispensation for such consent has been granted by the High Court of Malaya) and confirmation by the High Court of Malaya, in which case there can be no assurance that such monies can be returned within a short period of time or at all under such circumstances; or

(b) a solvency statement from our Directors.

Nonetheless, if the Transfer of Listing is not implemented, our Company will remain listed on the LEAP Market and shall remain accessible by sophisticated investors specified under Part I of Schedules 6 and 7 of the CMSA.

8.3.5 The interests of our Promoters who control our Company may not be aligned with the interests of our other shareholders

Upon completion of the Transfer of Listing, our Promoters will collectively hold approximately 71.77% of our enlarged number of issued Shares. As a result, they will be able to effectively control the business direction and management of our Group, including the election of Directors, the timing and payment of dividends as well as having substantial voting control and as such, will likely influence the outcome of certain matters requiring the vote of our shareholders, unless they and persons connected with them are required to abstain from voting either by law, or the relevant guidelines or regulations. Therefore, there can be no assurance that the interests of our Promoters will always be aligned with those of our other shareholders.

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9. RELATED PARTY TRANSACTIONS

9.1 OUR GROUP'S RELATED PARTY TRANSACTIONS

9.1.1 Material related party transactions

Save as disclosed below, there are no other material related party transactions entered or to be entered into by our Group with related parties for the Financial Years under Review and for the period from 1 October 2024 up to LPD:

(i) Our Company and the Promoters for the acquisition of our Company's subsidiaries

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
1.	Our Company (*purchaser*) and LSH Resources *(vendor)*	• LSH Resources is a major shareholder of our Company • LSH Holdings through its interest in LSH Resources, is also a major shareholder of our Company • DLKG, Lim Pak Lian and Lim Keng Hun are directors and major shareholders of our Company and LSH Resources (through their interests in LSH Holdings) • Tan Sri KC Lim is a director and major shareholder of our Company, as well as a major shareholder of LSH Resources (through his interest in LSH Holdings) • Lim Ding Shyong*, a director of LSH Resources, is the son of Tan Sri KC Lim	(i) Acquisition by our Company of 100% equity interest in LSH Lighting from LSH Resources in accordance with the conditional share sale agreement dated 8 December 2020 entered into between our Company and LSH Resources. The said acquisition was completed on 6 January 2021 and all such consideration Shares were issued and allotted to LSH Resources at an issue price of RM0.10 each. This transaction was one-off.	22,133 (51.06% of our Group's NA)	-	-	-	-
			(ii) Acquisition by our Company of 100% equity interest in LSHBB from LSH Resources in accordance with the conditional share sale agreement dated 8 October 2021 entered into between our Company and LSH Resources ("**LSHBB Acquisition**"). The LSHBB Acquisition was completed on 15 October 2021 and settled in cash. This transaction was one-off.	-	3,500 (4.40% of our Group's NA)	-	-	-

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
2.	Our Company *(purchaser)* and Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun *(collectively, vendors)*	Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are directors and major shareholders of our Company	Acquisition by our Company of 100% equity interest in Knight Auto from Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun in accordance with the conditional share sale agreement dated 8 December 2020 entered into between our Company and the said vendors. The said acquisition was completed on 6 January 2021 and all such consideration Shares were issued and allotted to the said vendors at an issue price of RM0.10 each. This transaction was one-off.	9,785 (22.57% of our Group's NA)	-	-	-	-
3.	Our Company *(purchaser)* and LSH Resources, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong *(collectively, vendors)*	• LSH Resources is a major shareholder of our Company • LSH Holdings through its interest in LSH Resources, is also a major shareholder of our Company • DLKG, Lim Pak Lian and Lim Keng Hun are directors and major shareholders of our Company and LSH Resources (through their interests in LSH Holdings) • Lim Ding Shyong* is a director of LSH Resources. He is also the son of Tan Sri KC Lim who is a director and major shareholder of our Company and a major shareholder of LSH Resources (through his interest in LSH Holdings)	Acquisition by our Company of 100% equity interest in ASSB from LSH Resources, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong in accordance with the conditional share sale agreement dated 28 March 2022 entered into between our Company and the said vendors ("**ASSB Acquisition**")[(1)]. The ASSB Acquisition was completed on 17 April 2023 and all such consideration Shares were issued and allotted to the said vendors and/or its nominee at an issue price of RM0.45 each. This transaction was one-off.	-	-	95,000 (22.57% of our Group's NA)	-	-

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
4.	Our Company *(purchaser)* and Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong *(collectively, vendors),* directors of LSH Ventures, LSH Ventures and LSH Resources	• LSH Resources is a major shareholder of our Company • LSH Holdings through its interest in LSH Resources, is also a major shareholder of our Company • DLKG, Lim Pak Lian and Lim Keng Hun are directors and major shareholders of our Company and LSH Resources (through their interests in LSH Holdings). They are also directors of LSH Ventures • Lim Ding Shyong* is a director of LSH Resources and LSH Ventures. He is also the son of Tan Sri KC Lim who is a director and major shareholder of our Company and a major shareholder of LSH Resources (through his interest in LSH Holdings)	(i) Acquisition by our Company of 100% equity interest in LSH Ventures from Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong in accordance with the conditional amended and restated debt settlement cum share subscription agreement dated 20 February 2023 entered into between our Company, the said vendors, the directors of LSH Ventures, LSH Ventures and LSH Resources ("**Amended and Restated DSCSSA**") ("**LSH Ventures Acquisition**")[1]. The LSH Ventures Acquisition was completed on 17 April 2023 and all such consideration Shares were issued and allotted directly to LSH Resources at an issue price of RM0.45 each.	-	-	25,699 (6.11% of our Group's NA)	-	-
			(ii) Settlement by our Company of the advances owed by LSH Ventures to its directors, namely DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong pursuant to the Amended and Restated DSCSSA ("**Debt Settlement'**")[1]. The Debt Settlement was completed on 17 April 2023 and all such consideration Shares were issued and allotted directly to LSH Resources at an issue price of RM0.45 each.	-	-	36,943 (8.78% of our Group's NA)	-	-
			These transactions were one-offs[2].					

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Notes:

***** *Lim Ding Shyong was not a director of our Company when such transactions were entered. He was appointed as the Executive Director of our Company on 6 March 2024.*

(1) *These transactions were approved by the shareholders of our Company at the EGM held on 28 March 2023.*

(2) *For information, our Company had on 28 March 2022 entered into the following:*

(i) *a conditional assets exchange agreement ("**AEA**") with LSH Ventures to rationalise the exchange of all the properties and land of LSH Ventures for a total exchange consideration of RM8.14 million which was to be satisfied via the issuance of 18,088,888 new Shares at an issue price of RM0.45 each ("**Proposed Assets Exchange**"); and*

(ii) *a conditional debt settlement cum share subscription agreement ("**Initial DSCSSA**") with LSH Ventures, the directors of LSH Ventures (namely DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) and LSH Resources for the following:*

(a) *proposed settlement by our Company of the amount owing by LSH Ventures to the directors of LSH Ventures amounting to approximately RM54.50 million via the issuance of 121,114,916 new Shares at an issue price of RM0.45 each ("**Proposed Settlement**"); and*

(b) *proposed subscription of 9,900,000 new ordinary shares in LSH Ventures by our Company, representing 99.00% of the enlarged equity interest in LSH Ventures by way of partial capitalisation of the amount owing by LSH Ventures to our Company amounting to approximately RM15.76 million arising from the Proposed Settlement.*

The parties to the AEA had on 29 November 2022 aborted the AEA for the Proposed Assets Exchange, and the parties to the Initial DSCSSA had on 20 February 2023 entered into the Amended and Restated DSCSSA to supersede the provisions, terms and conditions of the Initial DSCSSA.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(ii) Our Group and the respective subsidiaries (prior to their inclusion within our Group)

(a) Our Group and LSHBB (prior to the LSHBB Acquisition)

Transacting parties	Nature of transaction		Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Our Group and LSHBB (prior to the LSHBB Acquisition)	(i)	Consideration sum received by LSH Lighting *(subcontractor)* from LSHBB *(employer)* for the delivery, installation, testing and commissioning of electrical, extra low voltage, air conditioning and mechanical ventilation services for the LSH 33 Project[(1)].	284 (0.42% of our Group's revenue)	171 (0.10% of our Group's revenue)	N/A	N/A	N/A
	(ii)	Sale of building materials by LSH Lighting *(seller)* to LSHBB *(buyer)* on an ad-hoc basis[(2)].	1,580 (2.34% of our Group's revenue)	5 (<0.01% of our Group's revenue)	N/A	N/A	N/A
	(iii)	Sale of hardware and machinery by Knight Auto *(seller)* to LSHBB *(buyer)* on an ad-hoc basis.	13 (0.02% of our Group's revenue)	3 (<0.01% of our Group's revenue)	N/A	N/A	N/A
	(iv)	Rental of crane, other construction machinery and scaffolding from Knight Auto *(lessor)* by LSHBB (*lessee)* on an ad-hoc basis[(3)].	1,985 (2.94% of our Group's revenue)	-	N/A	N/A	N/A
	(v)	Reimbursement by Knight Auto to LSHBB for the purchase of scaffolding by LSHBB on behalf of Knight Auto *(buyer)*. This transaction was one-off.	132 (0.30% of our Group's NA)	-	N/A	N/A	N/A

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Notes:

(1) *LSH Lighting has been granted subcontract work from LSHBB for the delivery, installation, testing and commissioning of electrical, extra low voltage, air conditioning and mechanical ventilation services for the LSH 33 Project at an agreed sum of approximately RM17.74 million vide a letter of award dated 5 September 2020 which was subsequently varied vide variation orders dated 20 January 2021, 2 June 2021, 5 October 2021, 3 March 2022 and 11 August 2023. The subcontract work has been completed following the issuance of CPC on 3 June 2024 and CCC on 12 September 2024 for the LSH 33 Project.*

(2) *Prior to 1 October 2020, the sale of building materials by LSH Lighting to LSHBB was transacted on an ad-hoc basis via purchase orders. LSH Lighting has then entered into a building materials trade agreement dated 1 October 2020 with LSHBB for the supply and delivery of building materials such as ready-mixed concrete, reinforcement bar, fabric reinforcement mesh, plywood and timber to LSHBB for a term of one (1) year commencing from 1 October 2020 to 30 September 2021 at selling price that is derived from cost price plus 5% margin. Any such sale is payable by LSHBB within 30 days from the date of invoice issued by LSH Lighting for the building materials supplied and delivered in accordance with the specifications of the building materials enclosed to the delivery order.*

(3) *Prior to 1 October 2020, the rental of cranes and other construction machinery and equipment by Knight Auto to LSHBB was transacted on an ad-hoc basis via purchase orders. Knight Auto has then entered into an agreement dated 1 October 2020 with LSHBB for the rental of cranes and other construction machinery and equipment by LSHBB for a term of one (1) year commencing from 1 October 2020 to 30 September 2021 at an agreed-upon monthly and daily rate for each type of cranes and other construction machinery and equipment as specified in the said agreement. The rental shall be payable by LSHBB within 30 days from the date of invoice issued by Knight Auto.*

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9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(b) Our Group and ASSB (prior to the ASSB Acquisition)

Transacting parties	Nature of transaction	Transaction value				
		FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD
		(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Our Group and ASSB (prior to the ASSB Acquisition)	(i) Consideration sum received by our Group *(supplier)* from ASSB *(client)* for the following for the LSH 33 Project[1]: (a) supply and delivery of ready-mixed concrete, reinforcement bar, fabric reinforcement mesh, plywood and timber by LSH Lighting to ASSB; and (b) rental of scaffolding, steel mould and aluminium framework from Knight Auto by ASSB.	9,815 (14.56% of our Group's revenue)	18,869 (11.38% of our Group's revenue)	27,877 (7.79% of our Group's revenue)	N/A	N/A
	(ii) Consideration sum received by LSHBB *(subcontractor)* from ASSB *(employer)* for the design and build of the LSH Segar Project[2].	N/A	15,408 (9.29% of our Group's revenue)	19,217 (5.37% of our Group's revenue)	N/A	N/A
	(iii) Profit-sharing whereby LSHBB *(service provider)* has been engaged by ASSB *(client)* to provide consultancy services for the LSH Segar Project[3].	N/A	3,204 (1.93% of our Group's revenue)	23 (<0.01% of our Group's revenue)	N/A	N/A
	(iv) Consideration sum paid by LSHBB *(employer)* to ASSB *(subcontractor)* for the construction and completion of reinforced concrete works, floor hardener and waterproofing works for the LSH 33 Project[4].	N/A	19,913 (20.25% of our Group's cost of sales)	46,788 (18.40% of our Group's cost of sales)	N/A	N/A

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Transacting parties	Nature of transaction	Transaction value				
		FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**	**From 1 October 2024 up to LPD**
		(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**	**(RM'000)**
	(v) Sale of building materials by LSH Lighting *(seller)* to ASSB *(buyer)* on an ad-hoc basis[5].	11,889 (17.64% of our Group's revenue)	18,693 (11.27% of our Group's revenue)	23,791 (6.65% of our Group's revenue)	N/A	N/A
	(vi) Sale of hardware and machinery by Knight Auto *(seller)* to ASSB *(buyer)* on an ad-hoc basis.	42 (0.06% of our Group's revenue)	17 (0.01% of our Group's revenue)	11 (<0.01% of our Group's revenue)	N/A	N/A
	(vii) Rental of cranes and other construction machinery from Knight Auto *(lessor)* by ASSB *(lessee)* on an ad-hoc basis[6].	6,006 (8.91% of our Group's revenue)	5,859 (3.53% of our Group's revenue)	1,058 (0.30% of our Group's revenue)	N/A	N/A
	(viii) Rental of scaffolding and steel mould from Knight Auto *(lessor)* by ASSB *(lessee)*[7].	-	1,213 (0.73% of our Group's revenue)	4,307 (1.20% of our Group's revenue)	N/A	N/A
	(ix) Acquisition of cranes and other construction machinery by Knight Auto *(purchaser)* from ASSB *(vendor)*. This transaction was one-off.	2,209 (5.10% of our Group's NA)	797 (1.00% of our Group's NA)	1,371 (0.33% of our Group's NA)	N/A	N/A
	(x) Secondment of staff by ASSB *(provider)* to support the operations of LSH Lighting *(client)* on an ad-hoc basis. This has ceased since August 2021. This transaction was one-off.	18 (0.17% of our Group's PBT)	-	-	N/A	N/A

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Notes:

(1) *ASSB has granted the following letters of award to our Group for the LSH 33 Project:*

(a) *supply and delivery of ready-mixed concrete, reinforcement bar, fabric reinforcement mesh, plywood and timber by LSH Lighting at an agreed sum of approximately RM51.20 million vide a letter of award dated 15 October 2020; and*

(b) *rental of scaffolding, steel mould and aluminium framework from Knight Auto at an agreed sum of approximately RM4.98 million vide a letter of award dated 26 June 2022.*

The LSH 33 Project has been completed following the issuance of CPC on 3 June 2024 and CCC on 12 September 2024.

For information, the value of construction products provided by our Group to ASSB for the LSH 33 Project has exceeded the agreed sums stated in the letters of award. In this regard, the additional construction products required from our Group for the LSH 33 Project amounting to approximately RM0.38 million were transacted on an ad-hoc basis via purchase orders as per industry practice.

(2) *LSHBB has been appointed by ASSB as the main contractor for the LSH Segar Project. As the main contractor, LSHBB is responsible for the design and build for the LSH Segar Project, overseeing both the project's design phase and construction phase to ensure delivery according to the specifications at an agreed contract sum of approximately RM260.57 million vide a letter of award dated 7 May 2021. The construction works for the LSH Segar Project commenced in October 2021 and is targeted to complete by third quarter of 2026.*

(3) *LSHBB has entered into a BEST Collaboration Framework agreement dated 13 April 2022 with ASSB to provide value-engineering services and solutions for the LSH Segar Project. The construction works for the LSH Segar Project commenced in October 2021 and the full completion of the overall works for this project is targeted to be completed by the third quarter of 2026. The service fee payable by ASSB to LSHBB is on a profit-sharing basis (i.e. based on 75% of the remaining gross profit of the said entire project (i.e. after deducting all the relevant operating and administrative expenses attributable to the said project)), and such profit is to be recognised and payable to LSHBB on a quarterly basis commencing from the first quarter when ASSB recognises progress billings for the said project, until full completion of the overall works for the said project.*

(4) *LSHBB has granted subcontract work to ASSB for the construction and completion of reinforced concrete works, floor hardener and waterproofing works for the LSH 33 Project at an agreed sum of approximately RM102.48 million vide a letter of award dated 1 September 2020 which was subsequently varied vide variation orders dated 18 April 2023 and 7 August 2023. The contract work was completed following the issuance of CPC on 3 June 2024 and CCC on 12 September 2024 for the LSH 33 Project.*

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(5) *Prior to 1 November 2021, the sale of building materials by LSH Lighting to ASSB was transacted on an ad-hoc basis via purchase orders. LSH Lighting has then entered into a building materials trade agreement dated 1 November 2021 with ASSB for the supply and delivery of building materials such as ready-mixed concrete, reinforcement bar, fabric reinforcement mesh, plywood and timber to ASSB for a term of one (1) year commencing from 1 November 2021 to 31 October 2022 at selling price that is derived from cost price plus 10% margin. Any such sale is payable by ASSB within 90 days from the date of invoice issued by LSH Lighting for the building materials supplied and delivered in accordance with the specifications of the building materials enclosed to the delivery order.*

Prior to the ASSB Acquisition, the parties have also entered into two (2) new building materials trade agreements dated 1 November 2022 and 1 November 2023 for two (2) extended terms of one (1) year each till 31 October 2024 at the same terms and conditions.

(6) *Prior to 1 November 2021, the rental of cranes and other construction machinery from Knight Auto by ASSB was transacted on an ad-hoc basis via purchase orders. Knight Auto has then entered into an agreement dated 1 November 2021 with ASSB for the rental of cranes and other construction machinery by ASSB for a term of one (1) year commencing from 1 November 2021 to 31 October 2022 at an agreed-upon monthly and daily rate for each type of cranes and other construction machinery as specified in the said agreement. The rental shall be payable by ASSB within 90 days from the date of invoice issued by Knight Auto. The agreement has been renewed by parties for two (2) successive terms by way of renewal letters dated 1 November 2022 and 1 November 2023 (which has expired on 31 October 2024) at the same terms and conditions, save for the revised rental rate for each type of cranes and other construction machinery..*

(7) *Knight Auto has entered into an agreement dated 1 September 2022 with ASSB for the rental of scaffolding and steel mould for the construction of Wisma Knight Auto at Jalan Pahang, Setapak that is presently used as one of Knight Auto's retail stores. The term of the agreement commences from the date of the first delivery order placed by ASSB and expires on the date on which all equipment is returned. The rental shall be payable by ASSB within 90 days from the date of invoice issued by Knight Auto.*

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9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(c) Our Group and LSH Ventures (prior to the LSH Ventures Acquisition)

Transacting parties	Nature of transaction	Transaction value				
		FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD
		(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
LSH Lighting and Knight Auto *(respectively, the tenant)* and LSH Ventures *(landlord)* (prior to the LSH Ventures Acquisition)	Rental paid for the tenancy of the following[1]: (i) a corner lot three (3)-storey corner shophouse at No. 1, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan by LSH Lighting vide a tenancy agreement. This property is being used as part of LSH Lighting's retail store; (ii) an intermediate two (2)-storey shophouse at No. 3A, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan by LSH Lighting vide a tenancy agreement. This property is being used as LSH Lighting's retail store; and (iii) an end lot three (3)-storey shophouse at No. 349, 349A & 349B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur by Knight Auto vide a tenancy agreement. The property is being used as Knight Auto's retail store.	228 (2.10% of our Group's PBT)	234 (0.42% of our Group's PBT)	140 (0.18% of our Group's PBT)	N/A	N/A

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Note:

(1) *The salient terms of the tenancy agreements between LSH Ventures as well as the respective tenants of our Group are as follows:*

Tenant/property	***Date of tenancy agreement***	***Tenure***	***Monthly rental rate***	
LSH Lighting[(a)] *No. 1, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan*	*1 February 2020*	*Two (2) years commencing from 1 February 2020 to 31 January 2022*	*RM10,500*	*From 1 February 2020 to 31 January 2024*
	3 November 2021 (renewal)	*Two (2) years commencing from 1 February 2022 to 31 January 2024*		
LSH Lighting[(a)] *No. 3A, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan*	*1 February 2019*	*One (1) year commencing from 1 February 2019 to 31 January 2020*	*RM6,500*	*From 1 February 2019 to 31 January 2024*
	2 January 2020 (renewal)	*Two (2) years commencing from 1 February 2020 to 31 January 2022*		
	3 November 2021 (renewal)	*Two (2) years commencing from 1 February 2022 to 31 January 2024*		
Knight Auto[(b)] *No. 349, 349A & 349B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur*	*1 April 2011*	*Five (5) years commencing from 1 April 2011 to 31 March 2016*	*RM2,000*	*From 1 April 2011 to 31 March 2022*
	1 April 2016 (renewal)	*Three (3) years commencing from 1 April 2016 to 31 March 2019*		
	1 April 2019 (renewal)	*Three (3) years commencing from 1 April 2019 to 31 March 2022*		
	3 November 2021 (renewal)	*Three (3) years commencing from 1 April 2022 to 31 March 2025*	*RM3,000*	*From 1 April 2022 to 31 March 2025*

(a) *The renewal term of the tenancy shall be agreed in writing between the parties at least two (2) months prior to the expiration of the existing term. The deposit equivalent to two (2) months' rental shall be forfeited to the landlord if the tenant unilaterally terminates the tenancy before the expiry of one (1) year from the commencement of the term. Nevertheless, the tenant may terminate the tenancy without any compensation by serving a written notice on the landlord of not less than two (2)-month period after the expiry of one (1) year from the commencement of the term.*

(b) *The renewal term of the tenancy shall be agreed in writing between the parties at least two (2) months prior to the expiration of the existing term. The tenant may unilaterally terminate the tenancy before the expiry of the tenure without any compensation to the landlord.*

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(d) Our Group and ASES (prior to the LSH Ventures Acquisition)

Transacting Parties	Nature of transaction	Transaction value				
		FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD
		(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Our Group and ASES (prior to the LSH Ventures Acquisition)	Profit-sharing whereby LSHBB *(service provider)* has been engaged by ASES *(client)* to provide consultancy services for the Lake Side Homes Project(1).	N/A	-	-	N/A	N/A

Note:

(1) LSHBB has entered into a BEST Collaboration Framework agreement dated 13 April 2022 with ASES to provide value-engineering services and solutions for the Lake Side Homes Project, the preliminary construction work of which has commenced in March 2024, with full completion of the overall works expected by the fourth quarter of 2029. The service fee payable by ASES to LSHBB is 0.80% of the GDV of the Lake Side Homes Project and is to be recognised and payable to LSHBB on a quarterly basis commencing from the first quarter when ASES recognises progress billings for the said project, until full completion of the overall works for the said project.

(iii) Our Group and LSH Holdings for the tenancy of properties

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD(1)
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Our Group *(tenants)* and LSH Holdings *(landlord)*	• LSH Holdings through its interest in LSH Resources, is a major shareholder of our Company • Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are directors and major shareholders of our Company and LSH Holdings	Rental paid for the tenancy of the following: (i) part of Wisma Lim Seong Hai, No. 33 Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur by LSH Lighting, Knight Auto, LSHBB and ASSB vide four (4) separate tenancy agreements with the respective tenant(2). The property is being used as an office for our Group and retail store for Knight Auto;	588 (5.41% of our Group's PBT)	689 (1.25% of our Group's PBT)	1,289 (1.70% of our Group's PBT)	1,767 (1.81% of our Group's PBT)	578

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
	• Lim Ding Shyong, a director of our Company, is the son of Tan Sri KC Lim	(ii) a corner lot three (3)-storey shophouse at No. 1, 1A & 1B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur by LSH Lighting vide a tenancy agreement[3]. The property is being used as LSH Lighting's retail store;					
		(iii) ground floor and first floor of all three (3) adjoining intermediate units of a four (4)-storey shophouse at No. G1, 1-1, G-2, 1-2, G-3 and 1-3, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan by LSH Lighting vide two (2) separate tenancy agreements[3]. These properties are being used as part of LSH Lighting's retail store;					
		(iv) a single-storey residential house bearing postal address at Lot 5810, No. 25, Jalan Bunga Tanjong, Taman P Ramlee, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur by LSH Lighting and ASSB vide two (2) separate tenancy agreements[3]. Part of the property was previously used as employees' accommodation by LSH Lighting whilst the other part of the property was previously used for storage by ASSB;					
		(v) three (3) wooden houses erected on the land located at Lot 274, No. 111A-D, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur by LSH Lighting vide a tenancy agreement (which the wooden houses were then torn down to build the current Wisma Knight Auto (see item (vi) below))[4]. The property was being used as workers' quarter and warehouse for LSH Lighting;					

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
		(vi) a three (3)-storey detached building at No. 349A, Wisma Knight Auto, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur by Knight Auto vide a tenancy agreement[3]. The property is being used as Knight Auto's retail store;					
		(vii) a three (3)-storey building with a single-storey detached warehouse at Lot 1879, Jalan KPB 5, Kawasan Perindustrian Kampung Baru Balakong, 43300 Seri Kembangan, Selangor Darul Ehsan by Knight Auto vide a tenancy agreement[3]. The property is being used as Knight Auto's retail store and warehouse; and					
		(viii) an office suite identified as Parcel No. A-03-05 at a mixed development known as EkoCheras at No. 693, Batu 5, Jalan Cheras, 56000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur by ASSB vide a tenancy agreement[5]. The property was previously used for ASSB's storage.					
		Save for items (iv), (v) and (viii) above which have ceased, these transactions are recurrent in nature and will subsist after the ACE Listing.					

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Notes:

(1) *Percentage contributions are not available as there are no audited financial statements for the period from 1 October 2024 up to LPD for our Group.*

(2) *The salient terms of the four (4) separate tenancy agreements between LSH Holdings and LSH Lighting, Knight Auto, LSHBB and ASSB in respect of their respective tenancies at Wisma Lim Seong Hai are as follows:*

Tenant	***Date of tenancy agreement***	***Tenure***	***Monthly rental rate***	
LSH Lighting	*1 October 2020*	*Three (3) years commencing from 1 October 2020 to 30 September 2023*	*RM6,100*	*From 1 October 2020 to 30 September 2022*
			RM5,600	*From 1 October 2022 to 30 September 2023*
	8 August 2023 (renewal)	*Two (2) years commencing from 1 October 2023 to 30 September 2025*	*RM11,000*	*From 1 October 2023 to 30 September 2025*
Knight Auto	*1 October 2020*	*Three (3) years commencing from 1 October 2020 to 30 September 2023*	*RM13,600*	*From 1 October 2020 to 30 September 2022*
			RM16,000	*From 1 October 2022 to 30 September 2023*
	8 August 2023 (renewal)	*Two (2) years commencing from 1 October 2023 to 30 September 2025*	*RM22,000*	*From 1 October 2023 to 30 September 2025*
LSHBB	*1 October 2020*	*Three (3) years commencing from 1 October 2020 to 30 September 2023*	*RM6,100*	*From 1 October 2020 to 30 September 2022*
			RM30,650	*From 1 October 2022 to 30 September 2023*
	8 August 2023 (renewal)	*Two (2) years commencing from 1 October 2023 to 30 September 2025*	*RM52,000*	*From 1 October 2023 to 30 September 2025*
ASSB	*1 October 2020*	*Three (3) years commencing from 1 October 2020 to 30 September 2023*	*RM72,800*	*From 1 October 2020 to 30 September 2022*
			RM51,200	*From 1 October 2022 to 30 September 2023*
	8 August 2023 (renewal)	*Two (2) years commencing from 1 October 2023 to 30 September 2025*	*RM21,000*	*From 1 October 2023 to 30 September 2025*

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

The renewal term of the respective tenancies shall be agreed in writing between the respective parties at least two (2) months prior to the expiration of their respective existing terms. The deposit equivalent to two (2) months of the respective rentals shall be forfeited to the landlord if the tenant unilaterally terminates the tenancy before the expiry of one (1) year from the commencement of the term. Nevertheless, the tenants may terminate their respective tenancies without any compensation by serving a written notice on the landlord of not less than two (2)-month period after the expiry of one (1) year from the commencement of the respective terms.

(3) *The salient terms of the other tenancy agreements between LSH Holdings and our Group are as follows:*

Tenant/property	***Date of tenancy agreement***	***Tenure***	***Monthly rental rate***	
LSH Lighting *No. 1, 1A & 1B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur*	*1 January 2020*	*Three (3) years commencing from 1 January 2020 to 31 December 2022*	*RM12,000*	*From 1 January 2020 to 31 December 2026*
	5 October 2022 (renewal)	*Two (2) years commencing from 1 January 2023 to 31 December 2024*		
	1 January 2025	*Two (2) years commencing from 1 January 2025 to 31 December 2026*		
LSH Lighting *No. G-1 and 1-1, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan*	*1 November 2020*	*Three (3) years commencing from 1 November 2020 to 31 October 2023*	*RM3,500*	*From 1 November 2020 to 31 October 2023*
	1 November 2023 (renewal)	*Two (2) years commencing from 1 November 2023 to 31 October 2025*	*RM4,500*	*From 1 November 2023 to 31 October 2025*
LSH Lighting *No. G-2, 1-2, G-3 and 1-3, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan*	*1 May 2019*	*Three (3) years commencing from 1 May 2019 to 30 April 2022*	*RM7,000*	*From 1 May 2019 to 30 April 2022*
	3 November 2021 (renewal)	*Two (2) years commencing from 1 May 2022 to 30 April 2024*	*RM7,000*	*From 1 May 2022 to 31 November 2023*
	1 May 2024 (renewal)	*Two (2) years commencing from 1 May 2024 to 30 April 2026*	*RM9,000*	*From 1 December 2023 to 30 April 2026*
LSH Lighting *Part of Lot 5810, No. 25, Jalan Bunga Tanjong, Taman P Ramlee, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur*	*1 August 2023*	*One (1) year commencing from 1 August 2023 to 31 July 2024*	*RM1,000*	*From 1 August 2023 to 31 July 2026*
	1 August 2024	*Two (2) years commencing from 1 August 2024 to 31 July 2026[(a)]*		

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Tenant/property	***Date of tenancy agreement***	***Tenure***	***Monthly rental rate***	
ASSB *Part of Lot 5810, No. 25, Jalan Bunga Tanjong, Taman P Ramlee, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur*	*1 December 2019*	*Two (2) years commencing from 1 December 2019 to 30 November 2021*	*RM2,000*	*From 1 December 2019 to 30 November 2021*
	15 November 2021 (renewal)	*Two (2) years commencing from 1 December 2021 to 30 November 2023*	*RM5,000*	*From 1 December 2021 to 30 November 2025*
	1 December 2023 (renewal)	*Two (2) years commencing from 1 December 2023 to 30 November 2025[(a)]*		
Knight Auto *No. 349A, Wisma Knight Auto, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur*	*1 August 2023*	*Two (2) years commencing from 1 August 2023 to 31 July 2025*	*RM6,000*	*From 1 August 2023 to 31 July 2025*
Knight Auto *Lot 1879, Jalan KPB 5, Kawasan Perindustrian Kampung Baru Balakong, 43300 Seri Kembangan, Selangor Darul Ehsan*	*1 January 2018*	*Three (3) years commencing from 1 January 2018 to 31 December 2020*	*RM4,100*	*From 1 January 2018 to 31 December 2026*
	1 December 2020 (renewal)	*Two (2) years commencing from 1 January 2021 to 31 December 2022*		
	5 October 2022 (renewal)	*Two (2) years commencing from 1 January 2023 to 31 December 2024*		
	1 January 2025	*Two (2) years commencing from 1 January 2025 to 31 December 2026*		

The other salient terms of these tenancies are similar to those set out in Note (2) above.

(a) These two (2) tenancies had ceased in November 2024.

(4) LSH Holdings had previously entered into a tenancy agreement dated 1 January 2020 with LSH Lighting over this premises for a term of three (3) years commencing from 1 January 2020 to 31 December 2022 for monthly rental of RM3,000. On 30 September 2022, LSH Lighting terminated this tenancy agreement, and this premises was subsequently demolished and replaced by the erection of a three (3)-storey detached building known as Wisma Knight Auto.

(5) ASSB ceased paying monthly rental of RM11,500 to LSH Holdings following the disposal of this premises by LSH Holdings to a third-party purchaser on 7 September 2023.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(iv) Our Group and LSH Holdings for other transactions

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Our Group and LSH Holdings	• LSH Holdings through its interest in LSH Resources, is a major shareholder of our Company • Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are directors and major shareholders of our Company and LSH Holdings	(i) Service fees paid by LSH Lighting, Knight Auto, LSHBB and ASSB *(collectively, users)* to LSH Holdings (*vendor)* for the provision of on-site facility management and office services at Wisma Lim Seong Hai vide four (4) separate virtual office service and facility agreements entered with LSH Holdings[2]. This transaction is recurrent in nature and will subsist after the ACE Listing.	25 (0.23% of our Group's PBT)	54 (0.10% of our Group's PBT)	257 (0.34% of our Group's PBT)	398 (0.41% of our Group's PBT)	133
	• Lim Ding Shyong, a director of our Company, is the son of Tan Sri KC Lim	(ii) Payment of interest to LSH Holdings *(lender)* in relation to the loans provided by LSH Holdings to ASSB and ASES *(collectively, borrowers)* for working capital and payment of development charges to DBKL for the Lake Side Homes Project respectively[3]. This transaction will recur until the full repayment of the said loans.	N/A	N/A	530 (0.70% of our Group's PBT)	946 (0.97% of our Group's PBT)	193
		(iii) Profit-sharing whereby LSHBB *(service provider)* has been engaged by LSH Holdings *(client)* to provide consultancy services for the Sentul Ria Project[4].	N/A	-	-	-	-
		(iv) Consideration sum received by ASSB (*main contractor*) from LSH Holdings *(employer)* for the design and build of the Sentul Ria Project[5].	N/A	N/A	-	8,196 (2.27% of our Group's revenue)	8,388

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
		(v) Consideration sum received by ASSB *(main contractor)* from LSH Holdings *(employer)* for the design and build of the Wisma LSH Extension Project[6].	N/A	N/A	N/A	670 (0.19% of our Group's revenue)	421
		(vi) Sale of M&E products by LSH Lighting *(seller)* to LSH Holdings *(buyer)* on an ad-hoc basis. This transaction is recurrent in nature and will subsist after the ACE listing.	1 (<0.01% of our Group's revenue)	23 (0.01% of our Group's revenue)	11 (<0.01% of our Group's revenue)	6 (<0.01% of our Group's revenue)	41

Notes:

(1) Percentage contributions are not available as there are no audited financial statements for the period from 1 October 2024 up to LPD for our Group.

(2) The transactions commenced since 1 October 2020 and will continue to subsist after the ACE Listing at a service fee that is determined based on the total expenses incurred for, among others, utilities (including WiFi network), building maintenance and cleaning, security fees and refreshments at Wisma Lim Seong Hai. The service fee also takes into account the office fit-out with full furnishing provided to our Group. The rate derived is then multiplied by the headcount or number of tables occupied by each company (tenant) at Wisma Lim Seong Hai to arrive at the service fee to be paid by the respective companies (tenants).

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9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(3) These interest payments relate to the following borrowings obtained by our Group from LSH Holdings at the following interest rate per annum pursuant to the terms of the respective moneylending agreements and their respective outstanding balance as at LPD are as follows:

Borrower	***Date of moneylending agreement***	***Term***	***Interest rate per annum (%)***	***Principal amount (RM'000)***	***Outstanding as at LPD (RM'000)***
ASSB	*5 December 2022*	*3 years*	*3.0*	*2,500*	*-*
	28 December 2022	*5 years*	*3.0*	*5,200*	*-*
	5 January 2023	*5 years*	*3.0*	*5,500*	*-*
ASES	*9 November 2023*	*5 years*	*3.0*	*12,000*	*11,564*
	6 May 2024	*5 years*	*1.0*	*1,000*	*1,012*

(4) LSHBB has entered into a BEST Collaboration Framework agreement dated 13 April 2022 with LSH Holdings to provide value-engineering services and solutions for the Sentul Ria Project. The construction works for the Sentul Ria Project commenced in March 2023 and the full completion of the overall works for this project is targeted to be completed by the first quarter of 2027. The service fee payable by LSH Holdings to LSHBB is on a profit-sharing basis (i.e. based on 75% of the remaining gross profit of the said entire project (i.e. after deducting all the relevant operating and administrative expenses attributable to the said project)), and such profit is to be recognised and payable to LSHBB on a quarterly basis commencing from the first quarter when LSH Holdings recognises progress billings for the said project, until full completion of the overall works for the said project. Pursuant to the terms of this agreement, upon completion of the said development project, any unsold unit from the Sentul Ria Project shall be recognised as the inventory of LSH Holdings and LSHBB shall be entitled to receive 75% of the profits upon the sale of these inventory units, or at its sole discretion, elect to have 75% of the unsold inventory units be transferred to its name.

For information, as at LPD, LSHBB has not received any amount from LSH Holdings pursuant to this agreement as LSH Holdings has not recognised any progress billings for the said project to-date.

(5) ASSB was appointed by LSH Holdings to design and build the Sentul Ria Project at an agreed contract sum of approximately RM103.89 million vide a letter of award dated 8 February 2023. The construction works commenced in March 2023 and is targeted to complete by first quarter of 2027.

(6) ASSB was appointed by LSH Holdings to design and build of the Wisma LSH Extension Project at an agreed contract sum of approximately RM8.97 million vide a letter of award dated 11 October 2023. The construction works were commenced in April 2024 and is targeted to complete by fourth quarter of 2025.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(v) Our Group and Lim Pak Lian

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
LSH Lighting and Knight Auto *(respectively, the tenant)* and Lim Pak Lian *(landlord)*	Lim Pak Lian is a director and major shareholder of our Company	Rental paid for the tenancy of the following: (i) first floor of an intermediate unit of a four (4)-storey shophouse at No. 1-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan by LSH Lighting vide a tenancy agreement[2]. The property is being used as part of LSH Lighting's retail store; and (ii) ground floor of an intermediate unit of a four (4)-storey shophouse at No. G-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan by Knight Auto vide a tenancy agreement[2]. The property is being used as Knight Auto's retail store. These transactions are recurrent in nature and will subsist after the ACE Listing.	42 (0.39% of our Group's PBT)	42 (0.08% of our Group's PBT)	42 (0.06% of our Group's PBT)	52 (0.05% of our Group's PBT)	18
LSH Lighting *(tenant)* and Lim Pak Lian and Lor Siew Hung *(collectively, landlords)*	• Lim Pak Lian is a director and major shareholder of our Company • Lor Siew Hung is the spouse of Lim Pak Lian	Rental paid for the tenancy of an intermediate unit of a two (2)-storey shophouse at No. 2, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan by LSH Lighting vide a tenancy agreement[3]. The property is being used as part of LSH Lighting's retail store. This transaction is recurrent in nature and will subsist after the ACE Listing.	76 (0.70% of our Group's PBT)	76 (0.14% of our Group's PBT)	76 (0.10% of our Group's PBT)	77 (0.08% of our Group's PBT)	26

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Notes:

(1) *Percentage contributions are not available as there are no audited financial statements for the period from 1 October 2024 up to LPD for our Group.*

(2) *The salient terms of the tenancy agreement between Lim Pak Lian as well as the respective tenants of our Group are as follows:*

Tenant/property	***Date of tenancy agreement***	***Tenure[(a)]***	***Monthly rental rate***	
LSH Lighting *No. 1-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan*	*1 May 2019*	*Three (3) years commencing from 1 May 2019 to 30 April 2022*	*RM2,000*	*From 1 May 2019 to 30 April 2022*
	3 November 2021 (renewal)	*Two (2) years commencing from 1 May 2022 to 30 April 2024*	*RM2,000*	*From 1 May 2022 to 31 November 2023*
			RM1,500	*From 1 December 2023 to 30 April 2024*
	1 May 2024	*Two (2) years commencing from 1 May 2024 to 30 April 2026[(b)]*	*RM1,500*	*From 1 May 2024 to 30 April 2026*
Knight Auto *No. G-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan*	*1 May 2015*	*Five (5) years commencing from 1 May 2015 to 30 April 2020*	*RM1,500*	*From 1 May 2015 to 30 April 2020*
	1 April 2020 (renewal)	*Three (3) years commencing from 1 May 2020 to 30 April 2023*	*RM1,500*	*From 1 May 2020 to 30 April 2023*
	27 February 2023 (renewal)	*Two (2) years commencing from 1 May 2023 to 30 April 2025[(c)]*	*RM1,500*	*From 1 May 2023 to 31 November 2023*
			RM3,000	*From 1 December 2023 to 30 April 2025*

(a) *The renewal term of the tenancy shall be agreed in writing between the parties at least two (2) months prior to the expiration of the existing term.*

(b) *The deposit equivalent to two (2) months' rental may be forfeited to the landlord if the tenant terminates the tenancy before the expiry of the term for any reason whatsoever other than due to an event of default by the landlord.*

(c) *The deposit equivalent to two (2) months' rental shall be absolutely forfeited to the landlord if the tenant unilaterally terminates the tenancy before the expiry of one (1) year from the commencement of the renewal term. Nevertheless, the tenant may terminate the tenancy without any compensation by serving a written notice on the landlord of not less than two (2)-month period after the expiry of one (1) year from the commencement of the renewal term.*

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(3) *The salient terms of the tenancy agreement between Lim Pak Lian and Lor Siew Hung as well as LSH Lighting are as follows:*

Tenant/property	***Date of tenancy agreement***	***Tenure***	***Monthly rental rate***	
LSH Lighting *No. 2, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan*	*1 February 2015*	*Two (2) years commencing from 1 February 2015 to 31 January 2017*	*RM6,000*	*From 1 February 2015 to 31 January 2018*
	7 February 2017 (renewal)	*One (1) year commencing from 1 February 2017 to 31 January 2018*		
	2 January 2018 (renewal)	*One (1) year commencing from 1 February 2018 to 31 January 2019*	*RM6,300*	*From 1 February 2018 to 31 January 2024*
	2 January 2019 (renewal)	*One (1) year commencing from 1 February 2019 to 31 January 2020*		
	2 January 2020 (renewal)	*Two (2) years commencing from 1 February 2020 to 31 January 2022*		
	3 November 2021 (renewal)	*Two (2) years commencing from 1 February 2022 to 31 January 2024*		
	1 February 2024	*Two (2) years commencing from 1 February 2024 to 31 January 2026*	*RM6,500*	*From 1 February 2024 to 31 January 2026*

The other salient terms of this tenancy are similar to those set out in Notes (2)(a) and 2(b) above.

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9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(vi) Our Group and Lim Seong Hai Construction And Company ("LSHCC")

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Our Group and LSHCC	• Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are directors and major shareholders of our Company. They are also partners and ultimate owners of LSHCC • Lim Ding Shyong, a director of our Company, is also the son of Tan Sri KC Lim	(i) Sale of building materials by LSH Lighting *(seller)* to LSHCC *(buyer)*[2].	-	165 (0.10% of our Group's revenue)	33 (<0.01% of our Group's revenue)	578 (0.16% of our Group's revenue)	265
		(ii) Rental of cranes and other construction machinery from Knight Auto (*lessor)* by LSHCC *(lessee)* on an ad-hoc basis[3]. These transactions are recurrent in nature and will subsist after the ACE Listing.	* (<0.01% of our Group's revenue)	-	6 (<0.01% of our Group's revenue)	113 (0.03% of our Group's revenue)	-
		(iii) Consideration sum paid by ASSB *(main contractor)* to LSHCC *(subcontractor)* for the piling and reinforced concrete works for the Wisma LSH Extension Project[4].	-	-	-	495 (0.21% of our Group's cost of sales)	69

Notes:

* *Less than RM1,000.*

(1) Percentage contributions are not available as there are no audited financial statements for the period from 1 October 2024 up to LPD for our Group.

(2) Prior to 1 October 2022, the sale of building materials by LSH Lighting to LSHCC was transacted on an ad-hoc basis via purchase orders. LSH Lighting has then entered into a building materials trade agreement dated 1 October 2022 with LSHCC for the supply and delivery of building materials such as ready-mixed concrete, reinforcement bar, fabric reinforcement mesh, plywood and timber to LSHCC for a term of one (1) year commencing from 1 October 2022 to 30 September 2023 at selling price that is derived from cost price plus 10% margin. Any such sale is payable by LSHCC within 90 days from the date of invoice issued by LSH Lighting for the building materials supplied and delivered in accordance with the specifications of the building materials enclosed to the delivery order. The parties have subsequently entered into renewal agreements dated 1 November 2023 and 1 November 2024 for two (2) extended terms of one (1) year each till 30 October 2025 at the same terms and conditions.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(3) Prior to 1 October 2022, the rental of cranes and other construction machinery from Knight Auto by LSHCC was transacted on an ad-hoc basis via purchase orders. Knight Auto has then entered into an agreement dated 1 October 2022 with LSHCC for the rental of cranes and other construction machinery by LSHCC for a term of one (1) year commencing from 1 October 2022 to 30 September 2023 at an agreed-upon monthly and daily rate for each type of cranes and other construction machinery as specified in the said agreement. The rental shall be payable by LSHCC within 30 days from the date of invoice issued by Knight Auto. The agreement has been renewed by parties for another one (1) year commencing from 1 November 2023 to 31 October 2024 by way of a renewal letter dated 1 November 2023 at the same terms and conditions, save for the revised rental rate for each type of cranes and other construction machinery.

On 9 December 2024, Knight Auto (lessor) entered into an equipment lease agreement with LSHCC (lessee) for an agreement to rent cranes, lorries, machines, equipment, workers or agents owned by Knight Auto to LSHCC for a term of three (3) years commencing from 1 November 2024 to 31 October 2027 for the construction of Wisma LSH Extension Project. Salient terms of the agreement are as follows:

(i) The rental rate for each piece of equipment, whether on a monthly or daily basis, will be mutually agreed upon by parties in advance before the lessee issues a purchase order to the lessor confirming the equipment specification to be rented and the rental period. Rental payment shall be made by the lessee within 90 days from the date of the lessor's invoice;

(ii) The parties' respective responsibilities, including the lessor's obligation to maintain insurances coverage for the equipment and the lessee's liability and indemnity for any damage arising from its use;

(iii) The lessee may terminate the agreement by providing written notice within seven (7) days of an equipment breakdown that the lessor is unable to repair within 14 days of being notified. Upon termination, the lessee shall allow the lessor to retrieve the equipment, and upon receipt thereof, the lessor shall refund the rental or waive any remaining rental on a pro-rata basis from the date of return; and

(iv) The lessor may terminate this agreement immediately by providing written notice upon the occurrence of any event of default as specified in the agreement. Upon termination, the lessee shall settle all outstanding due as of the termination date and grant the lessor access to retrieve the equipment.

(4) ASSB has granted subcontract work to LSHCC for the piling and reinforced concrete works for the Wisma LSH Extension Project at an agreed sum of approximately RM1.87 million vide a letter of award dated 11 October 2023. The subcontract work is scheduled to be completed by fourth quarter of 2025.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(vii) Our Group and Infinity Crane & Engineering Sdn Bhd ("ICESB")

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Our Group and ICESB	• LSH Holdings, Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are major shareholders of our Company and ICESB • DLKG and Lim Pak Lian are directors of our Company and ICESB • Lim Ding Shyong, a director of our Company, is also the son of Tan Sri KC Lim	(i) Rental expenses paid by Knight Auto, LSHBB and ASSB *(collectively, lessees)* to ICESB *(lessor)* for the rental of lorries and cranes as well as hiring of cranes and other construction machinery on an ad-hoc basis[2].	21 (0.04% of our Group's cost of sales)	38 (0.04% of our Group's cost of sales)	158 (0.06% of our Group's cost of sales)	783 (0.34% of our Group's cost of sales)	4
		(ii) Consideration sum paid by LSHBB *(employer)* to ICESB *(subcontractor)* for the subcontract of precast beam launching works for the bridge construction project in Nibong Tebal, Penang ("**Transkrian Project**")[3].	N/A	N/A	326 (0.13% of our Group's cost of sales)	444 (0.19% of our Group's cost of sales)	25
		(iii) Sale of M&E products, hardware and machinery by LSH Lighting and Knight Auto *(collectively, sellers)* to ICESB *(buyer)* on an ad-hoc basis.	* (<0.01% of our Group's revenue)	-	-	4 (<0.01% of our Group's revenue)	-
		(iv) Rental of cranes from Knight Auto and ASSB *(collectively, lessors)* by ICESB *(lessee)* on an ad-hoc basis[2].	10 (0.01% of our Group's revenue)	17 (0.01% of our Group's revenue)	9 (<0.01% of our Group's revenue)	4 (<0.01% of our Group's revenue)	-

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
		(v) Secondment of staff by ASSB *(provider)* to support the operations of ICESB *(client)* on an ad-hoc basis. This has ceased since April 2024.	N/A	N/A	19 (0.03% of our Group's PBT)	23 (0.02% of our Group's PBT)	-
		Save for item (ii) which is on project basis and item (v) which ASSB has ceased providing the support to ICESB, these transactions are recurrent in nature and will subsist after the ACE Listing.					

Notes:

* *Less than RM1,000*

(1) *Percentage contributions are not available as there are no audited financial statements for the period from 1 October 2024 up to LPD for our Group.*

(2) *Notwithstanding that our Group provides rental of cranes and other construction machinery, the size, capacity and/or specifications of machinery which Knight Auto specialises in are different from those of ICESB, e.g. Knight Auto specialises in smaller capacity cranes (ranging from 8 to 55 tonnes), whilst ICESB specialises in heavy lifting machinery (i.e. larger capacity cranes ranging from 80 to 700 tonnes).*

In this regard, our Group may require the deployment of heavy lifting machinery offered by ICESB to undertake certain specific works over the course of our construction and engineering works, depending on the type and/or phase of the construction project undertaken by our Group. In addition, should any of our Group's clients require the use of heavy lifting machinery which is not within Knight Auto's fleet of machinery, Knight Auto may procure such heavy lifting machinery from ICESB to fulfil the needs of our clients, and vice versa.

(3) *LSHBB has granted subcontract work to ICESB for the precast beam launching works for the Transkrian Project at an agreed sum of approximately RM1.15 million vide a letter of award dated 22 May 2023. The subcontract work is scheduled to be completed by 3 March 2025.*

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(viii) LSH Lighting and Costa Sutra Sdn Bhd ("Costa Sutra")

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[(1)]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
LSH Lighting and Costa Sutra	• Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are directors and major shareholders of our Company • DLKG is a director and major shareholder of Costa Sutra, while Tan Sri KC Lim and Lim Keng Hun are the major shareholders of Costa Sutra • Lim Ding Shyong, a director of our Company, is also the son of Tan Sri KC Lim • Lor Siew Hung, the spouse of Lim Pak Lian is a director and major shareholder of Costa Sutra	Purchase of lighting products by LSH Lighting *(buyer)* from Costa Sutra *(seller)* on an ad-hoc basis. This transaction is recurrent in nature and will subsist after the ACE Listing.	2,412 (4.81% of our Group's cost of sales)	3,223 (3.28% of our Group's cost of sales)	2,593 (1.02% of our Group's cost of sales)	2,948 (1.26% of our Group's cost of sales)	1,320

Note:

(1) Percentage contributions are not available as there are no audited financial statements for the period from 1 October 2024 up to LPD for our Group.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(ix) Our Group and Besteel Engtech Sdn Bhd ("BESB")

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Our Group and BESB	• DLKG is a director and major shareholder of our Company and BESB	(i) Profit-sharing whereby LSHBB *(service provider)* has been engaged by BESB *(client)* to provide consultancy services for the following projects[2]: (a) LSH 33 Project; (b) Transkrian Project; and (c) army family homes in Gemas, Negeri Sembilan ("**Gemas YESB Project**").	N/A	6,899 (4.16% of our Group's revenue)	9,788 (2.74% of our Group's revenue)	5,700 (1.58% of our Group's revenue)	-
		(ii) Consideration sum received by our Group (*subcontractor)* from BESB *(employer)* for various construction and engineering work projects[3].	-	59,802 (36.05% of our Group's revenue)	132,790 (37.12% of our Group's revenue)	137,256 (37.98% of our Group's revenue)	19,130
		(iii) Sale of building materials by LSH Lighting (*seller)* to BESB *(buyer)* on an ad-hoc basis[4].	3,576 (5.30% of our Group's revenue)	2,946 (1.78% of our Group's revenue)	16,621 (4.65% of our Group's revenue)	14,099 (3.90% of our Group's revenue)	6,970
		(iv) Sale of hardware and machinery by Knight Auto *(seller)* to BESB *(buyer)* on an ad-hoc basis.	18 (0.03% of our Group's revenue)	23 (0.01% of our Group's revenue)	59 (0.02% of our Group's revenue)	69 (0.02% of our Group's revenue)	22
		(v) Rental of cranes and other construction machinery from Knight Auto (*lessor)* by BESB *(lessee)* on an ad-hoc basis[5].	944 (1.40% of our Group's revenue)	2,893 (1.74% of our Group's revenue)	6,224 (1.74% of our Group's revenue)	11,041 (3.05% of our Group's revenue)	5,140

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
		(vi) Rental of scaffolding, metal steel plate and sheet pile from Knight Auto (*lessor)* by BESB *(lessee)* on an ad-hoc basis[6].	-	290 (0.17% of our Group's revenue)	459 (0.13% of our Group's revenue)	2,667 (0.74% of our Group's revenue)	748
		(vii) Secondment of staff by ASSB *(provider)* to support the operations of BESB *(client)* on an ad-hoc basis. This has ceased since April 2024.	N/A	N/A	40 (0.05% of our Group's PBT)	48 (0.05% of our Group's PBT)	-
		Save for items (i), (ii) and (vi) above which are on project basis and item (vii) which ASSB has ceased providing the support to BESB, these transactions are recurrent in nature and will subsist after the ACE Listing.					

Notes:

(1) Percentage contributions are not available as there are no audited financial statements for the period from 1 October 2024 up to LPD for our Group.

(2) LSHBB has entered into three (3) BEST Collaboration Framework agreements, all dated 13 April 2022 with BESB to provide value-engineering services and solutions for these projects. The service fee payable by BESB to LSHBB for these projects are on profit-sharing basis (i.e. based on 75% of the remaining gross profit of the respective entire project (i.e. after deducting all the relevant operating and administrative expenses attributable to the said project)), and such profit is to be recognised and payable to LSHBB on a quarterly basis commencing from the first quarter when BESB recognises progress billings for the said projects, until full completion of the overall works for the said projects. For information, the overall works for the LSH 33 Project has been completed following the issuance of CPC on 3 June 2024 and CCC on 12 September 2024, while the full completion of the overall works for the Transkrian Project and Gemas YESB Project are scheduled to be completed by third quarter of 2025 and second quarter of 2026 respectively.

In addition to the above, in the case of LSH 33 Project, pursuant to the terms of its agreement, upon completion of the said development project, any unsold unit from the LSH 33 Project shall be recognised as the inventory of BESB and LSHBB shall be entitled to receive 75% of the profits upon the sale of these inventory units, or at its sole discretion, elect to have 75% of the unsold inventory units be transferred to its name. For information purposes, all units under the LSH 33 Project have been fully sold.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(3) Our Group has been appointed by BESB to carry out the following construction and engineering works:

No.	*Project description*	*Date of letter of award*	*Agreed contract sum*	*Amount billed up to LPD*	*Commencement date*	*Completion date*
(i)	*Design and build of the LSH 33 Project by LSHBB*	*18 May 2020*	*RM259.26 million*	*RM259.26 million*	*July 2020*	*June 2024*
(ii)	*Supply, delivery, installation, testing and commissioning of infrastructural, M&E, civil and structural works for DUKE by LSHBB*	*10 May 2021*	*RM12.27 million*	*RM12.27 million*	*May 2021*	*March 2023*
(iii)	*Construction and completion of bridge structure at Kampung Kerinchi, Kuala Lumpur by LSHBB*	*10 October 2021*	*RM6.21 million*	*RM6.21 million*	*October 2021*	*October 2023*
(iv)	*Foundation, substructure and superstructure works for Transkrian Project by LSHBB*	*25 November 2021*	*RM112.08 million*	*RM85.36 million*	*February 2022*	*May 2025*
(v)	*Supply, delivery, installation, testing and commissioning of cold water and sanitary plumbing services for Gemas YESB Project by LSH Lighting*	*20 September 2022*	*RM20.23 million*	*RM6.48 million*	*October 2022*	*May 2026*
(vi)	*Supply, delivery, installation, testing and commissioning of electrical and extra low voltage box for Gemas YESB Project by LSH Lighting*	*20 December 2022*	*RM38.43 million*	*RM3.25 million*	*December 2022*	*August 2025*
(vii)	*Supply of materials, labour, equipment and tools for construction and completion of reinforced concrete works for the Gemas YESB Project by ASSB*	*1 March 2023*	*RM40.96 million*	*RM34.57 million*	*March 2023*	*June 2025*
(viii)	*Supply of materials, labour, equipment and tools for construction and completion of architectural works for the Gemas YESB Project by ASSB*	*13 June 2024*	*RM95.41 million*	*RM7.27 million*	*June 2024*	*March 2026*
(ix)	*Construction and completion of earthworks, road pavement works, road furniture works, precast New Jersey barrier, galvanized iron railing and reinforced concrete works for Transkrian Project by ASSB*	*13 June 2024*	*RM23.16 million*	*RM0.19 million*	*October 2024*	*July 2025*

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	*Project description*	*Date of letter of award*	*Agreed contract sum*	*Amount billed up to LPD*	*Commencement date*	*Completion date*
(x)	*Supply of materials, labour, equipment and tools for construction and completion of infrastructure works for the Gemas YESB Project by ASSB*	*19 November 2024*	*RM24.13 million*	*-*	*Expected to commence in March 2025*	*March 2026*

(4) Prior to 1 November 2021, the sale of building materials by LSH Lighting to BESB was transacted on an ad-hoc basis via purchase orders, LSH Lighting has then entered into a building materials trade agreement dated 1 November 2021 with BESB for the supply and delivery of building materials such as ready-mixed concrete, reinforcement bar, fabric reinforcement mesh, plywood and timber to BESB for a term of one (1) year commencing from 1 November 2021 to 31 October 2022 at selling price that is derived from cost price plus 10% margin. Any such sale is payable by BESB within 90 days from the date of invoice issued by LSH Lighting for the building materials supplied and delivered in accordance with the specifications of the building materials enclosed to the delivery order.

The parties have subsequently entered into three (3) new building materials trade agreements dated 1 November 2022, 1 November 2023 and 27 December 2024 for three (3) extended terms of one (1) year each till 31 October 2025 at the same terms and conditions.

(5) Prior to 1 November 2021, the rental of cranes and other construction machinery from Knight Auto by BESB was transacted on an ad-hoc basis via purchase orders. Knight Auto has then entered into an agreement dated 1 November 2021 with BESB for the rental of cranes and other construction machinery by BESB for a term of one (1) year commencing from 1 November 2021 to 31 October 2022 at an agreed-upon monthly and daily rate for each types of cranes and other construction machinery as specified in the said agreement. The rental shall be payable by BESB within 90 days from the date of invoice issued by Knight Auto. The agreement has been renewed by parties for two (2) successive terms by way of renewal letters dated 1 November 2022 and 1 November 2023 at the same terms and conditions, save for the revised rental rate for each type of cranes and other construction machinery. The agreement has expired on 31 October 2024.

Subsequent to the expiry of the abovementioned agreement, Knight Auto (lessor) entered into two (2) separate equipment lease agreements, both dated 1 November 2024 with BESB (lessee), for an agreement to rent cranes, lorries, machines, equipment, workers or agents owned by Knight Auto to BESB for a term of three (3) years commencing from 1 November 2024 to 31 October 2027 for the Gemas YESB Project and Transkrian Project respectively.

The salient terms of these agreements are similar to the equipment lease agreement entered into between Knight Auto and LSHCC dated 9 December 2024 as set out in Note (3) of Section 9.1.1(vi) above.

(6) Prior to 1 October 2022, the rental of scaffolding, metal steel plate and sheet pile from Knight Auto by BESB was transacted on an ad-hoc basis via purchase orders. Knight Auto has then entered into an agreement dated 1 October 2022 with BESB for the rental of scaffolding, metal steel plate and sheet pile by BESB for the Transkrian Project at an agreed-upon monthly rate for each type of building materials as specified in the said agreement. The term of the agreement commences from the date of the first delivery order placed by BESB and expires on the date on which all equipment is returned. The rental shall be payable by BESB within 90 days from the date of invoice issued by Knight Auto.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

(x) Our Group and Ekovest Construction Sdn Bhd ("Ekovest Construction"), a subsidiary of Ekovest Berhad ("Ekovest")

Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
			FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
			(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Our Group and Ekovest Construction	• Tan Sri KC Lim, a director of our Company, was a director of Ekovest Construction and a Managing Director of Ekovest. He has resigned as a director of Ekovest Construction and re-designated to a Non-Independent Non-Executive Director of Ekovest on 6 March 2024 • Lim Ding Shyong, a director of our Company and the son of Tan Sri KC Lim, was an alternate director to Tan Sri KC Lim in Ekovest (which he has resigned on 6 March 2024)	(i) Consideration sum received by LSH Lighting (*subcontractor*) from Ekovest Construction *(employer)* for the following subcontract work for the EkoCheras mixed development project: • supply, delivery and unloading of high tension panels and power transformer[2]; and • supply and delivery of light fittings for towers and installation of façade and landscape lighting[3].	112 (0.17% of our Group's revenue)	-	-	-	-
		(ii) Consideration sum received by LSH Lighting *(subcontractor)* from Ekovest Construction *(employer)* for the subcontract of street lighting work along Jalan Mohd Yatim Yahya Minor Road in Kuala Lumpur[4].	186 (0.28% of our Group's revenue)	-	-	-	-
		(iii) Sale of lighting products by LSH Lighting *(seller)* to Ekovest Construction *(buyer)* on an ad-hoc basis.	1 (<0.01% of our Group's revenue)	2 (<0.01% of our Group's revenue)	3 (<0.01% of our Group's revenue)	3 (<0.01% of our Group's revenue)	2
		(iv) Sale of hardware by Knight Auto *(seller)* to Ekovest Construction *(buyer)* on an ad-hoc basis.	2 (<0.01% of our Group's revenue)	-	-	-	-

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

Notes:

(1) Percentage contributions are not available as there are no audited financial statements for the period from 1 October 2024 up to LPD for our Group.

(2) LSH Lighting was granted the subcontract work at an agreed contract sum of approximately RM8.41 million vide a letter of award dated 1 March 2017. The statement of final account for the contract work was issued in March 2021.

(3) LSH Lighting was granted the subcontract work at an agreed contract sum of approximately RM7.84 million vide a letter of award dated 28 December 2017. The statement of final account for the contract work was issued in March 2021.

(4) LSH Lighting was granted the subcontract work at an agreed contract sum of approximately RM0.53 million vide a letter of award dated 4 July 2016. The statement of final account for the contract work was issued in March 2021.

(xi) Other related party transactions

				Transaction value				
No.	**Transacting parties**	**Nature of relationship**	**Nature of transaction**	**FYE 2021**	**FYE 2022**	**FYE 2023**	**FYE 2024**	**From 1 October 2024 up to LPD[1]**
				(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**	**(RM'000)**
1.	ASSB *(seller)* and Lim Ding Shyong, Lim Wei Xin, Lim Wei Ling and Lim Seong Hai Property Sdn Bhd ("**LSH Property**") *(collectively, buyers)*	• LSH Resources is a major shareholder of our Company and the holding company of LSH Property • Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are major shareholders of our Company and LSH Property by virtue of their indirect interest in LSH Resources held through LSH Holdings. They are also directors of our Company whilst DLKG, Lim Pak Lian and Lim Keng Hun are directors of LSH Property	(i) Purchase of one (1) residential condominium unit of LSH Segar Project by Lim Ding Shyong, Lim Wei Xin and Lim Wei Ling *(collectively, buyers)* from ASSB *(seller)* vide a SPA dated 14 August 2023; and (ii) Purchase of eight (8) residential condominium units and two (2) units of Sky Bungalows of LSH Segar Project by LSH Property (*buyer)* from ASSB *(seller)* vide 10 separate SPAs, all dated 31 August 2023. These transactions were one-offs.	-	-	[2]2,075 (0.58% of our Group's revenue) [2]8,523 (2.38% of our Group's revenue)	-	-

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2021 (RM'000)	FYE 2022 (RM'000)	FYE 2023 (RM'000)	FYE 2024 (RM'000)	From 1 October 2024 up to LPD[1] (RM'000)
		• Lim Ding Shyong, Lim Wei Xin and Lim Wei Ling are the children of Tan Sri KC Lim. Lim Ding Shyong is also a director of our Company						
2.	Our Group (*tenants*) and LSH Property *(Landlord)*	• LSH Resources is a major shareholder of our Company and the holding company of LSH Property • Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are major shareholders of our Company and LSH Property by virtue of their indirect interest in LSH Resources held through LSH Holdings. They are also directors of our Company whilst DLKG, Lim Pak Lian and Lim Keng Hun are directors of LSH Property	Rental paid for the tenancy of the following: (i) all three (3) adjoining intermediate units of commercial shop lot located at the ground, first and second floors of the completed LSH 33 Project, also known as Laman Seri Harmoni (LSH 33) at Lot G-08, 09 & 10, Lot Level 1-08, 09 & 10, Lot Level 2- 08, 09 & 10, Laman Seri Harmoni (LSH 33), No. 3, Jalan Batu Muda Tambahan 3, Sentul, 51100 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur by LSH Lighting vide a tenancy agreement[3]. These properties are being used as LSH Lighting's retail store; and (ii) all three (3) adjoining intermediate units of commercial shop lot located at the ground floor of LSH 33 at Lot G-16, 17 & 18, Laman Seri Harmoni (LSH 33), No. 3, Jalan Batu Muda Tambahan 3, Sentul, 51100 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur by Knight Auto vide a tenancy agreement[3]. The property is being used as Knight Auto's retail store. These transactions are recurrent in nature and will subsist after the ACE Listing.	-	-	-	-	234

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

No.	Transacting parties	Nature of relationship	Nature of transaction	Transaction value				
				FYE 2021	FYE 2022	FYE 2023	FYE 2024	From 1 October 2024 up to LPD[1]
				(RM'000)	(RM'000)	(RM'000)	(RM'000)	(RM'000)
3.	Our Company *(issuer)* and Dato' Seri Ir. Hj. Mohd Noor Bin Yaacob ("**DSMN**") *(subscriber)*	• DSMN is the Independent Non-Executive Director of our Company	Subscription of 1,000,000 new Shares at an issue price of RM0.42 each by DSMN for a total cash consideration of RM420,000 vide a conditional share subscription agreement dated 28 March 2022. The said subscription was completed on 27 May 2022. This transaction was one-off.	-	420 (0.53% of our Group's NA)	-	-	-

Notes:

(1) Percentage contributions are not available as there are no audited financial statements for the period from 1 October 2024 up to LPD for our Group.

(2) Represents the discounted selling price as set out in the respective SPAs, notwithstanding that such revenue will be recognised by our Group on a progressive basis.

(3) The salient terms of the tenancy agreements between LSH Property and our Group are as follows:

Tenant/property	***Date of tenancy agreement***	***Tenure***	***Monthly rental rate***	
LSH Lighting *Lot G-08, 09 & 10, Lot Level 1-08, 09 & 10, Lot Level 2-08, 09 & 10, Laman Seri Harmoni (LSH 33)*	*29 November 2024*	*Three (3) years commencing from 29 November 2024 to 28 November 2027*	*RM51,148.30*	*From 29 November 2024 to 28 November 2027*
Knight Auto *Lot G-16. 17 & 18, Laman Seri Harmoni (LSH 33)*	*29 November 2024*	*Three (3) years commencing from 29 November 2024 to 28 November 2027*	*RM26,621.30*	*From 29 November 2024 to 28 November 2027*

The renewal term of the respective tenancies shall be agreed in writing between the respective parties at least six (6) months prior to the expiration of their respective existing terms. All the deposits payable under the tenancy agreement (which comprises rental, utilities, fit-out restoration and letter box deposit) shall be forfeited to the landlord if the tenant unilaterally terminates the tenancy before the expiry of the term. Additionally, the tenant shall forthwith pay to the landlord a sum equal to the monthly rental for the whole of the unexpired period of the tenancy term.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

The related party transactions entered into by our Company with the Promoters in relation to the acquisitions of the subsidiaries to form the current composition of our Group which are set out in Section 9.1.1(i) above, were transacted on fair, reasonable and on normal commercial terms, and are not detrimental to the interest of the non-interested shareholders of our Company. For information, the related party transactions listed under items (3) and (4) of Section 9.1.1(i) above were approved by the non-interested shareholders of our Company at the EGM held on 28 March 2023.

In addition, the Directors confirm that all the other related party transactions as set out above were carried out on arm's length basis and on normal commercial terms which are not more favourable to the related parties than those generally available to third parties and are not detrimental to our Group nor the minority shareholders, save for the following:

(i) tenancy arrangements with the related parties as listed under item (iii) of Section 9.1.1(ii)(c) as well as items (v) to (vii) of Section 9.1.1(iii) above, the rental rates of which are lower than the market rate for similar types of properties situated within the same localities, which are beneficial to our Group;

(ii) lower interest rate of 1.0% and 3.0% per annum for the loans provided by LSH Holdings to ASSB and ASES (as listed under item (ii) of Section 9.1.1(iv) above) as compared to the interest rate loan provided by a commercial bank, which are beneficial to our Group;

(iii) profit received and to be received under the BEST Collaboration Framework from related clients for the provision of consultancy services for their projects (as listed under item (iii) of Section 9.1.1(ii)(b), Section 9.1.1(ii)(d), item (iii) of Section 9.1.1(iv) and item (i) of Section 9.1.1(ix) above), the profit arrangement of which is commercially negotiated and agreed upon between the parties after taking into consideration the market practice and industry norm of a joint venture or collaboration arrangement of similar sort, and are not detrimental to the interest of the non-interested shareholders of our Company;

(iv) acquisition of cranes and other construction machinery by Knight Auto from ASSB (prior to the ASSB Acquisition) (as listed under item (ix) of Section 9.1.1(ii)(b) above), the terms of which are neither beneficial nor detrimental to our Group as the acquisition was transacted at carrying value and did not result in any gain or loss being recorded by our Group upon acquisition; and

(v) secondment of staff to support the operations of the related parties (as listed under item (x) of Section 9.1.1(ii)(b), item (v) of Section 9.1.1(vii) and item (vii) of Section 9.1.1(ix) above), the transacted values of which were substantially based on actual staff cost (i.e. staff salary and the relevant statutory contributions) and did not result in any substantial gain or loss being recorded by our Group. For information purpose, our Group has ceased such secondment activities since April 2024.

Save for the recurrent related party transactions ("**RRPTs**") which will subsist after the ACE Listing as disclosed above, the Directors also confirm that there are no other material related party transactions that have been effected after LPD or entered by our Group but not yet effected up to the date of this Prospectus.

In this regard, after the ACE Listing, we will seek the shareholders' ratification and mandate for the RRPTs mentioned above at the next annual general meeting, unless otherwise exempted under the ACE LR. In this respect, all interested shareholders as well as persons connected with them will abstain from voting on the resolutions with regard to such RRPTs.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

After the ACE Listing, we will also be required to seek the shareholders' approval each time we enter into a material related party transaction in accordance with the ACE LR. However, if the related party transactions are deemed as recurrent related party transactions, we may seek a general mandate from the shareholders to enter into these transactions without having to seek separate shareholders' approval each time we wish to enter into such related party transactions during the validity period of the mandate.

9.1.2 Related party transactions entered into that are unusual in their nature or condition

Our Group has not entered into any transaction that is unusual in its nature or condition, involving goods, services, tangible or intangible assets, with a related party for the Financial Years Under Review and for the period from 1 October 2024 up to LPD.

9.1.3 Loans made to or for the benefit of a related party

Our Group has not granted any loan to or for the benefit of a related party that is material to our Group for the Financial Years Under Review and for the period from 1 October 2024 up to LPD.

9.1.4 Financial assistance provided to or for the benefit of a related party

Save as disclosed below, our Group has not provided any financial assistance to or for the benefit of a related party for the Financial Years under Review and for the period from 1 October 2024 up to LPD:

	Amount				
	As at 30 September				As at
Nature of transaction and purpose	**2021**	**2022**	**2023**	**2024**	**LPD**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**	**(RM'000)**
Provision of corporate guarantee by ASSB to AmBank Islamic Berhad for credit facilities granted to Infinity Crane & Engineering Sdn Bhd ("**ICESB**") for the purchase of cranes with specific requirement that is required to complete ASSB's projects[(1),(2)].	-	-	4,161 (0.99% of our Group's NA)	2,060 (0.43% of our Group's NA)	-
For the relationship between ICESB and the related parties, please refer to Section 9.1.1(vii) above.					

Notes:

*(1) To facilitate the overall construction of bridge structure works for the mainline for SPE-DUKE Phase 3 Section 1 – Kerinchi to Salak project ("**Kerinchi Project**"), heavy lifting cranes with certain specifications were required. As neither Knight Auto nor ICESB had such cranes in their then existing fleet, and cranes of such specifications fall under the category of heavy lifting machinery offered by ICESB, ASSB had provided the abovementioned corporate guarantee to facilitate ICESB's purchase and deployment of such crane to ensure the Kerinchi Project is completed expeditiously.*

(2) The said corporate guarantee has been fully discharged on 15 October 2024.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

9.2 MONITORING AND OVERSIGHT OF RELATED PARTY TRANSACTIONS

9.2.1 Audit and Risk Management Committee's review

Our Audit and Risk Management Committee:

(i) reviews related party transactions and conflict of interest situations that may arise within our Group including any transaction, procedure or course of conduct that raises questions of management integrity;

(ii) reviews the adequacy of the procedures and processes in place in monitoring the related party transactions and conflict of interest situations to ensure compliance with the Act, the ACE LR and other legislative and reporting requirements; and

(iii) sets the procedures and processes to ensure that transactions are carried out in the best interest of our Company, on an arm's length basis and are based on normal commercial terms which are not more favourable to the related party than those generally available to third parties, and are not detrimental to the minority shareholders, including ensuring related parties who are in a position of conflict with the interest of our Group to abstain from deliberation and/or voting on the transactions.

All reviews by our Audit and Risk Management Committee are reported to our Board for its further action.

9.2.2 Our Group's policy on related party transactions

Related party transactions by their very nature, involve conflict of interest between our Group and the related parties with whom our Group has entered into such transactions. As disclosed in this Prospectus, some of the Directors and/or major shareholders are also directors and, in some cases, shareholders of the related parties of our Group, and with respect to these related party transactions, may individually and/or in aggregate have conflict of interest.

It is the policy of our Group that –

(i) all related party transactions that are transacted based on purchase order ("**PO-based RPTs**") and are below our Group's materiality threshold shall be subject to review, deliberation and approval by our Management before proceeding. Our Audit and Risk Management Committee and non-interested Directors shall review and deliberate all PO-based RPTs entered by our Management on a quarterly basis;

(ii) all PO-based RPTs that are valued above our Group's materiality threshold shall be subject to review and deliberation by our Management and Audit and Risk Management Committee as well as approval by the non-interested Directors of our Board;

(iii) all contract-based related party transactions regardless of value shall be subject to review and deliberation by our Audit and Risk Management Committee as well as approval by the non-interested Directors of our Board; and

(iv) as part of the review and deliberation by our Management and/or Audit and Risk Management Committee under items (i) to (iii) above, our Management and/or Audit and Risk Management Committee must ensure that the terms of such related party transactions are negotiated, agreed upon and carried out in the best interest of our Company, on an arm's length basis and are based on normal commercial terms which are not more favourable to the related party than those generally available to third parties, and are not detrimental to the minority shareholders.

9. RELATED PARTY TRANSACTIONS *(Cont'd)*

We have adopted a governance framework that meets best practice principles to mitigate any potential conflict of interest situation and this framework complies with the ACE LR and adheres to the best extent possible with the guidance principles set out in the Malaysian Code on Corporate Governance. The procedures which form part of this framework include the requirement of our Directors to declare any direct or indirect interest that they may have in any business arrangement, whether or not they believe it is a material transaction. Upon such disclosure, the interested Director shall be required to abstain from deliberation and voting on any resolution related to the related party transaction. All existing or potential related party transactions would also be required to be disclosed by the interested party for management reporting. Our Management will then propose the transactions to our Audit and Risk Management Committee for review and deliberation which would in turn, make the appropriate recommendations for approval by the non-interested Directors of our Board.

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10. CONFLICT OF INTEREST

10.1 INTEREST IN BUSINESSES AND CORPORATIONS WHICH CARRY ON A SIMILAR TRADE AS THAT OF OUR GROUP OR WHICH ARE OUR CUSTOMERS OR SUPPLIERS

As at LPD, save as disclosed below, none of our Directors and/or substantial shareholders have any interest, whether direct or indirect, in other businesses or corporations which are (i) carrying on a similar trade as that of our Group; or (ii) our customers or suppliers:

No.	Name of entity	Principal activity	Nature of interest as at LPD
1.	LSH Holdings[(i), (ii)]	Investment holding, property development and provision of moneylending service	• LSH Holdings through its interest in LSH Resources, is our Promoter and substantial shareholder • Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are our Promoters, directors and substantial shareholders. They are also directors and shareholders of LSH Holdings, each holding 25.00% direct equity interest therein
2.	Lim Seong Hai Construction And Company ("**LSHCC**")[(i), (ii)]	General contractor including civil engineering contractor	• Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun are our Promoters, directors and substantial shareholders. They are also partners and ultimate owners of LSHCC
3.	Infinity Crane & Engineering Sdn Bhd ("**ICESB**")[(i), (ii)]	Transportation and rental of crane, machinery and equipment	• LSH Holdings which is our Promoter and substantial shareholder, also holds 50.00% direct equity interest in ICESB • Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun who are our Promoters, directors and substantial shareholders, also have interest in ICESB through their interests in LSH Holdings • DLKG and Lim Pak Lian are also directors of ICESB
4.	Costa Sutra Sdn Bhd ("**Costa Sutra**") [(i), (ii)]	Trader in lighting and electrical products and its related accessories	• Tan Sri KC Lim, DLKG and Lim Keng Hun are our Promoters, directors and substantial shareholders. They are also shareholders of Costa Sutra, each holding 16.67% direct equity interest therein • DLKG is also a director of Costa Sutra • Lim Pak Lian is our Promoter, director and substantial shareholder. Her spouse, Lor Siew Hung, is a director and shareholder of Costa Sutra, holding the remaining 50.00% direct equity interest therein
5.	Besteel Engtech Sdn Bhd ("**BESB**")[(i), (ii)]	Property development, construction, project management, engineering services, maintenance services and general trading	• DLKG is our Promoter, Non-Independent Executive Vice Chairman and substantial shareholder. He is also a director and shareholder of BESB, holding 39.00% direct equity interest therein

10. CONFLICT OF INTEREST *(Cont'd)*

No.	Name of entity	Principal activity	Nature of interest as at LPD
6.	Ekovest Berhad ("**Ekovest**")[(i), (ii)]	Investment holding company principally involved in civil engineering and construction works, property development and investment, toll operations, as well as plantation and agricultural (through its 61.57% equity interest in PLS Plantations Berhad as at LPD, a public company listed on the Main Market of Bursa Securities) Among others, Ekovest's subsidiaries include Nuzen Corporation Sdn Bhd ("**NCSB**"), which is the holding company of: (i) Konsortium Lebuhraya Utara-Timur (KL) Sdn Bhd ("**Kesturi**") and Lebuhraya Duke Fasa 3 Sdn Bhd ("**LDF3SB**"), both of which are principally involved in the design, construction, operation, management and maintenance of highways; and (ii) Lebuhraya Duke Fasa 2A Sdn Bhd ("**LDF2ASB**"), which is inactive	• Tan Sri KC Lim is our Promoter, Non-Independent Non-Executive Chairman and substantial shareholder. He is also a Non-Independent and Non-Executive Director of Ekovest, the Managing Director of Kesturi and a director of NCSB, LDF3SB and LDF2ASB • LSH Holdings which is our Promoter and substantial shareholder, also holds approximately 2.89% direct equity interest in Ekovest • Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun who are our Promoters, directors and substantial shareholders, also have interest in Ekovest through their interests in LSH Holdings
7.	Credence Resources Sdn Bhd ("**Credence**")[(i)]	Investment holding company which holds 63.13% equity interest in Iskandar Waterfront Holdings Sdn Bhd ("**IWH**") as at LPD, a company that is principally engaged in the business of investment holding under the Public-Private-Partnership (PPP) model under which its key subsidiaries are master developers focusing on urban and economic corridor development within Flagship Zone A of Iskandar Malaysia, Johor For information, IWH also holds 33.42% equity interest in Iskandar Waterfront City Berhad ("**IWCity**") as at LPD, a public company listed on the Main Market of Bursa Securities and through its subsidiaries, is principally involved in property development and investment	• Tan Sri KC Lim is our Promoter, Non-Independent Non-Executive Chairman and substantial shareholder. He is also a director and shareholder of Credence, holding 5.00% equity interest therein • Tan Sri KC Lim is also a director of some of the subsidiaries, associates and joint ventures of Credence which are principally involved in, among others, property development and construction works as follows: (i) Casa Green City Sdn Bhd; (ii) Cendana Tunggal Sdn Bhd; (iii) Danga Bay Sdn Bhd; (iv) Danga Heights Development Sdn Bhd; (v) Global Corporate Development Sdn Bhd; (vi) Iskandar Waterfront Sdn Bhd ("**IWSB**"); (vii) KST Assets Sdn Bhd; (viii) Rampai Fokus Sdn Bhd; (ix) Riverside Terra Sdn Bhd; (x) Sanctuary Bay Sdn Bhd; (xi) Selat Cipta Sdn Bhd; (xii) Tropicana Danga Bay Resort Sdn Bhd;

10. CONFLICT OF INTEREST *(Cont'd)*

No.	Name of entity	Principal activity	Nature of interest as at LPD
			(xiii) Tropicana Danga Bay Sdn Bhd; (xiv) Tropicana Danga Cove Sdn Bhd; (xv) Vestfield Project Management Sdn Bhd; (xvi) Vestfield Properties Sdn Bhd; (xvii) Vestfield Waterfront Development Sdn Bhd; (xviii) Vestfield Waterfront Sdn Bhd; and (xix) Vestfield World Sdn Bhd. • DLKG is our Promoter, Non-Independent Executive Vice Chairman and substantial shareholder. He is also a Non-Independent Non-Executive Director of IWCity and an alternate director to Tan Sri KC Lim in IWSB, Tropicana Danga Cove Sdn Bhd and Vestfield World Sdn Bhd
8.	Affluent Venue Sdn Bhd ("**Affluent Venue**")[(i)]	Property development	• Tan Sri KC Lim is our Promoter, Non-Independent Non-Executive Chairman and substantial shareholder. He is also a director and shareholder of Affluent Venue, holding 5.00% direct equity interest therein
9.	Cempaka Jujur Sdn Bhd ("**Cempaka Jujur**")[(i)]	Property development	• Tan Sri KC Lim is our Promoter, Non-Independent Non-Executive Chairman and substantial shareholder. He is also a director with interest in Cempaka Jujur vide his shareholding of 5.00% in Kapital Rezeki Sdn Bhd ("**Kapital Rezeki**"), the holding company of Kris Metro Sdn Bhd ("**Kris Metro**") which is a 70.00%-shareholder of Cempaka Jujur
10.	Falcon Unigreen Sdn Bhd ("**Falcon Unigreen**")[(i)]	Property development, civil engineering and contractor works	• Tan Sri KC Lim is our Promoter, Non-Independent Non-Executive Chairman and substantial shareholder. He is also a director with interest in Falcon Unigreen vide his shareholding of 5.00% in Swan Atlantic Sdn Bhd, being the indirect holding company of Falcon Unigreen through Strait Bay Sdn Bhd
11.	Teras Hijaujaya Sdn Bhd ("**Teras Hijaujaya**")[(i)]	Property development	• Tan Sri KC Lim is our Promoter, Non-Independent Non-Executive Chairman and substantial shareholder. He is also a director and shareholder of Teras Hijaujaya, holding 5.00% direct equity interest therein
12.	Uniregion Sdn Bhd ("**Uniregion**")[(i)]	Property development, civil engineering works and building contractor	• Tan Sri KC Lim is our Promoter, Non-Independent Non-Executive Chairman and substantial shareholder. He is also a director with interest in Uniregion vide his shareholding of 5.00% in Swan Atlantic Sdn Bhd, the holding company of Uniregion

10. CONFLICT OF INTEREST *(Cont'd)*

No.	Name of entity	Principal activity	Nature of interest as at LPD
13.	Seal Incorporated Berhad ("**Seal Incorporated**")[(i)]	Property investment, building contractor, project manager for property development, and extraction and sale of timber	• Lee Swee Kheng is our Independent Non-Executive Director. She is also the Independent Non-Executive Chairman of Seal Incorporated
14.	Miramas Properties Sdn Bhd ("**Miramas Properties**")[(i)]	Real property and housing development	• Dato' Wang Sze Yao @ Wang Ming Way is our Independent Non-Executive Director. He is also a shareholder of Miramas Properties, holding 5.00% direct equity interest therein

Notes:

(i) Similar trade as that of our Group.

(ii) Customer and/or supplier of our Group.

For information purposes, Tan Sri KC Lim also has interest in the following investment holding companies that hold land banks for investment purposes (collectively, the "**Other Investment Holding Companies**"):

No.	Name of entity	Nature of investment	Nature of interest as at LPD
1.	Nautical Triangle Sdn Bhd[(1)]	Property investment holding one (1) piece of vacant land in Johor	• Director
2.	Tunas Melati Sdn Bhd[(1)]	Property investment holding one (1) piece of vacant land in Negeri Sembilan	• Director
3.	Empomas Holdings Sdn Bhd[(2)]	Property investment holding of vacant lands in Johor	• Director
4.	Layar Suria Sdn Bhd[(2)]	Property investment holding one (1) piece of vacant land in Johor	• Director
5.	Strait Bay Sdn Bhd[(2)]	Property investment holding of vacant lands in Johor	• Director
6.	Ritz Care Sdn Bhd[(3)]	Property investment holding one (1) piece of vacant land in Johor	• Director
7.	Trident World Sdn Bhd	Property investment holding one (1) piece of vacant land in Johor	• Director and shareholder with 5.00% direct equity interest

Notes:

(1) This entity is wholly-owned by Chai Choon Holdings Sdn Bhd, a company which Tan Sri KC Lim is also a director and shareholder holding 6.00% direct equity interest therein.

(2) This entity is wholly-owned Swan Atlantic Sdn Bhd, a company which Tan Sri KC Lim is also a director and shareholder holding 5.00% direct equity interest therein.

(3) This entity is a subsidiary of Affluent Venue.

10. CONFLICT OF INTEREST *(Cont'd)*

In addition to the above, Lee Swee Kheng is also a director of Mighty Symphony Sdn Bhd ("**Mighty Symphony**"), a company that is principally involved in investment holding and owns two (2) parcels of residential lands in Selangor which are held for investment purposes.

(i) LSH Holdings

LSH Holdings, our Promoter and substantial shareholder, is principally involved in investment holding, property development and provision of moneylending service, some of which are similar trade as that of our Group. For the avoidance of doubt, LSH Holdings is not part of the listing Group.

As at LPD, LSH Holdings and its indirect subsidiary, Airman Sdn Bhd, own several parcels of vacant lands across the Klang Valley region. In addition, LSH Holdings is also a customer of our Group as LSH Holdings has:

(a) engaged our Group to undertake construction works and/or provide construction-related services and solutions under our BEST Collaboration Framework for the design and build of the Sentul Ria Project and for its Wisma LSH Extension Project; and

(b) purchased M&E products from our Group.

Please refer to Section 9.1.1(iv) of this Prospectus for further details of these transactions between our Group and LSH Holdings.

Our Board (save for Tan Sri KC Lim, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) is of the view that any existing and potential conflict of interest situation as a result of the involvement and interest of our Promoters in LSH Holdings are mitigated by the following:

(a) LSH Holdings has appointed our subsidiary, ASSB, as the main contractor for the construction of the Sentul Ria Project and engaged LSHBB to provide value-engineering constructions services and solutions under our BEST Collaboration Framework for the Sentul Ria Project. In doing so, LSH Holdings has effectively transferred a substantial portion of the economic benefits that can be derived from the Sentul Ria Project to our Group without having our Group incur a high amount of upfront capital outlay to acquire the land where the Sentul Ria Project is situated or to secure the development right for the Sentul Ria Project. Such economic benefits include the total contract value of approximately RM103.89 million for construction works carried out as main contractor, as well as 75% of the remaining gross profit of the Sentul Ria Project (i.e. after deducting all the relevant operating and administrative expenses attributable to the said project) for value-engineering constructions services and solutions provided under our BEST Collaboration Framework. This approach also allows us to dispense with the need to go through the long and arduous process involved in transferring/re-applying for the development approvals for the Sentul Ria Project to/under our Company's name, thereby enabling our Group to participate in the project's financial gains without disrupting the project's development timeline;

(b) LSH Holdings has also appointed our subsidiary, ASSB, as the main contractor for the construction of its Wisma LSH Extension Project, entitling our Group to the construction orderbook for the scope of construction works that was awarded to our Group;

10. CONFLICT OF INTEREST *(Cont'd)*

(c) the Promoters have jointly and severally granted a right of first refusal ("**ROFR**") to our Group to participate in the development of the vacant lands which are currently owned or that may be owned in the future by LSH Holdings, its subsidiaries or other entities directly or indirectly owned or controlled by the Promoters ("**Existing and Future Lands**"), if the Promoters wish to develop the Existing and Future Lands. In this regard, depending on which approach is more economically advantageous for our Group, our Group shall have the following options to participate in the development of the Existing and Future Lands:

(aa) direct acquisition of the Existing and Future Lands or the entities holding the ownership of the Existing and Future Lands by our Group at a purchase consideration of no more than the market value appraised by an independent valuer;

(bb) acquisition of the development rights attached to the Existing and Future Lands by our Group to undertake the development as the developer based on market value appraised by an independent valuer and on normal commercial terms that are on arm's length basis; or

(cc) appointment of our Group as the main contractor for the development of the Existing and Future Lands, i.e. similar to the business arrangement for the Sentul Ria Project as mentioned above.

For the avoidance of doubt, the Promoters can only proceed with their own plans with the Existing and Future Lands if we decline the ROFR to participate in the development of such landbank;

(d) the Promoters have also provided their written undertaking to our Company to not engage in any property development and construction activities outside our Group, save for the Sentul Ria Project which is currently ongoing, the Existing and Future Lands for which our Group has declined to exercise the ROFR as detailed in item (c) above, as well as the minimum number and value of construction projects required by LSHCC to remain active to facilitate the renewal of its certificate of registration as a G4 contractor with the CIDB as further detailed in Section 10.1(ii) below; and

(e) any related party transactions involving LSH Holdings will be governed by our internal controls and corporate governance policies. These policies and procedures include the following:

(aa) full disclosure and declaration by all Directors of any direct or indirect interest that they may have in any transaction;

(bb) abstention by the interested Directors from deliberating and voting on the resolution relating to such related party transaction at the relevant Board meetings;

(cc) the review by our Audit and Risk Management Committee on all related party transactions to ensure that the terms of the related party transactions are fair and based on arm's length principles, reflecting normal commercial terms which are not more favourable to the related party than what is typically available to third parties, and are not detrimental to our minority shareholders; and

(dd) abstention by the interested Directors and person(s) connected with the interested Directors who are also our shareholders from voting on the resolution relating to such related party transaction at the relevant shareholders' meeting if shareholders' approval is required.

(collectively referred to as the "**RPT Policies and Procedures**")

For further details of the RPT Policies and Procedures, please refer to Section 9.2.2 of this Prospectus.

(ii) LSHCC

LSHCC is a partnership established in 1975 to take over the construction business of Lim Seong Hai Construction, a sole proprietorship founded by Mr. Lim Seong Hai in 1966, the late father of Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun (collectively, the "**Lim Siblings**"). As at LPD, the Lim Siblings are the partners and ultimate owners of LSHCC. For the avoidance of doubt, LSHCC is not part of the listing Group.

LSHCC is a G4 contractor registered with the CIDB with a tender limit of RM3.00 million. As such, LSHCC is involved in similar trade as that of our Group.

As at LPD, the only ongoing construction project undertaken by LSHCC is for the piling and reinforced concrete works for LSH Holdings' Wisma LSH Extension Project, the contract of which was awarded by ASSB as the main contractor. LSHCC has also purchased building materials and rented cranes and other construction machinery from our Group to perform its construction works. Please refer to Section 9.1.1(vi) of this Prospectus for further details of these transactions between our Group and LSHCC.

Our Board (save for Tan Sri KC Lim, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) is of the view that any existing and potential conflict of interest situation as a result of the involvement and interest of the Lim Siblings in LSHCC are mitigated by the following:

(a) LSHCC is not in direct competition with our Group due to its classification as a G4 contractor with a tender limit of RM3.00 million, whereas our Group's construction activities span broader horizons as a G7 contractor without any tender limit, which is the principal focus of our Group having considered our Group's limited capacity and resources;

(b) the Lim Siblings and LSHCC have also provided written undertaking to our Company that:

(aa) they will not upgrade the certificate of registration of LSHCC as construction contractor with the CIDB beyond the existing G4 grade;

(bb) LSHCC will only, to the extent practicable, undertake such minimum number and value of construction projects required to remain active to facilitate the renewal of its certificate of registration as a G4 contractor, and in any event the total value of construction projects that it undertake shall not exceed RM3.00 million annually or such other minimum requirement as may be imposed by the CIDB as a criterion for the renewal of the certificate of registration as a G4 contractor from time to time; and

(cc) LSHCC shall only undertake construction projects in the form of subcontract works offered by our Group through an open tender; and

(c) any related party transactions involving LSHCC will be governed by our RPT Policies and Procedures.

For information, LSHCC carries significant sentimental value to the Lim Siblings given that LSHCC traces its roots back to the original sole proprietorship founded by their late father. In this regard, the Lim Siblings have maintained LSHCC's operations over the years by taking on small scale construction projects to facilitate the renewal of its certificate of registration as G4 contractor upon its expiry as a means of honouring their late father's legacy, and they intend to continue to do so and preserve the legacy of their late father.

(iii) ICESB

ICESB is principally involved in the transportation and rental of crane, machinery and equipment, which is similar trade to one of the business segments of our Group. In addition, ICESB is a supplier of our Group for construction works (as subcontractor) and the rental of lorries, cranes and other construction machinery. ICESB is also a customer of our Group which purchases our M&E products, hardware and machinery, and also rents our cranes. Please refer to Section 9.1.1(vii) of this Prospectus for further details of these transactions between our Group and ICESB.

Our Board (save for Tan Sri KC Lim, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) is of the view that the involvement and interest of our Promoters in ICESB does not give rise to any existing and potential conflict of interest situation with our Group for the following reasons:

(a) whilst our Group is also engaged in the business of rental of construction machinery and equipment through Knight Auto, ICESB is not in competition with our Group. The size, capacity and/or specifications of machinery which Knight Auto specialises in providing rental services for are different from that of ICESB. For example, Knight Auto specialises in smaller capacity cranes (ranging from 8 to 55 tonnes), whilst ICESB specialises in heavy lifting machinery (i.e. larger capacity cranes ranging from 80 to 700 tonnes). ICESB also possesses expertise in specialised services such as dismantling and removing large capacity cranes upon completion of a construction project, an expertise which Knight Auto does not possess;

(b) ICESB is managed by its own management team and neither DLKG nor Lim Pak Lian participate in any day-to-day management or operations and decision making at ICESB. As such, the involvement of DLKG and Lim Pak Lian as directors in ICESB does not involve any executive capacity and does not affect their executive roles in our Group; and

(c) any related party transactions involving ICESB will be governed by our RPT Policies and Procedures.

(iv) Costa Sutra

Costa Sutra is principally involved in the trading of lighting and electrical products and its related accessories as a wholesaler, which is similar trade to one of the business segments of our Group. Costa Sutra is also a supplier of lighting products for our Group. Please refer to Section 9.1.1(viii) of this Prospectus for further details of these transactions between our Group and Costa Sutra.

10. CONFLICT OF INTEREST *(Cont'd)*

Our Board (save for Tan Sri KC Lim, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) is of the view that the involvement and interest of our Promoters in Costa Sutra does not give rise to any existing and potential conflict of interest situation with our Group for the following reasons:

(a) Costa Sutra is not in competition with our Group's business of the provision of lighting products given that we have distinct and separate customer bases. Costa Sutra only operates as an importer and wholesale supplier of lighting products for lighting retailers and outlets. Unlike our Group, Costa Sutra does not supply lighting goods to project contractors and property developers and does not have any retail outlets for the sale of its lighting products directly to retail customers;

(b) our Group is not dependent on Costa Sutra as a supplier of lighting products as our Group sources our lighting products from a wide network of suppliers which are able to offer similar lighting products which could serve as alternatives for our Group. For the FYEs 2021, 2022, 2023 and 2024, the total value of lighting products supplied by Costa Sutra to our Group amounted to approximately RM2.41 million, RM3.22 million, RM2.59 million and RM2.95 million, representing approximately 4.81%, 3.28%, 1.02% and 1.26% of our Group's cost of sales, respectively;

(c) Costa Sutra is managed by its own management team and neither DLKG nor the other Promoters participate in any day-to-day management or operations and decision making at Costa Sutra. As such, DLKG's involvement as a director in Costa Sutra does not involve any executive capacity and does not affect his executive role in our Group; and

(d) any related party transactions involving Costa Sutra will be governed by our RPT Policies and Procedures.

(v) BESB

The principal activities of BESB are property development, construction, project management, engineering services, maintenance services and general trading, some of which are similar trade as that of our Group.

Similar to our Group, BESB is also a G7 contractor and is eligible to bid for construction projects with no tender limit. However, unlike our Group, BESB holds a '*Sijil Taraf Bumiputera*' (Bumiputera Status Certificate) ("**STB**") issued by the Ministry of Entrepreneur and Cooperatives Development, Malaysia which allows it to participate in tenders issued for Bumiputera contractors only.

Furthermore, BESB is also eligible to participate in government procurement in the field of construction according to the qualifications set out in the Treasury Circular No. 6 of 2012 and the amended Treasury Instruction No. 3 of 2012 by the Ministry of Finance, Malaysia ("**Government Procurement**") given that it also holds the '*Sijil Perolehan Kerja Kerajaan*' (Government Employment Certificate) ("**SPKK**") issued by the CIDB. For information, presently, our Group does not hold the SPKK and is unable to participate in Government Procurement. However, our Group may apply for the SPKK in the future, and participate in Government Procurement on its own, provided that such tenders are not restricted to Bumiputera contractors only.

10. CONFLICT OF INTEREST *(Cont'd)*

In addition, BESB is also a customer of our Group as it has engaged our Group to undertake several construction and engineering works as well as provide construction-related services and solutions under our Group's BEST Collaboration Framework for its projects. BESB also rents cranes, other construction machinery and equipment, as well as purchases building materials, M&E products, hardware and machinery from our Group. Please refer to Section 9.1.1(ix) of this Prospectus for further details of these transactions between our Group and BESB.

Our Board (save for Tan Sri KC Lim, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) is of the view that any existing and potential conflict of interest situation as a result of the involvement and interest of DLKG in BESB are mitigated by the following:

(a) BESB and our Group do not compete with each other in the same construction space. In regulating competition between BESB and our Group, the parties have on 5 August 2024 executed a letter of collaboration based on the following terms:

(aa) BESB will only bid for construction projects for which the tender specifies the STB and/or SPKK as requirement(s);

(bb) if our Group obtains the SPKK in the future, BESB will immediately cease to bid for construction projects for which the tender specifies the SPKK as a requirement unless such tender is restricted to Bumiputera contractors with STB only; and

(cc) in the event BESB carries out any other property development projects in the future, it will endeavour to, wherever possible, grant a ROFR to our Group to participate as a main contractor in the said project.

Such undertaking provides a clear demarcation between the type of contracts which BESB and our Group will bid for in the future;

(b) BESB has been appointing our Group as the main contractor or subcontractor (as the case may be) and BEST Collaboration Framework partner for several of its construction and property development projects, entitling our Group to the construction orderbook for the scope of construction works that our Group is able and has been appointed to undertake, as well as the profit of some of these projects (i.e. 75% of the remaining gross profit of the projects (i.e. after deducting all the relevant operating and administrative expenses attributable to the project)) within the BEST Collaboration Framework;

(c) BESB is managed by its own management team and DLKG does not participate in any day-to-day management or operations and decision making at BESB. DLKG's involvement as a director in BESB is purely an oversight role and does not involve any executive capacity which affects his executive role in our Group; and

(d) any related party transactions involving BESB will be governed by our RPT Policies and Procedures.

10. CONFLICT OF INTEREST *(Cont'd)*

(vi) Ekovest

Ekovest is a public company listed on the Main Market of Bursa Securities. Through its subsidiaries and jointly-controlled entities, Ekovest is principally involved in, among others, civil engineering and construction works as well as property development, which are similar trade as that of our Group.

Ekovest Construction Sdn Bhd, a wholly-owned subsidiary of Ekovest, is also a customer of our Group which purchases our hardware, lighting and related M&E products as well as engages our Group for engineering works. Please refer to Section 9.1.1(x) of this Prospectus for further details of these transactions between our Group and Ekovest Construction Sdn Bhd.

Our Board (save for Tan Sri KC Lim, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) is of the view that any existing and potential conflict of interest situation which may arise from the involvement and interest of the Promoters in Ekovest are mitigated by the following:

(a) Tan Sri KC Lim does not hold any executive position in our Group. The day-to-day management or operations and decision making of our Group is carried out by our Directors who hold executive roles and our Key Senior Management. Tan Sri KC Lim's role as our Non-Independent Non-Executive Chairman is only to provide strategic directions to our Group and to act as oversight to our Board;

(b) For information, Tan Sri KC Lim was re-designated from the position of Managing Director to Non-Independent Non-Executive Director of Ekovest with effect from 6 March 2024. He no longer participates in the day-to-day management or operations and decision making at Ekovest since then.

He has also resigned from his directorships in Ekovest Construction Sdn Bhd and all other subsidiaries of Ekovest, save for NCSB and its subsidiaries, namely (i) Kesturi and LDF3SB which both are presently involved in the operation and maintenance of highways, the business activities of which are dissimilar to that of our Group as at LPD; and (ii) LDF2ASB which is currently inactive. In this regard, Tan Sri KC Lim has also provided a written undertaking to our Company that he will relinquish his directorships in all of these subsidiaries of Ekovest that are involved in the operation and maintenance of highways, should our Group venture into the design, construction, operation, management and maintenance of highways in the future;

(c) the Promoters' shareholding in Ekovest of approximately 2.89% (i.e. which is held through LSH Holdings) as at LPD is not substantial and is held purely for investment purpose;

(d) our Group is not dependent on Ekovest and its group of companies ("**Ekovest Group**") as our customer as the value of transactions involving Ekovest Group as a customer represents approximately 0.45% of our Group's revenue for the FYE 2021, and less than 0.01% of our Group's revenue for the FYEs 2022, 2023 and 2024; and

(e) any related party transactions involving Ekovest Group will be governed by our RPT Policies and Procedures. Similarly, Ekovest being a public listed company also has its internal controls and corporate governance policies to oversee and regulate matters relating to conflict of interest and related party transactions.

10. CONFLICT OF INTEREST *(Cont'd)*

(vii) Credence

Credence is an investment holding company with interest in several entities which carry on similar trade as that of our Group, i.e. construction and property development.

Our Board (save for Tan Sri KC Lim, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) is of the view that any existing and potential conflict of interest situation which may arise from the involvement and interest of Tan Sri KC Lim and/or DLKG in Credence and some of its entities are mitigated by the following:

(a) Tan Sri KC Lim does not hold any executive position in our Group. The day-to-day management or operations and decision making of our Group is carried out by our Directors who hold executive roles and our Key Senior Management. Tan Sri KC Lim's role as our Non-Independent Non-Executive Chairman is only to provide strategic directions to our Group and to act as oversight to our Board;

(b) Tan Sri KC Lim's shareholding in Credence of 5.00% is held purely for investment purpose. Tan Sri KC Lim's and DLKG's directorships in Credence and some of its entities only serve to safeguard Tan Sri KC Lim's minority shareholdings in these entities as the value of Tan Sri KC Lim's 5.00% shareholdings in Credence is substantial.

For information, DLKG was re-designated from the position of Executive Director to Non-Independent Non-Executive Director of IWCity, a subsidiary of Credence, with effect from 8 March 2024 and is no longer involved in any executive capacity in IWCity. As such, both Tan Sri KC Lim and DLKG are not involved in the day-to-day management or operations and decision making of Credence group; and

(c) any related party transactions involving Credence will be governed by our RPT Policies and Procedures. Similarly, IWCity being a public listed company, also has its internal controls and corporate governance policies to oversee and regulate matters relating to conflict of interest and related party transactions.

(viii) Other entities which Tan Sri KC Lim has interest in

Tan Sri KC Lim also has interest in the following entities which carry on similar trade as that of our Group:

(a) Affluent Venue, Cempaka Jujur and Teras Hijaujaya, which are principally involved in property development;

(b) Falcon Unigreen and Uniregion, which are principally involved in property development, civil engineering and building contractor works.

Tan Sri KC Lim also has interest in the Other Investment Holdings Companies.

Our Board (save for Tan Sri KC Lim, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) is of the view that any existing and potential conflict of interest situation which may arise from the involvement and interest of Tan Sri KC Lim in Affluent Venue, Cempaka Jujur, Teras Hijaujaya, Falcon Unigreen, Uniregion and Other Investment Holdings Companies (collectively, the "**Other Related Entities**") are mitigated by the following:

(aa) Tan Sri KC Lim does not hold any executive position in our Group. The day-to-day management or operations and decision making of our Group is carried out by our Directors who hold executive roles and our Key Senior Management. Tan Sri KC Lim's role as our Non-Independent Non-Executive Chairman is only to provide strategic directions to our Group and to act as oversight to our Board;

10. CONFLICT OF INTEREST *(Cont'd)*

(bb) similar to the non-executive directorship held by Tan Sri KC Lim in our Group, Tan Sri KC Lim's involvement as director in the Other Related Entities does not involve any executive capacity and he is not involved in the day-to-day management or operations of any of these entities; and

(cc) Tan Sri KC Lim's effective equity interest ranging from 3.50% to 6.00% in the Other Related Entities are held purely for investment purpose.

(ix) Seal Incorporated

Seal Incorporated is a public company listed on the Main Market of Bursa Securities. Seal Incorporated is principally involved in property investment, building contractor, project manager for property development and extraction and sale of timber, while its subsidiaries are involved in, among others, property development and construction of buildings, which are similar trade as that of our Group.

Our Board (save for Lee Swee Kheng) is of the view that the involvement of Lee Swee Kheng as the Independent Non-Executive Chairman of Seal Incorporated does not give rise to any existing or potential conflict of interest situation with our Group as she is not involved in the day-to-day operations of the business of Seal Incorporated as its daily operations are managed by its own key senior management team, similar to her non-executive directorship held in our Company. Lee Swee Kheng only attends meetings of the board of directors on which she serves and accordingly discharges her principal areas of responsibilities as an independent director of the company.

(x) Miramas Properties

Miramas Properties is principally involved in the real property and housing development, which are similar trade as that of our Group.

Our Board (save for Dato' Wang Sze Yao @ Wang Ming Way) is of the view that the interest of Dato' Wang Sze Yao @ Wang Ming Way in Miramas Properties does not give rise to any existing or potential conflict of interest situation with our Group as his 5.00% direct equity interest therein is held purely for investment purpose. Similar to his non-executive directorship held in our Company, Dato' Wang Sze Yao @ Wang Ming Way is not involved in the day-to-day operations of Miramas Properties as its daily operations are managed by its own management team.

(xi) Mighty Symphony

Mighty Symphony is principally involved in investment holding and owns two (2) parcels of residential lands in Selangor which are held for investment purposes.

Our Board (save for Lee Swee Kheng) is of the view that the involvement of Lee Swee Kheng in Mighty Symphony does not give rise to any existing or potential conflict of interest situation with our Group as she is not involved in the day-to-day operations of Mighty Symphony as its daily operations are managed by its own management team, similar to her non-executive directorship held in our Company.

10. CONFLICT OF INTEREST *(Cont'd)*

10.2 DECLARATION BY ADVISERS ON CONFLICTS OF INTEREST

10.2.1 AmInvestment Bank

AmInvestment Bank is a wholly-owned subsidiary of AMMB Holdings Berhad ("**AMMB**"). AMMB and its group of companies (collectively, "**AmBank Group**") form a diversified financial group and are engaged in a wide range of transactions relating to, among others, investment banking, commercial banking, private banking, brokerage, securities trading, asset and funds management as well as credit transaction services businesses. AmBank Group's securities business is primarily in the areas of securities underwriting, trading and brokerage activities, foreign exchange, commodities and derivatives trade.

In the ordinary course of their businesses, any member of the AmBank Group may at any time extend services to any company as well as hold long or short positions, and trade or otherwise effect transactions, for its own account or the account of its clients, in debt or equity securities or senior loans of any company. Accordingly, there may be situations where parts of the AmBank Group and/or its existing or future clients, may have interests or take actions that may conflict with the interests of our Group.

As at 4 February 2025, AmBank Group has extended credit facilities with an aggregate credit limit of RM88.00 million (with an outstanding amount of approximately RM32.40 million) to our Group.

Notwithstanding the above, AmInvestment Bank confirms that there is no conflict of interest situation that exists or is likely to exist in its roles as the Principal Adviser and Sponsor to our Company for the Transfer of Listing as well as the Sole Underwriter and Sole Placement Agent for our Public Offering premised on the following:

(i) the credit facilities were provided by AmBank Group in its ordinary course of business, and the said credit facilities, which represents approximately 0.45% of the audited NA of AmBank Group as at 31 March 2024 of approximately RM19.44 billion, are not material;

(ii) AmBank Group forms a diversified financial group and is engaged in a wide range of transactions as highlighted above. In addition, AmInvestment Bank is a licensed investment bank and its appointment as the Principal Adviser and Sponsor for the Transfer of Listing as well as the Sole Underwriter and Sole Placement Agent for our Public Offering is in the ordinary course of business;

(iii) the credit facilities were not determined in contemplation of and are not conditional upon AmInvestment Bank being appointed as the Principal Adviser and Sponsor for the Transfer of Listing as well as the Sole Underwriter and Sole Placement Agent for our Public Offering; and

(iv) each of the entities and departments of the AmBank Group are also subject to internal controls and checks, which regulate the sharing of information between the entities and departments. Additionally, each department and entities within AmBank Group has separate and distinct operations and decisions are made independent of each other. In addition, the conduct of AmInvestment Bank is regulated by Bank Negara Malaysia.

Our Board has also confirmed that it has been informed and is aware of the situations as described above and is agreeable to the role of AmInvestment Bank as the Principal Adviser and Sponsor for the Transfer of Listing as well as the Sole Underwriter and Sole Placement Agent for our Public Offering.

10. CONFLICT OF INTEREST *(Cont'd)*

10.2.2 Crowe Malaysia PLT

Crowe Malaysia PLT confirms that there is no conflict of interest situation that exists or is likely to exist in relation to its role as the Auditors and Reporting Accountants to our Company for the Transfer of Listing.

10.2.3 Lee Hishammuddin Allen & Gledhill

Lee Hishammuddin Allen & Gledhill confirms that there is no conflict of interest situation that exists or is likely to exist in relation to its role as the Solicitors to our Company for the Transfer of Listing.

10.2.4 Providence Strategic Partners Sdn Bhd

Providence Strategic Partners Sdn Bhd confirms that there is no conflict of interest situation that exists or is likely to exist in relation to its role as the Independent Market Researcher to our Company for the Transfer of Listing.

10.2.5 Boardroom Share Registrars Sdn Bhd

Boardroom Share Registrars Sdn Bhd confirms that there is no conflict of interest situation that exists or is likely to exist in relation to its role as the Share Registrar to our Company for the Transfer of Listing.

10.2.6 Malaysian Issuing House Sdn Bhd

Malaysian Issuing House Sdn Bhd confirms that there is no conflict of interest situation that exists or is likely to exist in relation to its role as the Issuing House to our Company for the Transfer of Listing.

10.2.7 Astramina Advisory Sdn Bhd *(former Continuing Adviser and current Corporate Advisor to our Company)*

Astramina Advisory Sdn Bhd ("**Astramina Advisory**") was formerly the Continuing Adviser to our Company until it ceased its role on 9 December 2024 pursuant to Rule 3.12(1) of the LEAP LR. The said announcement was made by our Company on 11 December 2024.

For information, Astramina Advisory was the appointed Approved Adviser for our Company's listing on the LEAP Market which took place on 30 July 2021. Subsequently, it was also appointed as the Adviser to our Company for the various corporate proposals undertaken by our Company prior to our Company embarking on the Transfer of Listing.

As part of the services provided for the LEAP Market and the various corporate exercises by our Company for which Astramina Advisory was the appointed Adviser, Astramina Advisory is entitled for a success fees amounting to RM1,800,000 ("**Success Fees**").

On 1 November 2024, LSH Resources (being the major shareholder and one of the Promoters of our Company) and Astramina Advisory agreed for the Success Fees to be paid to Astramina Advisory via the transfer of 2,045,555 Shares at RM0.88 each ("**Success Fee Shares**") by LSH Resources ("**Share Transfer Agreement**"). In accordance with the Share Transfer Agreement, the Success Fee Shares were to be transferred from LSH Resources to Astramina Advisory after the expiry of a period of six (6) months from the date of our admission to the Official List in accordance with the moratorium requirement which LSH Resources is required to observe pursuant to the Transfer of Listing as further detailed in Section 1.2 of this Prospectus. For information purpose, the Success Fee Shares represent approximately 0.29% of the existing total number of Shares as at LPD and approximately 0.24% of the enlarged total number of Shares upon completion of the Transfer of Listing.

10. CONFLICT OF INTEREST *(Cont'd)*

On 3 January 2025, Astramina Advisory, our Company and LSH Resources entered into a letter of agreement to address any potential perceived conflict of interests. Under this mutual termination, Astramina Advisory waived its entire entitlement to the Success Fees, and the parties agreed to rescind the Share Transfer Agreement. All previous agreements were nullified, releasing our Company and LSH Resources from any present or future liabilities related to the Success Fees and Success Fee Shares with Astramina Advisory.

On 22 January 2025, our Company accepted the engagement of Astramina Advisory as Corporate Advisor to source investors for the Institutional Offering comprising up to 161,657,400 Offering Shares, in which Astramina Advisory will be entitled to introducer fees equivalent to 1.00% of the total value of Offering Shares successfully placed out under the Institutional Offering.

As at LPD, Datin Wong Muh Rong (the Managing Director and shareholder of Astramina Advisory) also held 32,000 Shares, representing approximately 0.005% of the existing total number of Shares as at LPD.

Notwithstanding the above, Astramina Advisory confirms that, with the termination as set out above, there was no conflict of interest situation that existed or was likely to exist or perceived to exist, in its capacity as the former Continuing Adviser to our Company. In addition, Astramina Advisory confirms that there is no conflict of interest situation that exists or is likely to exist in its role as the Corporate Advisor to our Company.

Astramina Advisory is a corporate finance advisory firm licensed by the SC and an Approved Adviser and Continuing Adviser licensed by Bursa Securities for the LEAP Market. Its appointments as the former Continuing Adviser to our Company and Corporate Advisor to our Company for the Institutional Offering align with its ordinary course of business. Furthermore, the conduct of Astramina Advisory is strictly regulated by the CMSA and governed by its internal control policies and procedures.

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